

**ZHEN DING TECHNOLOGY HOLDING
LIMITED AND SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REPORT
DECEMBER 31, 2025 AND 2024**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Shareholders of Zhen Ding Technology Holding Limited

Opinion

We have audited the accompanying consolidated balance sheets of Zhen Ding Technology Holding Limited and subsidiaries (the “Group”) as at December 31, 2025 and 2024, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of material accounting policies.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2025 and 2024, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission.

Basis for opinion

We conducted our audits in accordance with the Regulations Governing Financial Statement Audit and Attestation Engagements of Certified Public Accountants and Standards on Auditing of the Republic of China. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Norm of Professional Ethics for Certified Public Accountant of the Republic of China, and we have fulfilled our other ethical responsibilities in accordance with these

requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the Group's 2025 consolidated financial statements. These matters were addressed in the context of our audit of the consolidated financial statements as a whole and, in forming our opinion thereon, we do not provide a separate opinion on these matters.

Key audit matters for the Group's 2025 consolidated financial statements are stated as follows:

Cut-off of hub warehouse sales revenue

Description

Refer to Note 4(29) for accounting policies on revenue recognition.

The Group recognises revenue when the goods are directly shipped from factories and when customers accept the goods (the transfer of control) if picked up from hub warehouses. For pick-ups from hub warehouses, the Group recognises sales revenue based on movements of inventory records contained in the statements or other information provided by the warehouse custodians. The hub warehouses are located around the world with numerous warehouse custodians, the frequency and contents of statements provided by custodians are different, and the process of revenue recognition may involve manual procedures. These factors may potentially result in inaccurate timing of sales revenue recognition.

As there are numerous daily sales transactions from hub warehouses and the transaction amounts prior to and after the balance sheet date are significant to the financial statements, we considered the cut-off of hub warehouse sales revenue a key audit matter.

How our audit addressed the matter

We performed the following audit procedures in respect of the above key audit matter:

- A. Assessed and tested internal controls over regular record verification between the Group and customers.
- B. Assessed and checked the appropriateness of cut-off of sales revenue prior to or after the balance sheet date, and verified the statements provided by the hub warehouse custodians.
- C. Performed confirmation of the storage quantities or observed physical counts in warehouse, compared against inventory records, and determined whether differences, if any, are properly adjusted.

Estimation of allowance for inventory valuation losses

Description

Refer to Note 4(14) for accounting policies on inventory valuation, Note 5 for the uncertainty of accounting estimates and assumptions applied on inventory valuation, and Note 6(6) for details of inventory. As of December 31, 2025, the Group's inventory cost and allowance for valuation losses were NT\$20,581,646 thousand and NT\$965,340 thousand, respectively.

The Group is primarily engaged in the manufacture and sales of printed circuit board. Due to rapid technological innovations, short lifespan of electronic products and fluctuations in market prices, there is a higher risk of inventory losses due to market value decline or obsolescence. The Group measures inventories at the lower of cost and net realisable value and recognises the allowance for inventory valuation losses based on the inventories over normal age and those individually identified as obsolete or damaged.

As the amounts of inventories are material, the types of inventories are numerous, and the estimation of net realisable value for individually obsolete or damaged inventories is subject to significant judgement, we considered the estimation of allowance for inventory valuation losses a key audit matter.

How our audit addressed the matter

We performed the following audit procedures in relation to the estimation of allowance for inventory valuation losses:

- A. Assessed the reasonableness of accounting policy on allowance for inventory valuation losses and checked whether it has been consistently applied.
- B. Checked whether the logic in calculating inventory aging report was appropriate and confirmed whether the inventory over normal age has been included in the aging report.
- C. Assessed the reasonableness of individually obsolete or damaged inventory identified by the Group against related supporting documents, reviewed scrap inventory before and after the balance sheet date, and verified the information obtained from physical count.
- D. For the net realisable value of inventories over normal age and those individually identified as obsolete and damaged inventory, discussed with the Group, obtained supporting documents and reviewed calculation of inventory loss.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless

management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, including the audit committee, are responsible for overseeing the Group's financial reporting process.

Auditors' responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Standards on Auditing of the Republic of China will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements. As part of an audit in accordance with the Standards on Auditing of the Republic of China, we exercise professional judgment and professional skepticism throughout the audit. We also:

- A. Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- B. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- C. Evaluate the appropriateness of accounting policies used and the reasonableness of

accounting estimates and related disclosures made by management.

- D. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- E. Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- F. Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Hsu, Sheng-Chung Hsu, Chieh-Ju

For and on Behalf of PricewaterhouseCoopers, Taiwan

March 12, 2026

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars)

Assets		Notes	December 31, 2025		December 31, 2024	
			AMOUNT	%	AMOUNT	%
Current assets						
1100	Cash and cash equivalents	6(1)	\$ 71,116,372	25	\$ 79,502,013	30
1136	Current financial assets at amortised cost	6(3)	35,773	-	327,850	-
1170	Accounts receivable, net	6(4)	27,227,705	10	26,920,233	10
1180	Accounts receivable due from related parties, net	6(4) and 7	4,184,649	2	3,262,888	1
1200	Other receivables	6(5)	1,204,248	-	775,487	-
130X	Inventories	6(6)	19,616,306	7	17,989,585	7
1410	Prepayments	6(5)	4,251,732	2	3,725,689	2
1470	Other current assets	8	4,358	-	4,879	-
11XX	Total current assets		127,641,143	46	132,508,624	50
Non-current assets						
1510	Non-current financial assets at fair value through profit or loss	6(2)	2,350,876	1	1,753,687	1
1517	Non-current financial assets at fair value through other comprehensive income	6(7)	4,362,578	2	1,768,742	1
1550	Investments accounted for using equity method		80,992	-	22,444	-
1600	Property, plant and equipment	6(8)	123,736,834	44	110,172,595	41
1755	Right-of-use assets	6(9)	9,676,212	3	9,229,121	3
1760	Investment property, net	6(10)	3,071,272	1	3,289,200	1
1780	Intangible assets	6(11)	2,709,656	1	2,096,679	1
1840	Deferred income tax assets	6(30)	2,980,823	1	3,105,262	1
1990	Other non-current assets	6(12) and 8	3,432,624	1	2,046,938	1
15XX	Total non-current assets		152,401,867	54	133,484,668	50
1XXX	Total assets		\$ 280,043,010	100	\$ 265,993,292	100

(Continued)

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars)

Liabilities and Equity		Notes	December 31, 2025		December 31, 2024	
			AMOUNT	%	AMOUNT	%
Current liabilities						
2100	Short-term borrowings	6(13)	\$ 23,839,009	9	\$ 21,706,441	8
2170	Accounts payable		22,273,749	8	20,654,870	8
2180	Accounts payable to related parties	7	1,227,514	-	1,061,617	-
2200	Other payables	6(14)	19,712,267	7	19,141,301	7
2230	Current income tax liabilities		812,428	-	1,193,279	-
2280	Current lease liabilities		236,292	-	246,902	-
2320	Long-term liabilities, current portion	6(16)	1,850,062	1	1,333,125	1
2399	Other current liabilities		2,869,846	1	3,866,715	1
21XX	Total current liabilities		72,821,167	26	69,204,250	26
Non-current liabilities						
2530	Bonds payable	6(15)	11,071,161	4	11,601,604	4
2540	Long-term borrowings	6(16)	15,358,678	6	22,410,057	9
2570	Deferred income tax liabilities	6(30)	3,663,487	1	2,896,003	1
2580	Non-current lease liabilities		655,735	-	872,602	-
2600	Other non-current liabilities		5,760,130	2	6,985,166	3
25XX	Total non-current liabilities		36,509,191	13	44,765,432	17
2XXX	Total liabilities		109,330,358	39	113,969,682	43
Equity						
Equity attributable to owners of parent						
	Share capital	6(19)				
3110	Ordinary share		10,705,659	4	9,566,525	4
	Capital surplus	6(20)				
3200	Capital surplus		52,902,489	19	40,540,212	15
	Retained earnings	6(21)				
3310	Legal reserve		9,957,354	4	9,036,250	3
3320	Special reserve		189,408	-	5,120,220	2
3350	Unappropriated retained earnings		51,402,516	18	45,001,928	17
	Other equity interest	6(22)				
3400	Other equity interest		(1,123,670)	(1)	(189,408)	-
3500	Treasury shares	6(19)	(52,202)	-	(257,489)	-
31XX	Equity attributable to owners of parent		123,981,554	44	108,818,238	41
36XX	Non-controlling interest		46,731,098	17	43,205,372	16
3XXX	Total equity		170,712,652	61	152,023,610	57
	Significant contingent liabilities and unrecognised contract commitments	9				
	Significant disaster loss	10				
	Significant events after the balance sheet date	11				
3X2X	Total liabilities and equity		\$ 280,043,010	100	\$ 265,993,292	100

The accompanying notes are an integral part of these consolidated financial statements.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
YEARS ENDED DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars, except for earnings per share amount)

Items		Notes	Year ended December 31			
			2025		2024	
			AMOUNT	%	AMOUNT	%
4000	Operating revenue	6(23), 7 and 14	\$ 182,521,620	100	\$ 171,663,845	100
5000	Operating costs	6(6) and 7	(146,385,216)	(80)	(139,203,083)	(81)
5950	Gross profit from operations		36,136,404	20	32,460,762	19
	Operating expenses	6(24)				
6100	Selling expenses		(2,351,908)	(1)	(2,154,908)	(1)
6200	Administrative expenses		(8,041,023)	(4)	(7,025,113)	(4)
6300	Research and development expenses		(11,807,096)	(7)	(11,715,283)	(7)
6450	(Expected credit loss) Impairment gain in accordance with IFRS 9	12	(4,798)	-	20,178	-
6000	Total operating expenses		(22,204,825)	(12)	(20,875,126)	(12)
6900	Net operating income		13,931,579	8	11,585,636	7
	Non-operating income and expenses					
7100	Interest income	6(26)	2,453,194	1	2,897,955	2
7010	Other income	6(27)	1,238,096	1	1,109,460	1
7020	Other gains and losses	6(28)	(1,427,622)	(1)	1,781,935	1
7050	Finance costs	6(29)	(2,115,906)	(1)	(2,333,091)	(2)
7060	Share of (loss) profit of associates and joint ventures accounted for using equity method		(16,657)	-	3,080	-
7000	Total non-operating income and expenses		131,105	-	3,459,339	2
7900	Profit before income tax		14,062,684	8	15,044,975	9
7950	Income tax expense	6(30)	(3,457,577)	(2)	(1,948,497)	(1)
8200	Profit		<u>\$ 10,605,107</u>	<u>6</u>	<u>\$ 13,096,478</u>	<u>8</u>
	Other comprehensive income					
	Components of other comprehensive income that will not be reclassified to profit or loss					
8311	Actuarial gains on defined benefit plans	6(17)	\$ 11,882	-	\$ 18,380	-
8316	Unrealised gains (losses) from investments in equity instruments measured at fair value through other comprehensive income	6(7)(22)	1,983,358	1	(174,000)	-
8349	Income tax related to components of other comprehensive income that will not be reclassified to profit or loss	6(30)	(359,822)	-	34,818	-
8310	Other comprehensive income (loss) that will not be reclassified to profit or loss		1,635,418	1	(120,802)	-
	Components of other comprehensive income that will be reclassified to profit or loss					
8361	Exchange differences on translation of foreign financial statements	6(22)	(2,180,401)	(1)	7,108,329	4
8300	Other comprehensive (loss) income		<u>(\$ 544,983)</u>	<u>-</u>	<u>\$ 6,987,527</u>	<u>4</u>
8500	Total comprehensive income		<u>\$ 10,060,124</u>	<u>6</u>	<u>\$ 20,084,005</u>	<u>12</u>
	Profit attributable to:					
8610	Owners of the parent		\$ 6,790,508	4	\$ 9,179,689	6
8620	Non-controlling interests		3,814,599	2	3,916,789	2
			<u>\$ 10,605,107</u>	<u>6</u>	<u>\$ 13,096,478</u>	<u>8</u>
	Comprehensive income attributable to:					
8710	Owners of the parent		\$ 6,048,550	4	\$ 14,141,861	9
8720	Non-controlling interests		4,011,574	2	5,942,144	3
			<u>\$ 10,060,124</u>	<u>6</u>	<u>\$ 20,084,005</u>	<u>12</u>
	Earnings per share (in dollars)					
9750	Basic earnings per share	6(31)	<u>\$ 6.91</u>		<u>\$ 9.67</u>	
9850	Diluted earnings per share	6(31)	<u>\$ 6.77</u>		<u>\$ 9.24</u>	

The accompanying notes are an integral part of these consolidated financial statements.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
YEARS ENDED DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars)

Equity attributable to owners of the parent												
	Notes	Retained Earnings					Other Equity Interest			Total	Non-controlling interest	Total equity
		Ordinary shares	Capital surplus- additional paid-in capital	Legal reserve	Special reserve	Unappropriated retained earnings	Financial statements translation differences of foreign operations	Unrealised gains (losses) from financial assets measured at fair value through other comprehensive income	Treasury shares			
Year ended December 31, 2024												
Balance at January 1, 2024		\$ 9,470,492	\$ 38,555,914	\$ 8,417,315	\$ 2,882,437	\$ 41,749,184	(\$ 5,609,453)	\$ 489,233	(\$ 257,489)	\$ 95,697,633	\$ 38,628,215	\$ 134,325,848
Profit for the year		-	-	-	-	9,179,689	-	-	-	9,179,689	3,916,789	13,096,478
Other comprehensive income (loss) for the year	6(22)	-	-	-	-	14,704	5,024,679	(77,211)	-	4,962,172	2,025,355	6,987,527
Total comprehensive income (loss)		-	-	-	-	9,194,393	5,024,679	(77,211)	-	14,141,861	5,942,144	20,084,005
Appropriations of 2023 earnings:	6(21)											
Legal reserve		-	-	618,935	-	(618,935)	-	-	-	-	-	-
Special reserve		-	-	-	2,237,783	(2,237,783)	-	-	-	-	-	-
Cash dividends		-	-	-	-	(3,101,587)	-	-	-	(3,101,587)	-	(3,101,587)
Issuance of overseas convertible bonds recognised as warrants	6(15)	-	1,015,416	-	-	-	-	-	-	1,015,416	-	1,015,416
Conversion of convertible bonds	6(15)	96,033	866,806	-	-	-	-	-	-	962,839	-	962,839
Compensation cost of employee restricted stock	6(20)	-	95,220	-	-	-	-	-	-	95,220	36,868	132,088
Adjustments of capital surplus for the Company's cash dividends received by subsidiaries	6(20)	-	6,856	-	-	-	-	-	-	6,856	-	6,856
Changes in non-controlling interests - acquisition of shares of the subsidiary		-	-	-	-	-	-	-	-	-	91,885	91,885
Changes in non-controlling interests - distribution of retained earnings by subsidiaries		-	-	-	-	-	-	-	-	-	(1,493,740)	(1,493,740)
Disposal of equity instruments at fair value through other comprehensive income	6(7)	-	-	-	-	16,656	-	(16,656)	-	-	-	-
Balance at December 31, 2024		\$ 9,566,525	\$ 40,540,212	\$ 9,036,250	\$ 5,120,220	\$ 45,001,928	(\$ 584,774)	\$ 395,366	(\$ 257,489)	\$ 108,818,238	\$ 43,205,372	\$ 152,023,610
Year ended December 31, 2025												
Balance at January 1, 2025		\$ 9,566,525	\$ 40,540,212	\$ 9,036,250	\$ 5,120,220	\$ 45,001,928	(\$ 584,774)	\$ 395,366	(\$ 257,489)	\$ 108,818,238	\$ 43,205,372	\$ 152,023,610
Profit for the year		-	-	-	-	6,790,508	-	-	-	6,790,508	3,814,599	10,605,107
Other comprehensive income (loss) for the year	6(22)	-	-	-	-	9,506	(1,966,393)	1,214,929	-	(741,958)	196,975	(544,983)
Total comprehensive income (loss)		-	-	-	-	6,800,014	(1,966,393)	1,214,929	-	6,048,550	4,011,574	10,060,124
Appropriations of 2024 earnings:	6(21)											
Legal reserve		-	-	921,104	-	(921,104)	-	-	-	-	-	-
Special reserve		-	-	-	(4,930,812)	4,930,812	-	-	-	-	-	-
Cash dividends		-	-	-	-	(4,591,932)	-	-	-	(4,591,932)	-	(4,591,932)
Issuance of overseas convertible bonds recognised as warrants	6(15)	-	1,522,717	-	-	-	-	-	-	1,522,717	-	1,522,717
Conversion of convertible bonds	6(15)	1,139,134	10,448,294	-	-	-	-	-	-	11,587,428	-	11,587,428
Compensation cost of employee restricted stock	6(20)	-	248,962	-	-	-	-	-	-	248,962	97,865	346,827
Recognition of changes in ownership interests in subsidiaries	6(20)	-	40,678	-	-	-	-	-	-	40,678	170,813	211,491
Changes in non-controlling interests - acquisition of shares of the subsidiary		-	18,920	-	-	-	-	-	-	18,920	710,720	729,640
Changes in non-controlling interests - distribution of retained earnings by subsidiaries		-	-	-	-	-	-	-	-	-	(2,629,497)	(2,629,497)
Disposal of equity instruments at fair value through other comprehensive income	6(7)	-	-	-	-	182,798	-	(182,798)	-	-	-	-
Subsidiary's sale of parent company's stocks	6(20)	-	82,706	-	-	-	-	-	205,287	287,993	-	287,993
Business combination	6(32)	-	-	-	-	-	-	-	-	-	1,164,251	1,164,251
Balance at December 31, 2025		\$ 10,705,659	\$ 52,902,489	\$ 9,957,354	\$ 189,408	\$ 51,402,516	(\$ 2,551,167)	\$ 1,427,497	(\$ 52,202)	\$ 123,981,554	\$ 46,731,098	\$ 170,712,652

The accompanying notes are an integral part of these consolidated financial statements.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
YEARS ENDED DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars)

		Year ended December 31	
	Notes	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before tax		\$ 14,062,684	\$ 15,044,975
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation	6(24)	18,060,576	17,195,439
Amortisation	6(24)	491,891	553,183
(Gain) loss on financial assets or liabilities at fair value through profit or loss, net	6(2)	(400,787)	170,275
Impairment losses	6(8)	37,260	1,213
Expected credit loss (impairment gain)	12	4,798	(20,178)
Loss (gain) on disposal of property, plant and equipment	6(28)	286,309	(35,760)
Interest income	6(26)	(2,453,194)	(2,897,955)
Dividend income		(187,425)	(52,524)
Interest expense	6(29)	2,115,906	2,333,091
Share of loss (profit) of associates and joint ventures accounted for using equity method		16,657	(3,080)
Share-based payment	6(18)	346,827	132,088
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable		(288,042)	(240,851)
Accounts receivable		(2,610)	525,021
Accounts receivable due from related parties		(1,023,665)	331,136
Other receivables		(892,434)	(460,418)
Inventories		(1,737,015)	(1,370,587)
Prepayments		(187,898)	(520,016)
Changes in operating liabilities			
Accounts payable		1,657,044	1,196,758
Accounts payable to related parties		182,176	(55,067)
Other payables		(28,194)	541,255
Other current liabilities		(82,872)	229,385
Cash inflow generated from operations		29,977,992	32,597,383
Income tax paid		(2,361,481)	(2,212,561)
Net cash flows from operating activities		27,616,511	30,384,822

(Continued)

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
YEARS ENDED DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars)

		Year ended December 31	
	Notes	2025	2024
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Cash inflow generated from business combinations	6(32)	(\$ 939,636)	\$ -
Acquisition of financial assets at fair value through profit or loss		(366,489)	(187,069)
Proceeds from disposal of financial assets at fair value through profit or loss		65,592	-
Decrease in current financial assets at amortised cost		342,276	4,434,550
Acquisition of financial assets at fair value through other comprehensive income		(898,600)	(135,500)
Proceeds from disposal of financial assets at fair value through other comprehensive income		297,822	39,066
Acquisition of property, plant and equipment	6(33)	(33,083,401)	(16,256,978)
Proceeds from disposal of property, plant and equipment		410,229	247,963
Acquisition of intangible assets		(58,471)	(753)
Acquisition of right-of-use assets	6(9)	(386,754)	(448)
Increase in other non-current assets		(698,506)	(25,667)
Increase in other non-current liabilities		553,977	788,165
Collected income distribution	6(2)	111,086	26,027
Interest received		2,503,449	2,871,224
Dividend received		187,425	52,524
Net cash flows used in investing activities		(31,960,001)	(8,146,896)
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Increase in short-term borrowings	6(33)	32,942,433	10,901,488
Decrease in short-term borrowings	6(33)	(30,751,338)	(24,058,846)
Proceeds from long-term borrowings	6(33)	3,318,754	4,599,959
Repayments of long-term borrowings	6(33)	(9,081,803)	(1,421,941)
Decrease in guarantee deposits received	6(33)	(2,340,977)	(3,099,257)
Proceeds from issuance of convertible bonds	6(33)	12,106,854	12,468,383
Payments of lease liabilities	6(33)	(248,407)	(268,175)
Cash dividends paid	6(21)	(4,591,932)	(3,101,587)
Interest paid		(1,607,025)	(1,768,779)
Subsidiary's sale of parent company's stocks	6(19)	287,993	-
Changes in non-controlling interests - acquisition of shares of the subsidiary		729,640	91,885
Changes in non-controlling interests - distribution of retained earnings by subsidiaries		(2,629,497)	(1,493,740)
Net cash flows used in financing activities		(1,865,305)	(7,150,610)
Effect of exchange rate changes on cash and cash equivalents		(2,176,846)	2,993,927
Net (decrease) increase in cash and cash equivalents		(8,385,641)	18,081,243
Cash and cash equivalents at beginning of year		79,502,013	61,420,770
Cash and cash equivalents at end of year		<u>\$ 71,116,372</u>	<u>\$ 79,502,013</u>

The accompanying notes are an integral part of these consolidated financial statements.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED DECEMBER 31, 2025 AND 2024

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

1. HISTORY AND ORGANIZATION

Zhen Ding Technology Holding Limited (the ‘Company’, formerly named as Foxconn Advanced Technology Limited) was incorporated in the Cayman Islands in June 2006. According to the resolution of the Board of Directors in May 2011, the Company was renamed to Zhen Ding Technology Holding Limited and related registration was completed in July 2011. The registration address is P.O. Box 31119 Grand Pavilion Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1-1205 Cayman Islands. The Company and its subsidiaries (collectively referred herein as the ‘Group’) are engaged in manufacturing and selling printed circuit board (the ‘PCB’). The Company has been listed on the Taiwan Stock Exchange since December 26, 2011.

2. THE DATE OF AUTHORISATION FOR ISSUANCE OF THE CONSOLIDATED FINANCIAL STATEMENTS AND PROCEDURES FOR AUTHORISATION

These consolidated financial statements were authorised for issuance by the Board of Directors on March 12, 2026.

3. APPLICATION OF NEW STANDARDS, AMENDMENTS AND INTERPRETATIONS

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS[®]”) Accounting Standards that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2025 are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IAS 21, ‘Lack of exchangeability’	January 1, 2025

The above standards and interpretations have no significant impact to the Group’s financial position and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRS Accounting Standards as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC effective from 2026 are as follows:

New Standards, Interpretations and Amendments	International Accounting Standards Board
Specific provisions of Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial instruments'	January 1, 2026
Amendments to IFRS 9 and IFRS 7, 'Contracts referencing nature-dependent electricity'	January 1, 2026
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendment to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment. The quantitative impact will be disclosed when the assessment is complete.

- A. Specific provisions of Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial instruments'
- (a) Clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion, covering contractual terms that can change cash flows based on contingent events (for example, interest rates linked to ESG targets), non-recourse features and contractually-linked instruments.
 - (b) Add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets), including a qualitative description of the nature of the contingent event, quantitative information about the possible changes to contractual cash flows that could result from those contractual terms and the gross carrying amount of financial assets and amortised cost of financial liabilities subject to these contractual terms.
 - (c) Clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception relating to the derecognition of a financial liability (or part of a financial liability) settled through an electronic cash transfer system. Applying the exception, an entity is permitted to derecognise a financial liability at an earlier date if, and only if, the entity has initiated a payment instruction and specific conditions are met. The conditions for the exception are that the entity making the payment does not have:
 - i the practical ability to withdraw, stop or cancel the payment instruction;
 - ii the practical ability to access the cash used for settlement; and
 - iii significant settlement risk.

- (d) Update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI). The entity shall disclose the fair value of each class of investment and is no longer required to disclose the fair value of each investment. In addition, the amendments require the entity to disclose the fair value gain or loss presented in other comprehensive income during the period, showing separately the fair value gain or loss related to investments derecognised during the reporting period and the fair value gain or loss related to investments held at the end of the reporting period; and any transfers of the cumulative gain or loss within equity during the reporting period related to the investments derecognised during that reporting period.

(3) IFRS Accounting Standards issued by IASB but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRS Accounting Standards as endorsed by the FSC are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by International Accounting Standards Board
IFRS 18, 'Presentation and disclosure in financial statements'	January 1, 2027(Note)
IFRS 19, 'Subsidiaries without public accountability: disclosures'	January 1, 2027
Amendments to IAS 21, 'Translation to a Hyperinflationary Presentation Currency'	January 1, 2027

Note : The FSC has announced in a press release on September 25, 2025 that public companies will apply IFRS 18 starting from the fiscal year 2028. Additionally, entities can choose to adopt IFRS 18 earlier based on their requirements after the FSC endorses IFRS 18.

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

A. IFRS 18, 'Presentation and disclosure in financial statements'

IFRS 18, 'Presentation and disclosure in financial statements' replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. SUMMARY OF MATERIAL ACCOUNTING POLICIES

Except as stated otherwise, the principal accounting policies applied in the preparation of these consolidated financial statements have been consistently applied to all the periods presented.

(1) Compliance statement

The consolidated financial statements of the Group have been prepared in accordance with the “Regulations Governing the Preparation of Financial Reports by Securities Issuers”, International Financial Reporting Standards, International Accounting Standards, IFRIC[®] Interpretations, and SIC[®] Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”).

(2) Basis of preparation

A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:

- (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
- (b) Available-for-sale financial assets measured at fair value.
- (c) Defined benefit liabilities recognised based on the net amount of pension fund assets less present value of defined benefit obligation.

B. The preparation of financial statements in conformity with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group’s accounting policies. The items involving a higher degree of judgement or complexity, or items where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

A. Basis for preparation of consolidated financial statements:

- (a) All subsidiaries are included in the Group’s consolidated financial statements. Subsidiaries are all entities controlled by the Group. The Group controls an entity when the Group is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Consolidation of subsidiaries begins from the date the Group obtains control of the subsidiaries and ceases when the Group loses control of the subsidiaries.
- (b) Inter-company transactions, balances and unrealised gains or losses on transactions between companies within the Group are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.
- (c) The profit or loss and each component of other comprehensive income shall be attributed to the owners of the parent and to the non-controlling interests, and total comprehensive income shall also be attributed to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

(d) Changes in a parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transactions (i.e. transactions with owners in their capacity as owners). It shall be recognised directly in equity and difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received.

(e) When the Group loses control of a subsidiary, the Group remeasures any investment retained in the former subsidiary at its fair value. That fair value is regarded as the fair value on initial recognition of a financial asset or the cost on initial recognition of the associate or joint venture. Any difference between fair value and carrying amount is recognised in profit or loss. All amounts previously recognised in other comprehensive income in relation to the subsidiary are reclassified to profit or loss on the same basis as would be required if the related assets or liabilities were disposed of. That is, when the Group loses control of a subsidiary, all gains or losses previously recognised in other comprehensive income in relation to the subsidiary should be reclassified from equity to profit or loss, if such gains or losses would be reclassified to profit or loss when the related assets or liabilities are disposed of.

B. Subsidiaries included in the consolidated financial statements:

Name of Investor	Name of Subsidiary	Main Business Activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
The Company	Zhen Ding Technology Co., Ltd.	Trading company	100	100	
The Company	Monterey Park Finance Limited (B.V.I.)	Holding company	100	100	
The Company	Zhen Ding Technology Singapore Private Limited (Singapore)	Holding company	100	100	
The Company	Boardtek Electronics Corporation	Manufacturing company	100	100	

Name of Investor	Name of Subsidiary	Main Business Activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
Zhen Ding Technology Co., Ltd.	FAT Holdings Limited (Cayman)	Holding company	100	100	
Monterey Park Finance Limited (B.V.I.)	Coppertone Enterprises Limited (B.V.I.)	Holding company	100	100	
Monterey Park Finance Limited (B.V.I.)	Pacific Fair International Limited (Hongkong)	Holding company	100	100	
Monterey Park Finance Limited (B.V.I.)	Huaian Jia Wei Industrial Development Co., Ltd	Trading company	100	100	
Monterey Park Finance Limited (B.V.I.)	Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Manufacturing company	55.99	55.99	
Monterey Park Finance Limited (B.V.I.)	Leading Interconnect Semiconductor Technology Limited (Cayman)	Holding company	100	-	(f)
Monterey Park Finance Limited (B.V.I.)	GAEEA Technology Limited (Cayman)	Holding company	100	-	(e)
GAEEA Technology Limited (Cayman)	Yaoding Environmental Energy Technology Limited (Shenzhen)	Environmental protection and energy conservation service company	100	-	(e)

Name of Investor	Name of Subsidiary	Main Business Activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
Huaian Jia Wei Industrial Development Co., Ltd	Huaian ChengXin Park Management Co., Ltd.	Property management company	47	47	(d)
Leading Interconnect Semiconductor Technology Limited (Cayman)	BRAI Technology Co., Ltd	Manufacturing company	100	-	(i)
Coppertone Enterprises Limited (B.V.I.)	Mayco Industrial Limited (Hong Kong)	Holding company	100	100	
Mayco Industrial Limited (Hong Kong)	Avary Holding (Shenzhen) Co., Limited	Manufacturing company	66.43	66.54	(j)
Pacific Fair International Limited (Hong Kong)	Avary Holding (Shenzhen) Co., Limited	Manufacturing company	5.73	5.74	(j)
Avary Holding (Shenzhen) Co., Limited	Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Manufacturing company	13.72	13.72	
Avary Holding (Shenzhen) Co., Limited	Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Manufacturing company	100	100	
Avary Holding (Shenzhen) Co., Limited	Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Manufacturing company	100	100	

Name of Investor	Name of Subsidiary	Main Business Activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
Avary Holding (Shenzhen) Co., Limited	Yu Ding Precision Electronics (Huaian) Co., Ltd.	Manufacturing company	-	-	(b)
Avary Holding (Shenzhen) Co., Limited	Qing Ding Precision Electronics (Huaian) Co., Ltd.	Manufacturing company	100	100	(b)
Avary Holding (Shenzhen) Co., Limited	Fu Bo Industry (Shenzhen) Co., Ltd.	Manufacturing company	100	100	
Avary Holding (Shenzhen) Co., Limited	Kui Sheng Technology (Shenzhen) Co., Ltd.	Trading company	100	100	
Avary Holding (Shenzhen) Co., Limited	Avary Holding Investment (Shenzhen) Co., Ltd.	Investment company	100	100	
Avary Holding (Shenzhen) Co., Limited	Garuda International Limited (Hongkong)	Trading company	100	100	
Avary Holding (Shenzhen) Co., Limited	Avary Singapore Private Limited (Singapore)	Holding company	23.67	71.95	(k)
Avary Holding (Shenzhen) Co., Limited	Zhuhai Hengqin Avary Investment Limited Partnership	Investment company	0.611	0.611	(h)
Avary Holding (Shenzhen) Co., Limited	Avary Property Management Service(Shenzhen) Co., Ltd.	Property management company	100	100	
Avary Holding (Shenzhen) Co., Limited	Wuxi Huayang Science And Technology Co., Ltd.	Manufacturing company	53.68	-	(m)

Name of Investor	Name of Subsidiary	Main Business Activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
Wuxi Huayang Science And Technology Co., Ltd.	Jiangsu Turnsor Technology Co., Ltd.	Manufacturing company	51	-	(m)
Avary Holding Investment (Shenzhen) Co., Ltd.	Zhuhai Hengqin Avary Investment Limited Partnership	Investment company	99.389	99.389	
Garuda International Limited (Hongkong)	Garuda Technology Co., Ltd.	Trading company	100	100	
Garuda International Limited (Hongkong)	Avary Japan Co., Ltd. (Japan)	Trading company	-	-	(c)
Garuda International Limited (Hongkong)	Avary Singapore Private Limited (Singapore)	Holding company	76.33	28.05	(k)
Garuda International Limited (Hongkong)	Peng Shen Technology (Thailand) Co., Ltd. (Thailand)	Manufacturing company	-	0.001	(l)
Avary Singapore Private Limited (Singapore)	Peng Shen Technology (Thailand) Co., Ltd. (Thailand)	Manufacturing company	87.50	89.999	(l)
Avary Singapore Private Limited (Singapore)	Avary Technology (India) Private Limited (India)	Manufacturing company	100	100	

Name of Investor	Name of Subsidiary	Main Business Activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Huaian ChengXin Park Management Co., Ltd.	Property management company	53	53	(d)
Yaoding Environmental Energy Technology (Shenzhen) Limited	Yaoding Environmental Energy Technology (Huaian) Limited	Environmental protection and energy conservation service company	-	-	(g)
Yaoding Environmental Energy Technology (Shenzhen) Limited	Yaoding Environmental Energy Technology (Qinhuangdao) Limited	Environmental protection and energy conservation service company	-	-	(h)
Boardtek Electronics Corporation	Boardtek Investment Co., Ltd.	Investment company	-	-	(a)
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Manufacturing company	100	100	
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Leading Interconnect International Limited (Formerly named: Henley International Limited (Hongkong))	Trading company	100	100	

Name of Investor	Name of Subsidiary	Main Business Activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
Zhen Ding Technology Singapore Private Limited (Singapore)	Zhen Ding Technology India Private Limited (India)	Manufacturing company	37.50	37.50	
Zhen Ding Technology Singapore Private Limited (Singapore)	Zhen Ding Developer India Private Limited (India)	Property management company	99.997	99.997	
FAT Holdings Limited (Cayman)	Zhen Ding Technology India Private Limited (India)	Manufacturing company	62.50	62.50	
FAT Holdings Limited (Cayman)	Zhen Ding Developer India Private Limited (India)	Property management company	0.003	0.003	

- (a) To consolidate resources and improve management efficiency, the Board of Directors of Boardtek Electronics Corporation and Boardtek Investment Co., Ltd. resolved on July 16, 2024 to merge by consolidation, with Boardtek Electronics as the surviving company and Boardtek Investment as the dissolved company. The baseline date of consolidation was August 15, 2024 and the date of approval was October 15, 2024.
- (b) On August 31, 2024, due to the reorganization of the Group, Qing Ding Precision Electronics (Huaian) Co., Ltd. merged with Yu Ding Precision Electronics (Huaian) Co., Ltd., and the transaction was accounted for using book value method.
- (c) The Group adjusted its investment framework in 2024. Avary Japan Co., Ltd. completed the settlement in the third quarter.
- (d) On September 14, 2024, Huaian Jia Wei Industrial Development Co., Ltd. and Qing Ding Precision Electronics (Huaian) Co., Ltd. jointly established Huaian ChengXin Park Management Co., Ltd., which has been included in the consolidated financial statements on the day of investment. It is mainly engaged in the property management business.
- (e) On March 6, 2025, Monterey Park Finance Limited invested in GAEEA Technology Limited in Cayman, which has been included in the consolidated financial statements. It is mainly engaged in the investment holding business. In December, 2025, GAEEA Technology Limited

invested in Yaoding Huanneng Technology (Shenzhen) Co., Ltd.. It is mainly engaged in the environmental protection and energy conservation service.

- (f) On September 24, 2024, Monterey Park Finance Limited invested in Leading Interconnect Semiconductor Technology Limited in Cayman, which has been included in the consolidated financial statements. It is mainly engaged in the investment holding business.
 - (g) Yaoding Environmental Energy Technology (Shenzhen) Limited established Yaoding Environmental Energy Technology (Huaian) Limited in Huaian in December 2024. It is still undergoing industrial and commercial review procedures, and no actual investment has been made.
 - (h) Yaoding Environmental Energy Technology (Shenzhen) Limited established Yaoding Environmental Energy Technology (Qinhuangdao) Limited in Qinhuangdao in December 2024. It is still undergoing industrial and commercial review procedures, and no actual investment has been made.
 - (i) On March 7, 2025, the Group invested in BRAI Technology Co., Ltd. in Taiwan, which has been included in the consolidated financial statements. It is mainly engaged in the processing and manufacture of electronic products.
 - (j) On July 10, 2025 and October 16, 2025, because Avary Holding (Shenzhen) Co., Limited lifted the sales restriction on 3,948,212 restricted shares, the shareholding ratio of Mayco Industrial Limited (Hongkong) and Pacific Fair International Limited (Hongkong) became 66.43% and 5.73%, respectively.
 - (k) Garuda International Limited (Hongkong) increased its investment by cash in Avary Singapore Private Limited, and accordingly, the shareholding ratio of Avary Holding (Shenzhen) Co., Limited and Garuda International Limited (Hongkong) became 23.67% and 76.33%, respectively.
 - (l) On November 20, 2025, Avary Singapore Private Limited did not participate in the cash capital increase of Peng Shen Technology (Thailand) Co., Ltd. (Thailand), thus, the shareholding ratio became 87.50%.
 - (m) On November 30, 2025, Avary Holding (Shenzhen) Co., Limited acquired 53.68% of the share capital of Wuxi Huayang Science And Technology Co., Ltd. and its subsidiaries (collectively referred to as the “Huayang Group”) through cash purchase and capital increase, amounting to RMB 356,724 thousand (NT\$1,582,328). The related information is provided in Note 6(30) Business combinations.
- C. Subsidiaries not included in the consolidated financial statements: None.
- D. Adjustments for subsidiaries with different balance sheet dates: None.
- E. Nature and extent of the restrictions on fund remittance from subsidiaries to the parent company: None.

F. Subsidiaries that have non-controlling interests that are material to the Group:

As of December 31, 2025 and 2024, the non-controlling interests of the Group amounted to \$46,731,098 and \$43,205,372, respectively. The information on non-controlling interests and their subsidiaries is as follows:

Name of subsidiary	Principal place of business	Non-controlling interest		Description
		December 31, 2025		
		Amount	Ownership (%)	
Avary Holding (Shenzhen) Co., Limited	China	\$ 43,268,303	27.84%	

Name of subsidiary	Principal place of business	Non-controlling interest		Description
		December 31, 2024		
		Amount	Ownership (%)	
Avary Holding (Shenzhen) Co., Limited	China	\$ 40,866,468	27.72%	

Summary of the financial information of subsidiary:

Consolidated balance sheets of Avary Holding (Shenzhen) Co., Limited

	December 31, 2025	December 31, 2024
Current assets	\$ 103,015,893	\$ 108,060,468
Non-current assets	115,401,052	95,542,616
Current liabilities	(55,647,636)	(50,996,384)
Non-current liabilities	(7,341,962)	(5,152,637)
Total net assets	\$ 155,427,347	\$ 147,454,063

Consolidated statements of comprehensive income of Avary Holding (Shenzhen) Co., Limited

	Years ended December 31,	
	2025	2024
Revenue	\$ 169,492,389	\$ 158,311,250
Profit before income tax	18,571,264	18,255,446
Income tax expense	(2,448,186)	(1,897,423)
Profit	16,123,078	16,358,023
Other comprehensive income (loss) , net of tax	1,444,463	(215,255)
Total comprehensive income	\$ 17,567,541	\$ 16,142,768
Comprehensive income attributable to non-controlling interest	\$ 2,030,669	\$ 20,606,294
Dividends paid to non-controlling interest	\$ 2,629,497	\$ 1,493,740

Consolidated statements of cash flows of Avary Holding (Shenzhen) Co., Limited

	Years ended December 31,	
	2025	2024
Net cash from operating activities	\$ 18,979,473	\$ 34,301,506
Net cash used in investing activities	(29,591,408)	(9,335,384)
Net cash provided from (used in) financing activities	3,280,955	(6,785,047)
Effect of exchange rate changes on cash and cash equivalents	(105,550)	(3,652,148)
Net (decrease) increase in cash and cash equivalents	(7,436,530)	14,528,927
Cash and cash equivalents at beginning of year	61,087,517	46,558,590
Cash and cash equivalents at end of year	\$ 53,650,987	\$ 61,087,517

(4) Foreign currency translation

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the 'functional currency'). The Company's functional currency is USD; however, the consolidated financial statements are presented in NTD because of regulatory requirements.

A. Foreign currency transactions and balances

- (a) Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions are recognised in profit or loss in the period in which they arise.
- (b) Monetary assets and liabilities denominated in foreign currencies are re-translated at the exchange rates prevailing at the balance sheet date. Exchange differences arising upon re-translation at the balance sheet date are recognised in profit or loss.
- (c) Non-monetary assets and liabilities denominated in foreign currencies held at fair value through profit or loss are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognised in profit or loss. Non-monetary assets and liabilities denominated in foreign currencies held at fair value through other comprehensive income are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognised in other comprehensive income. However, non-monetary assets and liabilities denominated in foreign currencies that are not measured at fair value are translated using the historical exchange rates at the dates of the initial transactions.
- (d) All foreign exchange gains and losses are presented in the statement of comprehensive income within 'other gains and losses'.

B. Translation of foreign operations

The operating results and financial position of all the group entities and associates that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- (a) Assets and liabilities for each balance sheet presented are translated at the closing exchange rate at the date of that balance sheet;
- (b) Income and expenses for each statement of comprehensive income are translated at the average exchange rates of that period; and
- (c) All resulting exchange differences are recognised in other comprehensive income.

When presenting the Group's functional currency denominated financial statements in NT dollars, the average exchange rates were NT \$31.17 (in dollars) to US \$1 (in dollar) and NT \$32.11 (in dollars) to US \$1 (in dollar) for the years ended December 31, 2025 and 2024, respectively; the closing rates were NT \$31.43 (in dollars) to US \$1 (in dollar) and NT \$32.785 (in dollars) to US \$1 (in dollars) as of December 31, 2025 and 2024, respectively.

(5) Classification of current and non-current items

A. Assets that meet one of the following criteria are classified as current assets; otherwise they are classified as non-current assets:

- (a) Assets that are expected to be realised, or are intended to be sold or consumed in the normal operating cycle;
- (b) Assets held mainly for trading purposes;
- (c) Assets that are expected to be realised within twelve months after the reporting period;
- (d) Cash and cash equivalents, excluding restricted cash and cash equivalents and those that are to be exchanged or used to settle liabilities for at least twelve months after the reporting period.

B. Liabilities that meet one of the following criteria are classified as current liabilities; otherwise they are classified as non-current liabilities:

- (a) Liabilities that are expected to be settled in the normal operating cycle;
- (b) Liabilities arising mainly from trading activities;
- (c) Liabilities that are due to be settled within twelve months after the reporting period;
- (d) Liabilities for which the repayment date cannot be extended unconditionally to more than twelve months after the balance sheet date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

(6) Cash equivalents

Cash equivalents refer to short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Time deposits that meet the definition above and are held for the purpose of meeting short-term cash commitments in operations are classified as cash equivalents.

(7) Financial assets/liabilities at fair value through profit or loss

- A. Financial assets at fair value through profit or loss are financial assets that are not measured at amortised cost or fair value through other comprehensive income. Financial assets measured at amortised cost or fair value through other comprehensive income are designated as the financial assets at fair value through profit or loss at initial recognition by the Group if doing so eliminates or significantly reduces a measurement or recognition inconsistency.
- B. On a regular way purchase or sale basis, financial assets at fair value through profit or loss are recognised and derecognised using settlement date accounting.
- C. Financial assets at fair value through profit or loss are initially recognised at fair value. Related transaction costs are expensed in profit or loss. These financial assets are subsequently measured and stated at fair value, and any changes in the fair value of these financial assets are recognised in profit or loss.
- D. The Group recognises the dividend income in profit or loss only when the right to receive payment is established, it is probable that the economic benefits associated with the dividend will flow to the Group, and the amount of the dividend can be measured reliably.

(8) Financial assets at fair value through other comprehensive income

- A. The Group may make irrevocable election at initial recognition to recognise the changes in fair value in other comprehensive income for the investments in equity instruments that is not held for trading or the investments in debt instruments meet both of the following conditions:
 - (a) The financial assets held within a business model whose objective is both collecting contractual cash flows and selling financial assets.
 - (b) The contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- B. On a regular way purchase or sale basis, financial assets at fair value through other comprehensive income are recognised and derecognised using settlement date accounting.
- C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. The Group subsequently measures the financial assets at fair value:
 - (a) The changes in fair value of equity instruments are recognised in other comprehensive income. The cumulative gain or loss previously recognised in other comprehensive income shall be recorded to retained earnings and not be reclassified to profit or loss upon the derecognition. Dividends are recognised in profit or loss when the right to receive payment is established, it is probable that the economic benefits associated with the dividend will flow to the Group, and the amount of the dividend can be measured reliably.
 - (b) Except for the impairment losses, interest income and foreign exchange gains or losses which are recognised in profit or loss, the changes in fair value of debt instruments are recognised in other comprehensive income before derecognition. When the financial asset is derecognised, the cumulative gain or loss previously recognised in other comprehensive income is

reclassified from equity to profit or loss.

(9) Financial assets at amortised cost

- A. Financial assets at amortised cost are those that meet both of the following conditions:
 - (a) The financial assets held within a business model whose objective is in order to collect contractual cash flows, and
 - (b) The contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- B. On a regular way purchase or sale basis, financial assets at amortised cost are recognised and derecognised using settlement date accounting.
- C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. Interest income from these financial assets is included in finance income using the effective interest method. A gain or loss is recognised in profit or loss when the asset is derecognised or impaired.
- D. The Group's time deposits which do not meet the condition of cash equivalents are those with a short maturity period and are measured at initial investment amount as the effect of discounting is immaterial.

(10) Accounts and notes receivable

- A. Accounts and notes receivable entitle the Group a legal right to receive consideration in exchange for transferred goods or rendered services.
- B. The short-term accounts and notes receivable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(11) Impairment of financial assets

For debt instruments measured at fair value through other comprehensive income and financial assets at amortised cost including accounts receivable or contract assets containing a significant financing component, lease receivables, loan commitments and financial guarantee contracts, at each balance sheet date, the Group recognises the impairment provision for 12 months expected credit losses if there has not been a significant increase in credit risk since initial recognition or recognises the impairment provision for the lifetime expected credit losses (ECLs) if such credit risk has increased since initial recognition after taking into consideration all reasonable and verifiable information (including forecasts). On the other hand, the Group recognises the impairment provision for lifetime ECLs for accounts receivable or contract assets containing a significant financing component.

(12) Derecognition of financial assets

The Group derecognises a financial asset when the contractual rights to receive the cash flows from the financial asset expire.

(13) Leases (lessor)

Lease income from an operating lease (net of any incentives given to the lessee) is recognised in profit or loss on a straight-line basis over the lease term.

(14) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted-average method. The cost of finished goods and work in process comprises raw materials, direct labour, other direct costs and related production overheads (allocated based on normal operating capacity). It excludes borrowing costs. The item by item approach is used in applying the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale.

(15) Investments accounted for using equity method / associates

- A. Associates are all entities over which the Group has significant influence but not control. In general, it is presumed that the investor has significant influence, if an investor holds, directly or indirectly 20 percent or more of the voting power of the investee. Investments in associates are accounted for using the equity method and are initially recognised at cost.
- B. The Group's share of its associates' post-acquisition profits or losses is recognised in profit or loss, and its share of post-acquisition movements in other comprehensive income is recognised in other comprehensive income. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.
- C. When changes in an associate's equity do not arise from profit or loss or other comprehensive income of the associate and such changes do not affect the Group's ownership percentage of the associate, the Group recognises change in ownership interests in the associate in 'capital surplus' in proportion to its ownership.
- D. Unrealised gains on transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associates. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been adjusted where necessary to ensure consistency with the policies adopted by the Group.
- E. In the case that an associate issues new shares and the Group does not subscribe or acquire new shares proportionately, which results in a change in the Group's ownership percentage of the associate but maintains significant influence on the associate, then 'capital surplus' and 'investments accounted for under the equity method' shall be adjusted for the increase or decrease of its share of equity interest. If the above condition causes a decrease in the Group's ownership percentage of the associate, in addition to the above adjustment, the amounts

previously recognised in other comprehensive income in relation to the associate are reclassified to profit or loss proportionately on the same basis as would be required if the relevant assets or liabilities were disposed of.

- F. At the balance sheet date, the Group performs an impairment test for an investment in an associate when there is an indication that the investment may be impaired. The entire carrying amount of the investment (including goodwill) is tested for impairment as a single asset, by comparing its recoverable amount (higher of value in use and fair value less costs of disposal) with its carrying amount. Any impairment loss recognized forms part of the carrying amount of the investment. Any reversal of impairment loss is recognized to the extent that the recoverable amount of the investment subsequently increases.

(16) Property, plant and equipment

- A. Property, plant and equipment are initially recorded at cost. Borrowing costs incurred during the construction period are capitalised.
- B. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.
- C. Land is not depreciated. Other property, plant and equipment apply cost model and are depreciated using the straight-line method to allocate their cost over their estimated useful lives. Each part of an item of property, plant, and equipment with a cost that is significant in relation to the total cost of the item must be depreciated separately.
- D. The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, 'Accounting policies, changes in accounting estimates and errors', from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures	5 ~ 54 years
Machinery and equipment	2 ~ 16 years
Leasehold improvements	5 years or the lease term whichever is shorter
Other equipment	3 ~ 16 years

(17) Leases (lessee)

- A. Leases are recognised as right-of-use asset and a corresponding lease liability at the date at which the leased asset is available for use by the Group. For short-term leases or leases of low-value assets, lease payments are recognised as an expense on a straight-line basis over the lease term.

- B. At the commencement date, the right-of-use asset measured at cost shall comprise the amount of the initial measurement of lease liability and any initial direct costs incurred. The right-of-use asset subsequently measured at cost model and shall be depreciated from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.
- C. The lease liability is at the present value of the lease payments that are not paid and shall be discounted using the Group's incremental borrowing rate at commencement date. The lease payments include fixed payments less any lease incentives receivable. The lease liability is subsequently measured using an effective interest method on an amortised cost basis and the interest expense is allocated over the lease term. The amount of the remeasurement of the lease liability shall be recognised as an adjustment to the right-of-use asset if there are changes in the lease term or to the lease payments not arising from contract modifications.

(18) Investment property

An investment property is stated initially at its cost and measured subsequently using the cost model. Except for land, investment property is depreciated on a straight-line basis over its estimated useful life of 25 years.

(19) Intangible assets

A. Patents and technological expertise

Separately acquired patents and technological expertise are recognised at cost. Patents and technological expertise acquired in a business combination are recognised at fair value at the acquisition date. Patents and technological expertise with a finite useful life are amortised on the straight-line method over their estimated useful life of 5 years.

B. Customer relationship

Customer relationship is obtained as a result of a business combination and is amortised on a straight-line basis over its estimated life of 10 years.

C. Computer software

Computer software shall be measured initially at cost and amortised on the straight-line method over its estimated useful life of 3 to 5 years.

D. Goodwill

Goodwill arose from a business combination accounted for by applying the acquisition method.

(20) Impairment of non-financial assets

- A. The Group assesses at each balance sheet date the recoverable amounts of those assets where there are any impairment indications. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell or value in use. Except for goodwill, when the circumstances or reasons for recognising impairment loss for an asset in prior years no longer exist or diminish, the impairment loss is reversed. The increased carrying amount due to reversal should not be more than what the depreciated or amortised historical cost would have been if the

impairment had not been recognised.

- B. The recoverable amounts of goodwill shall be evaluated periodically. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. Impairment loss of goodwill previously recognised in profit or loss shall not be reversed in the following years.
- C. For the purpose of impairment testing, goodwill acquired in a business combination is allocated based on the operating segment to each of the cash-generating units, or groups of cash-generating units, that is/are expected to benefit from the synergies of the business combination.

(21) Borrowings

- A. Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognised in profit or loss over the period of the borrowings using the effective interest method.
- B. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a pre-payment for liquidity services and amortised over the period of the facility to which it relates.

(22) Accounts payable

- A. Accounts payable are the liabilities for purchases of raw materials, goods or services.
- B. The short-term accounts payable without bearing interest are measured at initial invoice amount as the effect of discounting is immaterial.

(23) Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability specified in the contract is discharged, cancelled, or expired.

(24) Financial liabilities and equity instruments

Convertible corporate bonds issued by the Group are embedded with conversion options (that is, the bondholders have the right to convert the bonds into the Group's ordinary share by exchanging a fixed amount of cash for a fixed number of ordinary share), call options and put options. In accordance with the terms and conditions of the indenture, the Group classifies the convertible corporate bonds and the embedded derivative instruments on initial recognition as a financial asset, a financial liability or an equity instrument (the 'capital surplus-share options'). Convertible corporate bonds are accounted for as follows:

- A. The exercise price of call options and put options embedded in the convertible corporate bonds is approximately equal to the amortised cost of the host debt instrument on each exercise date; therefore, call options and put options are closely related to the host debt contract.
- B. Call options, put options, and host debt of the convertible corporate bonds are initially recognised

at fair value. Any difference between the proceeds and the redemption value is accounted for as the premium or discount on bonds payable and presented as an addition to or deduction from bonds payable, which is amortised in profit or loss as an adjustment to the 'finance costs' over the period of bond outstanding using the effective interest method.

- C. Conversion options embedded in convertible corporate bonds issued by the Group, which meet the definition of an equity instrument, are initially recognised in the 'capital surplus-share options' at the residual amount of total issue price less amounts of the 'bonds payable' as stated above. Conversion options are not subsequently remeasured.
- D. Any transaction costs directly attributable to the issuance of convertible corporate bonds are allocated to the liability and equity components in proportion to the allocation of proceeds.
- E. When bondholders exercise conversion options, the liability component shall be remeasured on the conversion date. The carrying amount of ordinary share issued due to the conversion shall be based on the remeasured carrying amount of the abovementioned liability component plus the carrying amount of the 'capital surplus-share options'.

(25) Employee benefits

A. Short-term employee benefits

Short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for that service, and shall be recognised as expenses when the employees have rendered service.

B. Pensions

(a) Defined contribution plans

For defined contribution plans, the contributions shall be recognised as pension expenses when they are due on an accrual basis. Prepaid contributions shall be recognised as an asset to the extent that the prepayment will lead to a cash refund or a reduction in the future payments.

(b) Defined benefit plans

- i. Net obligation under a defined benefit plan is accrued from the present value of future benefits that employees have earned in return for their services in the current or prior periods. The Group recognised the present value of the defined benefit obligation deducting the fair value of plan assets at the balance sheet date. Net obligation of the defined benefit is calculated annually by independent actuaries using the projected unit credit method and is discounted by using the market yield on government bonds (at the balance sheet date).
- ii. Remeasurements arising on defined benefit plans are recognised in other comprehensive income in the period in which they arise and are recorded as retained earnings.

C. Employees' compensation and directors' remuneration

Employees' compensation and directors' remuneration are recognised as expenses and liabilities, provided that such recognition is required under legal or constructive obligation and those

amounts can be reliably estimated. Any difference between the resolved amounts and the subsequently actual distributed amounts is accounted for as changes in estimates. If employees' compensation (bonus) is distributed by shares, the Group calculates the number of shares based on the fair value per share (closing price) at the previous day of the Board of Directors' resolution.

(26) Employee share-based payment

- A. For the equity-settled share-based payment arrangements, the employee services received are measured at the fair value of the equity instruments at the grant date, and are recognised as compensation cost over the vesting period, with a corresponding adjustment to equity. The fair value of the equity instruments granted shall reflect the impact of market vesting conditions and non-vesting conditions. Compensation cost is subject to adjustment based on the service conditions that are expected to be satisfied and the estimates of the quantity of equity instruments that are expected to vest under the non-market vesting conditions. Ultimately, the amount of compensation cost is recognised based on the number of equity instruments that eventually vest.
- B. Employee restricted stocks:
 - (a) Employee restricted stocks measured at the fair value of the equity instruments at the grant date, and are recognised as compensation cost over the vesting period.
 - (b) Those restricted stocks do not restrict distribution of dividends to employees and employees are not required to return the dividends received if they resign during the vesting period, the Group recognises the fair value of the dividends received by the employees who are expected to resign during the vesting period as compensation cost at the date of dividends declared.
 - (c) Employees have to pay to acquire those restricted stocks. If employees resign during the vesting period, the Group must refund their payments in exchange for the restricted stocks return by the employees. The Group recognises the payments to the employees who are expected to resign during the vesting period as liabilities at the grant date, and recognises the payments for the employees who are expected to be eventually vested with the stocks in 'capital surplus – others'.

(27) Income tax

- A. The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or items recognised directly in equity, in which cases the tax is recognised in other comprehensive income or equity.
- B. The current income tax expense is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date in the countries where the Group operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in accordance with applicable tax regulations. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities. Different tax regulations are applicable to the Group according to the countries where the companies are

registered:

- (a) Companies that are registered in Cayman Islands and British Virgin Islands are exempted from income tax in accordance with local regulations.
 - (b) For the companies that are registered in the Republic of China, in addition to income tax that is estimated in accordance with the tax laws, an additional tax is levied on the unappropriated retained earnings and is recorded as income tax expense in the year the shareholders resolve to retain the earnings. When calculating income tax, in addition to applying the tax laws to calculate regular tax, the basic tax is calculated under the 'Income Basic Tax Act.' If regular tax is lower than basic tax, the difference between them shall be added to income tax payable. The aforementioned difference shall not be offset with investment tax credits under other laws and regulations.
 - (c) Income taxes of companies that are registered in Mainland China are calculated in accordance with 'Law of the People's Republic of China on Enterprise Income Tax' and its implementation and related notification letters.
 - (d) Income taxes of companies that are registered in the Government of the Hong Kong Special Administrative Region of the People's Republic of China are calculated based on the revenue earned in Hong Kong and in accordance with 'Hong Kong Inland Revenue Ordinance'.
 - (e) Income taxes of companies that are registered in the Singapore, India and Japan are calculated in accordance with the local regulations for the current year.
- C. Deferred income tax is recognised, using the balance sheet liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated balance sheet. However, the deferred income tax is not accounted for if it arises from initial recognition of goodwill or of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss and does not give rise to equal taxable and deductible temporary differences. Deferred income tax is provided on temporary differences arising on investments in subsidiaries, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the balance sheet date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.
- D. Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised. At each balance sheet date, unrecognised and recognised deferred income tax assets are reassessed.
- E. Current income tax assets and liabilities are offset and the net amount is reported in the balance sheet when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

Deferred income tax assets and liabilities are offset on the balance sheet when the entity has the legally enforceable right to offset current tax assets against current tax liabilities and they are levied by the same taxation authority on either the same entity or different entities that intend to settle on a net basis or realise the asset and settle the liability simultaneously.

(28) Dividends

Dividends are recorded in the Company's financial statements in the period in which they are resolved by the Company's shareholders. Cash dividends are recorded as liabilities; stock dividends are recorded as stock dividends to be distributed and are reclassified to ordinary shares on the effective date of new shares issuance.

(29) Revenue recognition

A. Sales of goods

- (a) The Group manufactures and sells PCB and related products. Sales are recognised when control of the products has transferred, being when the products are delivered to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, or the Group has objective evidence that all criteria for acceptance have been satisfied.

Sales of PCB and related products are recognised as the amount of contract price, net of the estimated discounts credits and price concessions.

- (b) A receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

B. Financial component

The contract between the Group and the customer, as the time interval between the transfer of committed goods or service and the payment of customer does not exceed one year, the Group does not adjust the transaction price to reflect the time value of money.

(30) Government grants

Government grants shall not be recognised at fair value until there is reasonable assurance that the entity will comply with the conditions attached to them, and that the grants will be received. Government grants shall be recognised in profit on a systematic basis over the periods in which the entity recognises the related expenses for which the grants are intended to compensate. Government grants related to property, plant and equipment shall be recognised within non-current liabilities that are recognised in profit on the straight-line method over the estimated useful life of related assets.

(31) Business combinations

- A. The Group uses the acquisition method to account for business combinations. The consideration transferred for an acquisition is measured as the fair value of the assets transferred, liabilities incurred or assumed and equity instruments issued at the acquisition date, plus the fair value of any assets and liabilities resulting from a contingent consideration arrangement. All acquisition-related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. For each business combination, the Group measures at the acquisition date components of non-controlling interests in the acquiree that are present ownership interests and entitle their holders to the proportionate share of the entity's net assets in the event of liquidation at either fair value or the present ownership instruments' proportionate share in the recognised amounts of the acquiree's identifiable net assets. All other non-controlling interests should be measured at the acquisition-date fair value.
- B. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of any previous equity interest in the acquiree over the fair value of the identifiable assets acquired and the liabilities assumed is recorded as goodwill at the acquisition date. If the total of consideration transferred, non-controlling interest in the acquiree recognised and the fair value of previously held equity interest in the acquiree is less than the fair value of the identifiable assets acquired and the liabilities assumed, the difference is recognised directly in profit or loss on the acquisition date.

(32) Operating segments

Operating segments are reported in a manner consistent with the internal management reports provided to the chief operating decision-maker, who is responsible for allocating resources to operating segments and evaluating their performance.

5. CRITICAL ACCOUNTING JUDGEMENTS, ESTIMATES AND KEY SOURCES OF ASSUMPTION UNCERTAINTY

The preparation of these consolidated financial statements requires management to make critical judgements in applying the Group's accounting policies and make critical assumptions and estimates concerning future events. Assumptions and estimates may differ from the actual results and are continually evaluated and adjusted based on historical experience and other factors. Such assumptions and estimates have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The related information is addressed below:

Critical accounting estimates and assumptions

Accounting estimates are based on the situation on the balance sheet date to estimate future events, though there could be differences between the actual events and estimation. Estimates and assumptions on the risk of possible critical adjustments to the carrying amount of assets and liabilities for the next fiscal year are as follows:

Evaluation of inventories

As inventories are stated at the lower of cost and net realisable value, the Group must determine the net realisable value of inventories on balance sheet date using judgements and estimates. Due to the rapid technology innovation, the Group evaluates the amounts of normal inventory consumption, obsolete inventories or inventories without market selling value on balance sheet date, and writes down the cost of inventories to the net realisable value. Such an evaluation of inventories is principally based on the demand for the products within the specified period in the future. Therefore, there might be material changes to the evaluation.

As of December 31, 2025, the carrying amount of inventories was \$19,616,306.

6. DETAILS OF SIGNIFICANT ACCOUNTS

(1) Cash and cash equivalents

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Cash on hand and petty cash	\$ 176	\$ 242
Checking accounts and demand deposits	32,157,259	32,853,027
Cash equivalents		
Time deposits	<u>38,958,937</u>	<u>46,648,744</u>
	<u>\$ 71,116,372</u>	<u>\$ 79,502,013</u>

A. As of December 31, 2025 and 2024, the Group's time deposits over three months which are recognised within 'current financial assets at amortised cost' are described in Note 6(3).

B. The Group has no cash and cash equivalents pledged to others except for restricted demand deposits which are recognised within 'other current assets' and 'other non-current assets'. Refer to Note 8 for details.

(2) Financial assets at fair value through profit or loss

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Non-current items:		
Private fund	\$ 1,146,351	\$ 1,124,995
Unlisted partnership share	<u>1,115,280</u>	<u>546,040</u>
	2,261,631	1,671,035
Net exchange differences	<u>89,245</u>	<u>82,652</u>
	<u>\$ 2,350,876</u>	<u>\$ 1,753,687</u>

A. The Group recognised net gain (loss) of \$400,787 and (\$170,275) within 'financial assets at fair value through profit or loss held for trading' for the years ended December 31, 2025 and 2024, respectively.

B. The distribution of income from private equity funds for the years ended December 31, 2025 and 2024 amounted to \$111,086 and \$26,027 respectively.

C. As of December 31, 2025 and 2024, the Group has no unsettled forward foreign exchange transactions.

D. The Group has no financial assets at fair value through profit or loss pledged to others.

(3) Financial assets at amortised cost

<u>Items</u>	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Current items		
Time deposits with maturity of over three months	\$ <u>35,773</u>	\$ <u>327,850</u>

A. Refer to Note 6(26) for interest income arising from financial assets at amortised cost recognised in profit or loss for the years ended December 31, 2025 and 2024.

B. The Group has no financial assets at amortised cost pledged to others as tariff guarantee, except for time deposits with maturity of over three months which are recognised within 'other current assets' and time deposits with maturity of over one year which are recognised within 'other non-current assets'. Refer to Note 8 for details.

C. Refer to Note 12(2) for the information on credit risk.

(4) Notes and accounts receivable

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Notes receivable	\$ 822,711	\$ 320,103
Accounts receivable	<u>26,486,577</u>	<u>26,681,255</u>
	27,309,288	27,001,358
Less: Allowance for bad debts	(<u>81,583</u>)	(<u>81,125</u>)
	<u>\$ 27,227,705</u>	<u>\$ 26,920,233</u>
Accounts receivable due from related parties	\$ 4,197,245	\$ 3,272,706
Less: Allowance for bad debts	(<u>12,596</u>)	(<u>9,818</u>)
	<u>\$ 4,184,649</u>	<u>\$ 3,262,888</u>

A. The ageing analysis of accounts receivable and notes receivable that were past due but not impaired is as follows:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Not past due	\$ 31,336,568	\$ 29,802,551
Between 1 and 90 days	164,277	471,400
Between 91 and 180 days	1,565	113
Over 180 days	<u>4,123</u>	<u>-</u>
	<u>\$ 31,506,533</u>	<u>\$ 30,274,064</u>

B. As of December 31, 2025 and 2024, accounts receivable and notes receivable were all from contracts with customers. In addition, as of January 1, 2024, the balance of receivables arising from contracts with customers amounted to \$29,336,594.

C. The Group does not hold any collateral as security.

D. Refer to Note 12(2) for the information on credit risk.

(5) Other receivables and prepayments

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
<u>Other receivables</u>		
Interest income receivable	\$ 143,429	\$ 193,684
Business tax refundable	354,758	496,970
Others (Note)	<u>706,061</u>	<u>84,833</u>
	<u>\$ 1,204,248</u>	<u>\$ 775,487</u>
	<u>December 31, 2025</u>	<u>December 31, 2024</u>
<u>Prepayments</u>		
Excess business tax paid	\$ 2,806,639	\$ 2,594,151
Prepaid expenses	<u>1,445,093</u>	<u>1,131,538</u>
	<u>\$ 4,251,732</u>	<u>\$ 3,725,689</u>

Note: The nature of other categories mainly pertains to insurance claim payment of our subsidiary, Boardtek Electronics Corporation, were fully recovered subsequent to the reporting period.

The Group's Mainland China subsidiaries are engaged in export sales. Under local regulations, the subsidiaries are entitled to tax benefits on business tax ('VAT') exemption, deduction and refund on the exports of goods. The subsidiaries calculate VAT refund and deductible amounts based on monthly sales by product types. The subsidiaries' counterparties and performing parties are mainly government organizations, so the possibility of default is remote. The subsidiaries recognise related refunds and deductibles within 'other receivables' and 'prepayments', respectively.

(6) Inventories

	<u>December 31, 2025</u>		
	<u>Cost</u>	<u>Allowance for valuation losses</u>	<u>Carrying amount</u>
Raw materials	\$ 6,001,762	(\$ 318,328)	\$ 5,683,434
Work in process	6,873,049	(244,991)	6,628,058
Finished goods	<u>7,706,835</u>	<u>(402,021)</u>	<u>7,304,814</u>
	<u>\$ 20,581,646</u>	<u>(\$ 965,340)</u>	<u>\$ 19,616,306</u>
	<u>December 31, 2024</u>		
	<u>Cost</u>	<u>Allowance for valuation losses</u>	<u>Carrying amount</u>
Raw materials	\$ 4,212,804	(\$ 256,303)	\$ 3,956,501
Work in process	5,532,168	(345,232)	5,186,936
Finished goods	<u>9,229,856</u>	<u>(383,708)</u>	<u>8,846,148</u>
	<u>\$ 18,974,828</u>	<u>(\$ 985,243)</u>	<u>\$ 17,989,585</u>

Expenses and losses incurred on inventories for the years ended December 31, 2025 and 2024 are as follows:

	Years ended December 31,	
	2025	2024
Cost of goods sold	\$ 150,454,885	\$ 142,372,373
Reversal of losses on valuation of inventory	(44,248)	(381,495)
Income from sale of scraps and wastes	(4,025,421)	(2,787,795)
	<u>\$ 146,385,216</u>	<u>\$ 139,203,083</u>

A. The Group reversed losses from a previous inventory write-down and recognised gain on reversal for the year ended December 31, 2025 as the Group sold some inventories with net realizable values lower than its costs.

B. On January 5, 2025, a fire broke out in the subsidiary, Boardtek Electronics Corporation, which resulted in the destruction of some of its inventory. Refer to Note 10 for details.

(7) Non-current financial assets at fair value through other comprehensive income

	2025	2024
Equity instruments		
Listed stocks	\$ 539,891	\$ 293,167
Unlisted stocks	1,336,209	764,937
Valuation adjustment	2,446,132	645,572
Net exchange differences	40,346	65,066
	<u>\$ 4,362,578</u>	<u>\$ 1,768,742</u>

A. The Group has elected to classify the stocks that are considered to be strategic investments as financial assets at fair value through other comprehensive income.

B. In 2025 and 2024, the Group sold shares of a listed company with a fair value of \$356,648 and \$51,600, and the accumulated disposal gain (recorded as undistributed earnings) were \$182,798 and \$16,656, respectively.

C. Amounts recognised in other comprehensive income in relation to the financial assets at fair value through other comprehensive income are listed below:

	Years ended December 31,	
	2025	2024
<u>Equity instruments at fair value through other comprehensive income (loss)</u>		
Fair value change recognised in other comprehensive income (loss)	<u>\$ 1,983,358</u>	<u>(\$ 174,000)</u>
Cumulative gain reclassified to retained earnings due to derecognition	<u>\$ 182,798</u>	<u>\$ 16,656</u>
Dividend income recognised in profit or loss	<u>\$ 13,252</u>	<u>\$ 8,036</u>

D. The Group has no financial assets at fair value through other comprehensive income pledged to others.

(8) Property, plant and equipment

	Land	Buildings and structures	Machinery and equipment	Other facilities	Unfinished construction and equipment under acceptance	Total
<u>At January 1, 2025</u>						
Cost	\$ 3,540,421	\$ 57,144,378	\$ 83,816,660	\$ 51,570,782	\$ 12,657,973	\$ 208,730,214
Accumulated depreciation and impairment	-	(15,401,497)	(48,417,655)	(34,738,467)	-	(98,557,619)
	<u>\$ 3,540,421</u>	<u>\$ 41,742,881</u>	<u>\$ 35,399,005</u>	<u>\$ 16,832,315</u>	<u>\$ 12,657,973</u>	<u>\$ 110,172,595</u>
<u>2025</u>						
Opening net carrying amount	\$ 3,540,421	\$ 41,742,881	\$ 35,399,005	\$ 16,832,315	\$ 12,657,973	\$ 110,172,595
Acquired from business combinations	-	99,344	379,943	50,878	25,038	555,203
Additions (transfers)	23,444	4,226,781	12,059,835	8,054,181	8,902,859	33,267,100
Disposals and scrapping	-	(301,680)	(817,842)	(123,147)	(13,640)	(1,256,309)
Depreciation expense	-	(3,097,953)	(7,035,431)	(7,390,662)	-	(17,524,046)
Impairment losses	-	-	(37,260)	-	-	(37,260)
Net exchange differences	(63,979)	(482,506)	(707,890)	(104,952)	(81,122)	(1,440,449)
Closing net carrying amount	<u>\$ 3,499,886</u>	<u>\$ 42,186,867</u>	<u>\$ 39,240,360</u>	<u>\$ 17,318,613</u>	<u>\$ 21,491,108</u>	<u>\$ 123,736,834</u>
<u>At December 31, 2025</u>						
Cost	\$ 3,499,886	\$ 60,460,657	\$ 90,242,860	\$ 58,241,489	\$ 21,491,108	\$ 233,936,000
Accumulated depreciation and impairment	-	(18,273,790)	(51,002,500)	(40,922,876)	-	(110,199,166)
	<u>\$ 3,499,886</u>	<u>\$ 42,186,867</u>	<u>\$ 39,240,360</u>	<u>\$ 17,318,613</u>	<u>\$ 21,491,108</u>	<u>\$ 123,736,834</u>

	Land	Buildings and structures	Machinery and equipment	Other facilities	Unfinished construction and equipment under acceptance	Total
<u>At January 1, 2024</u>						
Cost	\$ 3,341,390	\$ 44,292,637	\$ 76,310,008	\$ 44,929,170	\$ 17,208,567	\$ 186,081,772
Accumulated depreciation and impairment	-	(12,026,255)	(41,307,098)	(27,034,922)	-	(80,368,275)
	<u>\$ 3,341,390</u>	<u>\$ 32,266,382</u>	<u>\$ 35,002,910</u>	<u>\$ 17,894,248</u>	<u>\$ 17,208,567</u>	<u>\$ 105,713,497</u>
<u>2024</u>						
Opening net carrying amount	\$ 3,341,390	\$ 32,266,382	\$ 35,002,910	\$ 17,894,248	\$ 17,208,567	\$ 105,713,497
Additions (transfers)	228	10,685,180	5,912,322	5,036,309	(5,300,846)	16,333,193
Disposals	-	-	(135,748)	(76,455)	-	(212,203)
Depreciation expense	-	(2,853,497)	(6,863,144)	(6,925,849)	-	(16,642,490)
Impairment losses	-	-	(1,213)	-	-	(1,213)
Net exchange differences	198,803	1,644,816	1,483,878	904,062	750,252	4,981,811
Closing net carrying amount	<u>\$ 3,540,421</u>	<u>\$ 41,742,881</u>	<u>\$ 35,399,005</u>	<u>\$ 16,832,315</u>	<u>\$ 12,657,973</u>	<u>\$ 110,172,595</u>
<u>At December 31, 2024</u>						
Cost	\$ 3,540,421	\$ 57,144,378	\$ 83,816,660	\$ 51,570,782	\$ 12,657,973	\$ 208,730,214
Accumulated depreciation and impairment	-	(15,401,497)	(48,417,655)	(34,738,467)	-	(98,557,619)
	<u>\$ 3,540,421</u>	<u>\$ 41,742,881</u>	<u>\$ 35,399,005</u>	<u>\$ 16,832,315</u>	<u>\$ 12,657,973</u>	<u>\$ 110,172,595</u>

- A. The significant parts of the Group's buildings and structures include main plants and auxiliary improvements, which are depreciated over 20~54 years and 3~10 years, respectively.
- B. The Group assesses recoverable amount of assets at the end of the reporting period based on fair value less selling cost. The fair value is determined using market approach valuation technique taking into consideration the replacement cost which belongs to Level 3. Based on the aforementioned assessment, the Group recognised impairment losses on property, plant and equipment of \$37,260 and \$1,213 for the years ended December 31, 2025 and 2024, respectively.
- C. On January 5, 2025, a fire broke out in the subsidiary, Boardtek Electronics Corporation, which resulted in the destruction of some of its property, plant and equipment. Refer to Note 10 for details.

(9) Right-of-use assets/Lease liabilities

- A. The assets leased by the Group include right-of-use land, buildings, official vehicles and other facilities. The Group's subsidiaries signed right-of-use land contracts with local governments to which the subsidiaries will return the land use right when the contract expires. Except for the lease term of right-of-use land of 20 to 70 years, the remaining lease terms are between 2 and 8 years. The lease contracts are negotiated individually and contain various terms and conditions without other restrictions except for certain leased assets which have been pledged to others.
- B. The leases of buildings, parking space, etc. of the Group have a lease term of 12 months or less, and the leases for which the underlying asset is of low value are all-in-one printers, etc.
- C. The information on the carrying amount of the right-of-use assets and the recognition of depreciation expense are as follows:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
	<u>Carrying amount</u>	<u>Carrying amount</u>
Right-of-use land	\$ 9,500,508	\$ 9,138,614
Buildings	170,799	84,522
Transportation equipment (official vehicles)	1,790	1,652
Other facilities	3,115	4,333
	<u>\$ 9,676,212</u>	<u>\$ 9,229,121</u>
	<u>Years ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
	<u>Depreciation expense</u>	<u>Depreciation expense</u>
Right-of-use land	\$ 340,307	\$ 318,689
Buildings	54,839	43,451
Transportation equipment (official vehicles)	1,447	2,466
Other facilities	1,106	1,465
	<u>\$ 397,699</u>	<u>\$ 366,071</u>

The acquisition of the right-of-use assets for the years ended December 31, 2025 and 2024 amounted to \$414,154 and \$134,481, respectively.

- D. The Group recognised rental expense for leases with a lease term of less than 12 months or leases for which the underlying asset is of low value. The information on the lease contract affecting profit or loss is as follows:

	Years ended December 31,	
	2025	2024
<u>Items affecting current profit or loss</u>		
Interest expense from lease liabilities	\$ 19,724	\$ 24,387
Rental expenses for short-term lease contracts and low-value assets	\$ 326,102	\$ 577,657

- E. The cash flows used in the lease payments of the Group for the years ended December 31, 2025 and 2024 were \$594,233 and \$380,405, respectively.

(10) Investment property

	December 31, 2025	December 31, 2024
	<u>Buildings and structures</u>	<u>Buildings and structures</u>
<u>At January 1</u>		
Cost	\$ 3,682,806	\$ 4,445,951
Accumulated depreciation and impairment	(393,606)	(194,604)
	<u>\$ 3,289,200</u>	<u>\$ 4,251,347</u>
Opening net carrying amount	\$ 3,289,200	\$ 4,251,347
Depreciation expense	(138,831)	(186,878)
Decrease	(11,303)	(994,398)
Net exchange differences	(67,794)	219,129
Closing net carrying amount	<u>\$ 3,071,272</u>	<u>\$ 3,289,200</u>
<u>At December 31</u>		
Cost	\$ 3,599,578	\$ 3,682,806
Accumulated depreciation and impairment	(528,306)	(393,606)
	<u>\$ 3,071,272</u>	<u>\$ 3,289,200</u>

A. Rental income from investment property and direct operating expenses arising from investment property are shown below:

	Year ended December 31, 2025	Year ended December 31, 2024
Rental income from investment property	\$ 164,971	\$ 137,626
Direct operating expenses arising from the investment property that generated rental income during the year	\$ 138,831	\$ 186,878

B. The fair value of the investment property held by the Group as at December 31, 2025 and 2024 amounted to \$7,634,899 and \$8,054,796, respectively, which was revalued by independent appraisers. The valuation is based on income approach which is categorized within Level 3 in the fair value hierarchy.

C. The decrease in investment property in 2025 and 2024 were mainly due to the reduction in project payments from suppliers.

(11) Intangible assets

	Year ended December 31, 2025				
	Patents and technological expertise	Customer relationship	Software	Goodwill	Total
<u>At January 1, 2025</u>					
Cost	\$ 474,390	\$ -	\$ 2,747,509	\$ 1,425,868	\$ 4,647,767
Accumulated amortisation	(380,279)	-	(2,170,809)	-	(2,551,088)
	<u>\$ 94,111</u>	<u>\$ -</u>	<u>\$ 576,700</u>	<u>\$ 1,425,868</u>	<u>\$ 2,096,679</u>
<u>2025</u>					
Opening net carrying amount	\$ 94,111	\$ -	\$ 576,700	\$ 1,425,868	\$ 2,096,679
Acquired from business combinations	10,194	568,659	12,112	257,968	848,933
Additions (transfers)	-	-	314,080	-	314,080
Amortisation expense	(69,907)	(4,749)	(417,235)	-	(491,891)
Net exchange	<u>2,722</u>	<u>4,572</u>	<u>(8,595)</u>	<u>(56,844)</u>	<u>(58,145)</u>
Closing net carrying amount	<u>\$ 37,120</u>	<u>\$ 568,482</u>	<u>\$ 477,062</u>	<u>\$ 1,626,992</u>	<u>\$ 2,709,656</u>
<u>At December 31, 2025</u>					
Cost	\$ 465,060	\$ 573,259	\$ 3,043,091	\$ 1,626,992	\$ 5,708,402
Accumulated amortisation	(427,940)	(4,777)	(2,566,029)	-	(2,998,746)
	<u>\$ 37,120</u>	<u>\$ 568,482</u>	<u>\$ 477,062</u>	<u>\$ 1,626,992</u>	<u>\$ 2,709,656</u>

Year ended December 31, 2024				
	Patents and technological expertise	Software	Goodwill	Total
<u>At January 1, 2024</u>				
Cost	\$ 444,293	\$ 2,436,486	\$ 1,335,405	\$ 4,216,184
Accumulated amortisation	(275,739)	(1,627,239)	-	(1,902,978)
	<u>\$ 168,554</u>	<u>\$ 809,247</u>	<u>\$ 1,335,405</u>	<u>\$ 2,313,206</u>
<u>2024</u>				
Opening net carrying amount	\$ 168,554	\$ 809,247	\$ 1,335,405	\$ 2,313,206
Additions (transfers)	-	200,048	-	200,048
Amortisation expense	(84,089)	(469,094)	-	(553,183)
Net exchange differences	9,646	36,499	90,463	136,608
Closing net carrying amount	<u>\$ 94,111</u>	<u>\$ 576,700</u>	<u>\$ 1,425,868</u>	<u>\$ 2,096,679</u>
<u>At December 31, 2024</u>				
Cost	\$ 474,390	\$ 2,747,509	\$ 1,425,868	\$ 4,647,767
Accumulated amortisation	(380,279)	(2,170,809)	-	(2,551,088)
	<u>\$ 94,111</u>	<u>\$ 576,700</u>	<u>\$ 1,425,868</u>	<u>\$ 2,096,679</u>

- A. The Group acquired 100% of the shares of Boardtek Electronics Corporation on November 4, 2020, Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd. in 2008, and 53.68% of the shares of Huayang Group on November 30, 2025. Consequently, the Group recognised goodwill as well as patents, customer relationship and technological expertise under the acquisition method.
- B. Goodwill is allocated to the cash-generating units identified by operating segments. The recoverable amount has been determined based on value-in-use calculations with operating income rate, growth rate and discount rate. Management determined budgeted operating income rate based on its expectations of market development, the growth rates based on the expectations of industry, and the discount rates based on the weighted average capital cost. The discount rate was 5.11% and 4.01% for the years ended December 31, 2025 and 2024, respectively.

(12) Other non-current assets

	December 31, 2025	December 31, 2024
Prepayments for business facilities	\$ 2,031,404	\$ 1,359,725
Refundable deposits	1,121,995	190,359
Net defined benefit asset	138,784	103,412
Others	140,441	393,442
	<u>\$ 3,432,624</u>	<u>\$ 2,046,938</u>

Information about other non-current assets that were pledged to others as tariff guarantee and reserve

accounts for long-term is described in Note 8.

(13) Short-term borrowings

Type of borrowings	December 31, 2025	Interest rate range	Collateral
Credit loans	\$ 23,839,009	1.68%~8.30%	None
	December 31, 2024	Interest rate range	Collateral
Credit loans	\$ 21,706,441	1.93%~8.50%	None

(14) Other payables

	December 31, 2025	December 31, 2024
Payable on machinery and equipment	\$ 8,434,591	\$ 7,339,279
Wages and bonuses payable	4,539,233	4,964,198
Payable on mold and jig	1,772,308	1,173,184
Repairs and maintenance fee payable	1,149,858	1,222,087
Power expenses payable	407,589	398,816
Payables for processing fees	399,150	351,457
Tax payable	296,277	579,733
Freight payable	251,813	270,009
Others	2,461,448	2,842,538
	<u>\$ 19,712,267</u>	<u>\$ 19,141,301</u>

(15) Bonds payable

	December 31, 2025	December 31, 2024
4th overseas unsecured convertible bonds:		
Bonds payable	\$ -	\$ 14,243,722
Less: Discount on bonds payable	-	(2,642,118)
	<u>-</u>	<u>11,601,604</u>
5th overseas unsecured convertible bonds:		
Bonds payable	13,716,052	-
Less: Discount on bonds payable	(2,644,891)	-
	<u>11,071,161</u>	<u>-</u>
Bonds payable subtotal	<u>11,071,161</u>	<u>11,601,604</u>
Less: Current portion of bonds payable (within 'long-term liabilities, current portion')	<u>-</u>	<u>-</u>
Bonds payable	<u>\$ 11,071,161</u>	<u>\$ 11,601,604</u>

A. Conditions for issuance of 4th overseas unsecured convertible bonds are as follows:

- (a) The competent authority has approved the Company's third issuance of overseas unsecured corporate bonds on January 15, 2024. The total issue amount of the bonds is USD 400,000 thousand, at a coupon rate of 0% and maturity of 5 years from January 24, 2024 to January 24, 2029.

- (b) The conversion price of the bonds is adjusted based on the pricing model in the terms of the bonds. As of June 14, 2024, the conversion price of the bonds was adjusted to NTD 101.62 (exchange rate of NTD 31.499 (in dollars) to USD 1 (in dollar)) based on the terms of the 4th overseas unsecured convertible bonds.
 - (c) The bondholders have the right to require the Company to repurchase all or any portion of bonds at the price of the bonds' principal amount with an annual rate of 3.375% (calculated semi-annually) as interest compensation (110.56% of the principal amount of the corporate bonds) on the day when three years have elapsed since issuance of the bonds.
 - (d) Except for bonds redeemed before maturity, repurchased and retired, or converted by the bondholders, the Company will fully redeem the bonds at the maturity date with an annual rate of 3.375% (calculated semi-annually) based on the principal amount. The redemption amount is about 118.22% of the principal amount of the corporate bonds, and the bonds will be redeemed in full.
 - (e) According to the terms of the bonds, all bonds repurchased (including bonds repurchased from the secondary market), redeemed before or at maturity, or converted by the bondholders are retired and not to be re-issued.
 - (f) According to the terms of the bonds, rights and obligations of newly issued shares after conversion are the same as other issued ordinary share. As of December 31, 2025, the bonds have been fully converted. The Company's fourth issuance of overseas unsecured convertible corporate bonds with the amount of USD 400,000 thousand was converted at the conversion price then into ordinary shares of \$1,235,167 (123,516,737 shares) at a par value of \$10 and resulted in 'capital surplus- additional paid-in capital arising from bond conversion' of \$12,330,516.
 - (g) The effective rate of the corporate bonds is 5.17%.
- B. Conditions for issuance of 5th overseas unsecured convertible bonds are as follows:
- (a) The competent authority has approved the Company's third issuance of overseas unsecured corporate bonds on September 4, 2025. The total issue amount of the bonds is USD 400,000 thousand, at a coupon rate of 0% and maturity of 5 years from September 25, 2025 to September 25, 2030.
 - (b) The conversion price of the bonds is adjusted based on the pricing model in the terms of the bonds. As of December 31, 2025, the conversion price was NTD 186.45 (exchange rate of NTD 30.073 (in dollars) to USD 1 (in dollar)), and no convertible bonds had been converted to ordinary shares.

- (c) The bondholders have the right to require the Company to repurchase all or any portion of bonds at the price of the bonds' principal amount with an annual rate of 1.75% (calculated semi-annually) as interest compensation (105.37% of the principal amount of the corporate bonds) on the day when three years have elapsed since issuance of the bonds.
 - (d) Except for bonds redeemed before maturity, repurchased and retired, or converted by the bondholders, the Company will fully redeem the bonds at the maturity date with an annual rate of 1.75% (calculated semi-annually) based on the principal amount. The redemption amount is about 109.10% of the principal amount of the corporate bonds, and the bonds will be redeemed in full.
 - (e) According to the terms of the bonds, all bonds repurchased (including bonds repurchased from the secondary market), redeemed before or at maturity, or converted by the bondholders are retired and not to be re-issued.
 - (f) According to the terms of the bonds, the rights and obligations of newly issued shares after conversion are the same as other issued ordinary shares.
 - (g) The effective rate of the corporate bonds is 4.55%.
- C. Regarding the issuance of the 4th overseas unsecured convertible bonds in 2024, the equity conversion options were separated from the liability component in accordance with IAS 32 and were recognised as 'capital surplus-share options' of \$1,015,416.
- D. Regarding the issuance of the 5th overseas unsecured convertible bonds in 2025, the equity conversion options were separated from the liability component in accordance with IAS 32 and were recognised as 'capital surplus-share options' of \$1,522,717.

(16) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>December 31, 2025</u>
Credit loans	Borrowing period is from March 24, 2022 to March 24, 2036; principal is repayable semiannually after four years since the first drawdown in twenty installments; 5% of principal has to be repaid for each installment.	\$ 4,550,840
	Borrowing period is from May 28, 2025 to May 28, 2027, interest will be deducted on the 21st of the last month of each quarter, and repayment will be made every six months based on the accumulated repayment ratio, with a total of four installments.	662,692
	Borrowing period is from August 18, 2022 to July 29, 2036; principal is repayable semiannually after four years since the first drawdown in twenty installments; 5% of principal has to be repaid for each installment.	2,012,221
	Borrowing period is from August 27, 2024 to August 27, 2027, interest will be paid quarterly and principal will be repaid every six months. In the first year after the first withdrawal, the principal of \$500,000 will be repaid every six months; in the second year after the withdrawal, the principal of \$30 million will be repaid every six months; in the third year after the withdrawal, the principal of \$119.5 million will be repaid every six months and settled on maturity.	1,201,475
	Borrowing period is from March 30, 2023 to March 30, 2026; the principal and interest are repayable on the last month of every quarter.	261,481
	Borrowing period is from September 14, 2023 to December 4, 2026; principal is repayable quarterly after six months (the first installment) since the first drawdown in eleven installments; 5% of principal has to be repaid for the first and second installments, and 10% of principal has to be repaid for the remaining installments.	117,354
	Borrowing period is from November 9, 2023 to March 31, 2028, the principal will be repaid in equal installments of 8% at the end of each quarter and interest will be paid monthly.	41,808

Type of borrowings	Borrowing period and repayment term	December 31, 2025
Credit loans	Borrowing period is from December 18, 2023 to August 24, 2028; interest is repayable monthly and the principal will not be repaid in the first four years; 5% of principal is repayable semiannually after half years since the drawdown in fifth installments, respectively, and the remaining is repayable on the due date. Borrowing period is from July 16, 2024 to July 16, 2027, the principal is repayable semiannually with the first installment of 4.5% of principal due six months after the first withdrawal, the second to fifth installments being 8.4% of principal, and the remainder being settled upon maturity. Borrowing period is from August 22, 2024 to August 20, 2027, the principal will be repaid every six months starting from the second year. The first year after the first transfer is a grace period and no principal will be repaid. Starting from the expiration of the grace period, principal will be repaid every six months. The first (1.5 years after the first transfer)/second/third transfer will be repaid at 1%/2%/3% of the total transfer amount, respectively, and the remaining balance will be repaid in lump sum upon maturity. Borrowing period is from September 25, 2024 to September 24, 2034, and starting from the first withdrawal, the principal will be repaid in installments every six months, for a total of twenty installments, each at 5%. Borrowing period is from April 30, 2025 to April 29, 2030, interest will be paid quarterly, with interest settled on the 20th of each quarter and interest deducted on the 21st. In addition, 2.5% of the principal will be repaid every six months for the first three years.	\$ 1,341,481 303,384 1,099,333 147,710 438,987

Type of borrowings	Borrowing period and repayment term	December 31, 2025
Credit loans	Borrowing period is from May 9, 2022 to May 9, 2035; principal is repayable semiannually after three years since the first drawdown in twenty installments; 5% of principal has to be repaid for each installment.	\$ 1,495,293
	Borrowing period is from June 29, 2022 to June 28, 2035; principal is repayable semiannually after three years since the first drawdown in twenty installments; 5% of principal has to be repaid for each installment.	1,645,273
	Borrowing period is from July 24, 2024 to January 24, 2028, interest will be paid monthly and the loan will be repaid in lump sum upon maturity.	785,750
	Borrowing period is from September 24, 2025 to September 22, 2028; interest will be paid quarterly; principal is repayable semiannually after 12 months since the first drawdown in a total of five installments, each at 5%, 10%, 15%, 20%, and 50%.	154,678
	Borrowing period is from November 14, 2025 to October 28, 2028, interest will be paid quarterly, 7.5% of the principal will be repaid semiannually from March 21, 2027, and the remaining balance will be repaid in lump sum upon maturity.	268,296
	Borrowing period is from November 17, 2025 to October 28, 2028, interest will be paid quarterly, 7.5% of the principal will be repaid semiannually from March 21, 2027, and the remaining balance will be repaid in one lump sum upon maturity.	178,864
	Borrowing period is from November 26, 2025 to November 21, 2029, interest will be paid quarterly, the principal is repayable semiannually from March 21, 2027. The first to second installment being 5% of principal, the second to third installments being 10% of principal, and 35% of principal has to be repaid for the remaining installments.	268,296
	Borrowing period is from November 26, 2025 to November 21, 2029, interest will be paid quarterly, the principal is repayable semiannually from March 21, 2027. The first to second installment being 5% of principal, the second to third installments being 10% of principal, and 35% of principal has to be repaid for the remaining installments.	178,864

Type of borrowings	Borrowing period and repayment term	December 31, 2025
Credit loans	Borrowing period is from February 15, 2026 to November 15, 2028; interest is repayable monthly, the principal is repayable in nine equal installments every quarter from November 16, 2026.	\$ 54,660
		17,208,740
Less: Current portion of long-term borrowings (within 'long-term liabilities, current portion')		(1,850,062)
		\$ 15,358,678
Interest rate		1.92%~6.09%

Type of borrowings	Borrowing period and repayment term	December 31, 2024
Syndicated loans	Borrowing period is from July 3, 2023 to July 3, 2026; principal is repayable semiannually from January 3, 2026 in two installments; 50% of principal has to be repaid for each installment.	\$ 8,196,250
Credit loans	Borrowing period is from March 24, 2022 to March 24, 2036; principal is repayable semiannually after four years since the first drawdown in twenty installments; 5% of principal has to be repaid for each installment.	4,641,638
	Borrowing period is from January 18, 2023 to January 18, 2025; principal is repayable semiannually after six months since the first drawdown in four installments; 5% of principal has to be repaid for each of the first 3 installments, and the remaining is repayable on the due date.	387,670
	Borrowing period is from August 18, 2022 to July 29, 2036; principal is repayable semiannually after four years since the first drawdown in twenty installments; 5% of principal has to be repaid for each installment.	2,052,369
	Borrowing period is from August 27, 2024 to August 27, 2027, interest will be paid quarterly and principal will be repaid every six months. In the first year after the first withdrawal, the principal of \$500,000 will be repaid every six months; in the second year after the withdrawal, the principal of \$30 million will be repaid every six months; in the third year after the withdrawal, the principal of \$119.5 million will be repaid every six months and settled on maturity.	1,364,552

Type of borrowings	Borrowing period and repayment term	December 31, 2024
Credit loans	Borrowing period is from March 30, 2023 to December 7, 2026; principal is repayable in equal installments on the last month of every quarter, and interest is payable accordingly.	\$ 732,171
	Borrowing period is from September 14, 2023 to December 4, 2026; starting six months after the first drawdown, principal is repayable quarterly in eleven installments. For the first and second installments, 5% of the principal must be repaid each time, and for the remaining installments, 10% of the principal must be repaid each time.	346,473
	Borrowing period is from November 9, 2023 to November 30, 2026, the principal will be repaid in equal installments of 8% at the end of each quarter and interest will be paid monthly.	77,919
	Borrowing period is from December 18, 2023 to August 24, 2028; interest is repayable monthly and the principal will not be repaid in the first four years; 5% of principal is repayable semiannually after half years since the drawdown in fifth installments, respectively, and the remaining is repayable on the due date.	1,368,246
	Borrowing period is from July 16, 2024 to July 16, 2027, the principal is repayable semiannually with the first installment of 4.5% of principal due six months after the first withdrawal, the second to fifth installments being 8.4% of principal, and the remainder being settled upon maturity.	290,839
	Borrowing period is from August 22, 2024 to August 20, 2027, the principal will be repaid every six months starting from the second year. The first year after the first transfer is a grace period and no principal will be repaid. Starting from the expiration of the grace period, principal will be repaid every six months. The first (1.5 years after the first transfer)/second/third transfer will be repaid at 1%/2%/3% of the total transfer amount, respectively, and the remaining balance will be repaid in one lump sum upon maturity.	470,960

Type of borrowings	Borrowing period and repayment term	December 31, 2024
Credit loans	Borrowing period is from September 25, 2024 to September 24, 2034, and starting from the first withdrawal, the principal will be repaid in installments every six months, for a total of twenty installments, each at 5%.	\$ 16,237
	Borrowing period is from May 9, 2022 to May 9, 2035; principal is repayable semiannually after three years since the first drawdown in twenty installments; 5% of principal has to be repaid for each installment.	1,571,458
	Borrowing period is from June 29, 2022 to June 28, 2035; principal is repayable semiannually after three years since the first drawdown in twenty installments; 5% of principal has to be repaid for each installment.	1,425,217
	Borrowing period is from July 24, 2024 to January 24, 2028, interest will be paid monthly and the loan will be repaid in one lump sum upon maturity.	819,625
		23,761,624
Less: Syndicated loan arrangement fees		(18,442)
Current portion of long-term borrowings (within 'long-term liabilities, current portion')		(1,333,125)
		<u>\$ 22,410,057</u>
Interest rate		<u>3.10%~7.04%</u>

During the terms of the syndicated loans, in accordance with the syndicated loan agreement, the Company is required to calculate and maintain a certain level of current ratio, liability ratio, times-interest-earned ratio and net tangible asset balance based on the audited annual consolidated financial statements and the reviewed semi-annual consolidated financial statements. As of December 31, 2025, the Company has fully settled the syndicated loan agreement.

(17) Pensions

A. Defined benefit plans

	December 31, 2025	December 31, 2024
Present value of funded defined benefit obligations	(\$ 1,035)	(\$ 67,289)
Fair value of plan assets	139,819	170,701
Net defined benefit asset (within "other non-current assets")	<u>\$ 138,784</u>	<u>\$ 103,412</u>

(a) The Group's subsidiaries in Taiwan, Zhen Ding Technology Co., Ltd. and Boardtek Electronics Corporation, have defined benefit pension plans in accordance with the Labor

Standards Act, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Labor Standards Act. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Taiwan subsidiaries contribute monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent Supervisory Committee of Labor Retirement Reserve Fund (the 'Fund'). Before the end of each year, the Taiwan subsidiaries assess the balance in the aforementioned Fund. If the balance in the Fund is insufficient to pay the retirement benefits of employees who are eligible for retirement in the following year by the aforementioned method, the Taiwan subsidiaries are required to fund the deficit in one appropriation before the end of next March.

(b) Movements in net defined benefit assets are as follows:

<u>Year ended December 31, 2025</u>	<u>Present value of defined benefit obligations</u>	<u>Fair value of of plan assets</u>	<u>Net defined benefit liability</u>
Balance at January 1, 2025	(\$ 67,289)	\$ 170,701	\$ 103,412
Current service cost	(127)	-	(127)
Interest (expense) income of net defined benefit asset	(1,096)	2,803	1,707
Past service cost	-	16,424	16,424
Settlement profit or loss	-	2,056	2,056
	<u>(68,512)</u>	<u>191,984</u>	<u>123,472</u>
Remeasurements:			
Return on plan assets (excluding aforementioned interest income or expense)	-	11,396	11,396
Change in demographic assumptions	10	-	10
Change in financial assumptions	(1,130)	-	(1,130)
Experience adjustments	<u>1,606</u>	<u>-</u>	<u>1,606</u>
	<u>486</u>	<u>11,396</u>	<u>11,882</u>
Planned revision/reduction impact amount	44,268	(40,863)	3,405
Pension fund contribution	-	25	25
Paid pension	<u>22,723</u>	<u>(22,723)</u>	<u>-</u>
Balance at December 31, 2025	<u>(\$ 1,035)</u>	<u>\$ 139,819</u>	<u>\$ 138,784</u>

<u>Year ended December 31, 2024</u>	<u>Present value of defined benefit obligations</u>	<u>Fair value of of plan assets</u>	<u>Net defined benefit liability</u>
Balance at January 1, 2024	(\$ 72,112)	\$ 156,165	\$ 84,053
Current service cost	(129)	-	(129)
Interest (expense) income of net defined benefit asset	(928)	2,021	1,093
	(73,169)	158,186	85,017
Remeasurements:			
Return on plan assets (excluding aforementioned interest income or expense)	-	14,366	14,366
Change in demographic assumptions	57	-	57
Change in financial assumptions	2,396	-	2,396
Experience adjustments	1,561	-	1,561
	4,014	14,366	18,380
Pension fund contribution	-	15	15
Paid pension	1,866	(1,866)	-
Balance at December 31, 2024	(\$ 67,289)	\$ 170,701	\$ 103,412

- (c) The Bank of Taiwan was commissioned to manage the plan assets of the Fund for the Taiwan subsidiaries' defined benefit pension plan in accordance with the Fund's annual investment and utilisation plan and the 'Regulations for Revenues, Expenditures, Safeguard and Utilization of the Labor Retirement Fund' (Article 6: the scope of utilisation for the Fund includes deposit in domestic or foreign financial institutions, investment in domestic or foreign listed, over-the-counter, or private placement equity securities, investment in domestic or foreign real estate securitisation products, etc.). With regard to the utilisation of the Fund, its minimum earnings in the annual distributions on the final financial statements shall be no less than the amounts accrued from the local bank interest rates of two-year time deposits. If the earnings are inadequate, government shall make payment for the deficit after being authorised by the Taiwan Competent Authority. The Taiwan subsidiaries have no right to participate in managing and operating the Fund and hence the Taiwan subsidiaries are unable to disclose the classification of plan asset fair value in accordance with IAS 19 paragraph 142. As of December 31, 2025 and 2024, the fair value of plan assets is given in the 'Utilization Status of the Labor Funds' announced by the local government.

(d) The principal actuarial assumptions used were as follows:

	Years ended December 31,	
	2025	2024
Discount rate	<u>1.40%~1.45%</u>	<u>1.65%</u>
Rate of future salary increase	<u>2.00%</u>	<u>2.00%</u>
Rate of employee turnover	<u>0.10%~6.20%</u>	<u>0.10%~6.20%</u>

Assumptions regarding future mortality experience are set based on actuarial advice in accordance with published statistics and experience in each territory.

The analysis of the present value of defined benefit obligation due to the main actuarial assumption changes was as follows:

	Discount rate		Rate of future salary increase		Rate of employee turnover	
	Increase	Decrease	Increase	Decrease	110% of expected rate	90% of expected rate
<u>December 31, 2025</u>	<u>0.25%</u>	<u>0.25%</u>	<u>0.25%</u>	<u>0.25%</u>		
Increase (decrease) in present value of defined benefit obligations	(\$ <u>31</u>)	<u>\$ 32</u>	<u>\$ 32</u>	(\$ <u>31</u>)	<u>\$ -</u>	<u>\$ -</u>
<u>December 31, 2024</u>						
Increase (decrease) in present value of defined benefit obligations	(\$ <u>1,642</u>)	<u>\$ 1,698</u>	<u>\$ 1,688</u>	(\$ <u>1,640</u>)	(\$ <u>37</u>)	<u>\$ 37</u>

(e) Expected contributions to the defined benefit pension plans of the Group amount to \$47 for the year ending December 31, 2026.

(f) As of December 31, 2025, the weighted average duration of the pension plan is 12 years.

B. Defined contribution plan

(a) Effective July 1, 2005, the Taiwan subsidiaries of the Group have established a defined contribution pension plan (the 'New Plan') under the Labor Pension Act, covering all regular employees with R.O.C. nationality. Under the New Plan, the Taiwan subsidiaries of the Group contribute monthly an amount based on 6% of the employees' monthly salaries and wages to the employees' individual pension accounts at the Bureau of Labor Insurance. The contribution plan accrued dividends from an employee's individual account is paid monthly or in lump sum upon retirement of an employee. The pension expenses recognised in accordance with the New Plan were \$64,649 and \$80,778 for the years ended December 31, 2025 and 2024, respectively.

- (b) The Mainland China subsidiaries of the Group have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People's Republic of China are based on certain percentage of employees' monthly salaries and wages with the contribution percentage of 10%~20%, and pension is contributed to the employees' individual pension accounts. Pension of each employee is managed by the government. Other than the monthly contributions, the Group has no further obligations. The pension expenses recognised in accordance with local regulations were \$2,350,592 and \$2,048,628 for the years ended December 31, 2025 and 2024, respectively.

(18) Share-based payment

- A. The share-based payment arrangements of the Company's subsidiary, Avary Holding (Shenzhen) Co., Limited, are as follows:

Type of arrangements	Grant date	Quantity granted	Contract period	Vesting conditions
Restricted stocks to employees	2017.02.27	185,080 thousand shares	7 years	(a)(d)
Restricted stocks to employees	2021.06.15	10,045 thousand shares	6 years	(b)(d)(e)
Restricted stocks to employees	2024.09.13	9,470 thousand shares	4 years	(c)(d)(f)

- (a) A restricted stock has not vested until an employee remains the employ in the Avary Holding (Shenzhen) Co., Limited for 2 years starting from the purchase date. Shares will be vested in accordance with the number of the grantees' shares at 20% every year. For an employee who does not satisfy the vesting conditions, the employee's investment would be refunded by the Group at the lower of the investment amount or the carrying amount of net assets. However, appropriated dividend is not required to be returned.
- (b) A restricted stock has not vested until an employee remains the employ in the Avary Holding (Shenzhen) Co., Limited for 1 year starting from the purchase date. Shares will be vested in accordance with the number of the grantees' shares at 20% every year. For an employee who does not satisfy the vesting conditions, the employee's investment would be refunded by the Group at the vested price and retired.
- (c) 30%, 30%, and 40% of employee subscription right are subscribed in three installments when an employee remains in the employ of Avary Holding (Shenzhen) Co., Ltd. for 1 year starting from the subscription date. For an employee who does not satisfy the vesting conditions, the employee's investment would be refunded by the Group at the vested price and retired.

- (d) Until the achievement of the vesting conditions, the right and obligation: cannot sell, pledge, transfer, give to others, create a right in rem over it or any other disposal.
- (e) The vesting conditions of the issuance of restricted shares for employees were the annual operating revenue reached a predetermined target and employees' individual performance reached a standard level. For an employee who does not satisfy the vesting conditions, the employee's investment would be refunded by the Group at the vested price and retired.
- (f) The vested conditions of the issuance of restricted shares for employees were the annual weighted average return on equity and operating revenue reached a predetermined target and employees' individual performance reached a standard level. For an employee who does not satisfy the vesting conditions, the employee's investment would be refunded by the Group at the vested price and retired.

B. Employee restricted stocks

The numbers of employee restricted stocks for the first time are as follows (in thousand shares):

	Year ended December 31, 2024
Outstanding at January 1	35,437
Vested during the year	(35,437)
Outstanding at December 31	-

The number of employee restricted stocks for the second time are as follows (in thousand shares):

	Years ended December 31, 2025	2024
Outstanding at January 1	5,122	5,181
Vested during the year	(1,337)	-
Returned during the year	(73)	(59)
Outstanding at December 31	3,712	5,122

The number of employee restricted stocks for the third time are as follows (in thousand shares):

	Year ended December 31, 2025	Year ended December 31, 2024
Outstanding at January 1	9,430	-
Granted during the year	-	9,470
Vested during the year	(2,611)	-
Returned during the year	(144)	(40)
Outstanding at December 31	6,675	9,430

C. The incremental fair value measured by using the Black-Scholes option-pricing model is as follows:

Type of arrangement	Grant date	Stock price (in RMB dollars)	Exercise price (in RMB dollars)	Expected price volatility	Expected option life	Expected dividends	Risk-free interest rate	Fair value per unit (in RMB dollars)
Restricted stocks to employees	2017.02.27	5.32	4.60	-	-	-	-	0.72
Restricted stocks to employees	2021.06.15	29.08	16.44	-	-	-	-	12.64
Restricted stocks to employees	2024.09.13	33.75	17.70	-	-	-	-	16.05

D. Expenses incurred on share-based payment transactions are shown below:

	Years ended December 31,	
	2025	2024
Expenses incurred on employee restricted stocks	\$ 346,827	\$ 132,088

(19) Share capital

A. As of December 31, 2025, the Company's authorised capital was \$16,000,000, and the issued capital was \$10,705,659, consisting of 1,070,565 thousand shares of ordinary share with a par value of \$10 (in New Taiwan dollars) per share.

Reconciliation between the beginning and the ending of the Company's ordinary shares outstanding (excluding treasury shares) is as follows:

	Years ended December 31,	
	2025	2024
	Shares in thousands	Shares in thousands
At January 1	954,559	944,956
Convertible bonds were converted into shares of common stock	113,913	9,603
Disposal of treasury shares	1,669	-
At December 31	1,070,141	954,559

- B. In 2024, the Company's 4th issuance of overseas unsecured convertible bonds with the amount of USD 32,500 thousand was converted into 9,603 thousand ordinary shares with a par value of \$10 (in New Taiwan dollars) per share, and the paid-in capital increased by \$96,033.
- C. In 2025, the Company's 4th issuance of overseas unsecured convertible bonds with the amount of USD 367,500 thousand was converted into 113,913 thousand ordinary shares with a par value of \$10 (in New Taiwan dollars) per share, and the paid-in capital increased by \$1,139,134.
- D. As of December 31, 2025, the number of shares of the Company held by the Group's subsidiary, Boardtek Electronics Corporation, was 2,093 thousand shares and the acquisition cost amounted to \$257,489 within 'treasury shares'. The treasury shares shall not be pledged to others, and the shareholders' rights shall not be enjoyed before transfer under the Securities and Exchange Act. In 2025, the number of ordinary shares of the Company sold by the Group's subsidiary was 1,669 thousand shares, and the total proceeds from the sale amounted to \$287,993. As of December 31, 2025, the number of shares held was 424 thousand shares.

(20) Capital surplus

2025

	Additional paid-in capital arising from ordinary share	Additional paid-in capital arising from bond conversion	Share options	Expired share options	Changes in ownership interests in subsidiaries	Difference between consideration and carrying amount of subsidiaries acquired or disposed	Treasury share transactions	Total
At January 1	\$ 10,754,926	\$ 14,573,864	\$ 932,913	\$ 1,056,179	\$ 11,318,696	\$ 1,864,331	\$ 39,303	\$ 40,540,212
Employee restricted stocks	-	-	-	-	248,962	-	-	248,962
Issuance of overseas convertible bonds	-	-	1,522,717	-	-	-	-	1,522,717
Disposal of treasury shares	-	-	-	-	-	-	82,706	82,706
Conversion of convertible bonds	-	11,381,207	(932,913)	-	-	-	-	10,448,294
Cash capital increase of subsidiary	-	-	-	-	18,920	-	-	18,920
Adjustments of capital surplus for the Company's cash dividends received by subsidiaries	-	-	-	-	40,678	-	-	40,678
At December 31	<u>\$ 10,754,926</u>	<u>\$ 25,955,071</u>	<u>\$ 1,522,717</u>	<u>\$ 1,056,179</u>	<u>\$ 11,627,256</u>	<u>\$ 1,864,331</u>	<u>\$ 122,009</u>	<u>\$ 52,902,489</u>

	Additional paid-in capital arising from ordinary share	Additional paid-in capital arising from bond conversion	Share options	Expired share options	Changes in ownership interests in subsidiaries	Difference between consideration and carrying amount of subsidiaries acquired or disposed	Treasury share transactions	Total
At January 1	\$ 10,754,926	\$ 13,624,555	\$ -	\$ 1,056,179	\$ 11,223,476	\$ 1,864,331	\$ 32,447	\$ 38,555,914
Employee restricted stocks	-	-	-	-	95,220	-	-	95,220
Issuance of overseas convertible bonds	-	-	1,015,416	-	-	-	-	1,015,416
Conversion of convertible bonds	-	949,309	(82,503)	-	-	-	-	866,806
Adjustments of capital surplus for the Company's cash dividends received bv subsidiaries	-	-	-	-	-	-	6,856	6,856
At December 31	<u>\$ 10,754,926</u>	<u>\$ 14,573,864</u>	<u>\$ 932,913</u>	<u>\$ 1,056,179</u>	<u>\$ 11,318,696</u>	<u>\$ 1,864,331</u>	<u>\$ 39,303</u>	<u>\$ 40,540,212</u>

- A. Capital surplus arising from paid-in capital in excess of par value on issuance of ordinary share is used to offset accumulated losses incurred in previous years or distribute dividends to shareholders.
- B. Refer to Note 6(15) for capital surplus - conversion options and capital surplus – additional paid-in capital arising from bond conversion.

(21) Retained earnings

A. In accordance with the Company's Articles of Incorporation, the Board of Directors shall set aside out of the current year's earnings sequentially as follows:

- (a) A reserve for payment of tax for the relevant financial year;
- (b) An amount to offset losses incurred in previous years;
- (c) Ten percent (10%) as a general reserve, and
- (d) A special surplus reserve as required by the applicable securities authority under the Applicable Public Company Rules or a reserve as determined by the Board of Directors.

Dividends shall not be lower than 10% of the distributable amount, and the Board of Directors can determine to distribute in cash, in shares or to distribute in both ways. However, cash dividends shall not be lower than 50% of total dividends.

In addition, cash dividends shall be distributed upon the approval of a majority of the directors present at a meeting attended by at least two-thirds or more of the total number of the directors. Share dividends can be distributed after obtaining approval from the shareholders in each accounting year.

B. On May 29, 2025 and May 30, 2024, the stockholders resolved the distribution of earnings for the years ended December 31, 2024 and 2023, respectively, as follows:

	2024		2023	
	Amount	Dividends per share (in New Taiwan dollars)	Amount	Dividends per share (in New Taiwan dollars)
Legal reserve	<u>\$ 921,104</u>		<u>\$ 618,935</u>	
Special reserve	<u>(\$ 4,930,812)</u>		<u>\$ 2,237,783</u>	
Cash dividends	<u>\$ 4,591,932</u>	4.80	<u>\$ 3,101,587</u>	3.275

On March 12, 2026, the Board of Directors proposed for the distribution of cash dividends from 2025 earnings amounting to \$3,693,452 at \$3.45 in New Taiwan dollars per share.

Information on the appropriation of the Company's earnings as resolved at the Board of Directors during its meeting is posted in the 'Market Observation Post System' at the website of the Taiwan Stock Exchange.

(22) Other equity interest

	Unrealised gains (losses) from financial assets measured at fair value through other comprehensive income	Exchange differences on translation of foreign financial statements	Total
At January 1, 2025	\$ 395,366	(\$ 584,774)	(\$ 189,408)
Valuation adjustment	1,214,929	-	1,214,929
Revaluation transferred to retained earnings	(182,798)	-	(182,798)
Currency translation differences:			
–Group	-	(1,966,393)	(1,966,393)
At December 31, 2025	<u>\$ 1,427,497</u>	<u>(\$ 2,551,167)</u>	<u>(\$ 1,123,670)</u>

	Unrealised gains (losses) from financial assets measured at fair value through other comprehensive income	Exchange differences on translation of foreign financial statements	Total
At January 1, 2024	\$ 489,233	(\$ 5,609,453)	(\$ 5,120,220)
Valuation adjustment	(77,211)	-	(77,211)
Revaluation transferred to retained earnings	(16,656)	-	(16,656)
Currency translation differences:			-
–Group	-	5,024,679	5,024,679
At December 31, 2024	<u>\$ 395,366</u>	<u>(\$ 584,774)</u>	<u>(\$ 189,408)</u>

(23) Operating revenue

	Years ended December 31,	
	2025	2024
Revenue from contracts with customers	<u>\$ 182,521,620</u>	<u>\$ 171,663,845</u>

The Group derives revenue from the transfer of goods and services at a point in time. Refer to Note 14(5) for the Group's geographical revenue based on the countries where customers are located.

(24) Expenses by nature

	Years ended December 31,	
	2025	2024
Employee benefit expense	\$ 28,625,001	\$ 26,955,459
Depreciation expense	18,060,576	17,195,439
Amortisation expense	491,891	553,183
	<u>\$ 47,177,468</u>	<u>\$ 44,704,081</u>

The employee benefit expense includes pension gains of \$20,060 and \$964 which are shown within 'other gains and losses' for the years ended December 31, 2025 and 2024, respectively.

(25) Employee benefit expense

	Years ended December 31,	
	2025	2024
Wages and salaries	\$ 22,195,598	\$ 20,769,170
Employees' compensation	290,057	333,954
Labor and health insurance fees	1,305,009	1,289,124
Pension expenses	2,395,181	2,128,442
Other personnel expenses	2,439,156	2,434,769
	<u>\$ 28,625,001</u>	<u>\$ 26,955,459</u>

- A. In accordance with the Company's Articles of Incorporation, the Company shall distribute employees' compensation between zero point five percent (0.5%) and twenty percent (20%) and distribute directors' remuneration no higher than zero point five percent (0.5%) of the distributable earnings after covering accumulated losses.
- B. For the years ended December 31, 2025 and 2024, employees' compensation were accrued in the amount of \$290,057 and \$333,954, respectively; while directors' remunerations were accrued in the amount of \$48,343 and \$55,659, respectively.
- C. Employees' compensation and directors' remuneration as resolved by the Board of Directors for the years ended December 31, 2025 and 2024 were equal to the amount recognised in the financial statements for the years ended December 31, 2025 and 2024.
- D. Information on employees' compensation and directors' remuneration of the Company as resolved by the Board of Directors and shareholders is posted in the 'Market Observation Post System' at the website of the Taiwan Stock Exchange.

(26) Interest income

	Years ended December 31,	
	2025	2024
Interest income from bank deposits	\$ 2,452,321	\$ 2,831,238
Interest income from financial assets at amortised cost	873	66,717
	<u>\$ 2,453,194</u>	<u>\$ 2,897,955</u>

(27) Other income

	Years ended December 31,	
	2025	2024
Government grant revenue	\$ 715,814	\$ 760,098
Others	522,282	349,362
	<u>\$ 1,238,096</u>	<u>\$ 1,109,460</u>

(28) Other gains and losses

	Years ended December 31,	
	2025	2024
Net currency exchange (losses) gains	(\$ 1,298,104)	\$ 1,962,474
Net gains (losses) on financial assets and liabilities at fair value through profit or loss	400,787	(170,275)
Net (losses) gains on disposal of property, plant and equipment	(286,309)	35,760
Impairment loss on property, plant and equipment	(37,260)	(1,213)
Others	(206,736)	(44,811)
	<u>(\$ 1,427,622)</u>	<u>\$ 1,781,935</u>

(29) Finance costs

	Years ended December 31,	
	2025	2024
Interest expense		
Bank borrowings	\$ 1,503,175	\$ 1,686,133
Amortisation of convertible bond discounts	575,617	610,529
Amortisation of syndicated loan arrangement fees	17,390	12,042
Interest expense from lease liabilities	19,724	24,387
	<u>\$ 2,115,906</u>	<u>\$ 2,333,091</u>

(30) Income tax

A. Components of income tax expense:

(a) Components of income tax expense:

	Years ended December 31,	
	2025	2024
Current tax:		
Tax payable arising from the current year	\$ 2,876,574	\$ 2,385,832
Adjustments in respect of prior years	166,477	(21,016)
Total current tax	<u>3,043,051</u>	<u>2,364,816</u>
Deferred tax:		
Origination and reversal of temporary differences	\$ 585,137	(\$ 405,553)
Change in loss carryforwards	(170,611)	(10,766)
Total deferred tax	<u>414,526</u>	<u>(416,319)</u>
Income tax expense	<u>\$ 3,457,577</u>	<u>\$ 1,948,497</u>

(b) The income tax (charge)/credit relating to components of other comprehensive income is as follows:

	Years ended December 31,	
	2025	2024
Measured at fair value through other comprehensive income from changes in fair values	\$ 357,446	(\$ 38,494)
Remeasurement of defined benefit obligations	<u>2,376</u>	<u>3,676</u>
	<u>\$ 359,822</u>	<u>(\$ 34,818)</u>

B. Reconciliation between income tax expense and accounting profit

	Years ended December 31,	
	2025	2024
Tax calculated based on profit before tax and statutory tax rate	\$ 2,738,312	\$ 2,597,368
Effects from items unrecognised by tax regulations	32,675	57,261
Effect of investment tax credits	(793,843)	(751,852)
Effects from adjustments in respect of prior years	166,477	(21,016)
Effects from re-evaluation of deferred tax assets	<u>1,313,956</u>	<u>66,736</u>
Income tax expense	<u>\$ 3,457,577</u>	<u>\$ 1,948,497</u>

C. Amounts of deferred tax assets or liabilities as a result of temporary differences, tax losses and investment tax credits are as follows:

2025						
		Recognised	in other	Business	Net	
	January 1	in profit or loss	comprehensive income	combination	exchange differences	December 31
Temporary differences:						
-Deferred tax assets:						
Allowance for inventory valuation loss	\$ 143,449	(\$ 174)	\$ -	\$ -	\$ 12,811	\$ 156,086
Wages and bonuses payable	421,998	(29,752)	-	-	(2,470)	389,776
Impairment loss on property, plant and equipment	245,047	(33,564)	-	-	(5,625)	205,858
Unrealised profit from sales in respect of inventory	157,819	70,820	-	-	9,911	238,550
Remeasurement of defined benefit obligations	744	(744)	-	-	-	-
Others	641,424	(193,955)	(357,446)	667	259,481	350,171
Loss carryforwards	<u>1,494,781</u>	<u>170,611</u>	<u>-</u>	<u>-</u>	<u>(25,010)</u>	<u>1,640,382</u>
	<u>3,105,262</u>	<u>(16,758)</u>	<u>(357,446)</u>	<u>667</u>	<u>249,098</u>	<u>2,980,823</u>
-Deferred tax liabilities:						
Remeasurement of defined benefit obligations	-	(62)	(2,376)	-	-	(2,438)
Taxable difference arising from property, plant and equipment	(1,777,151)	(388,736)	-	-	25,124	(2,140,763)
Others	(1,118,852)	(8,970)	-	(120,602)	(271,862)	(1,520,286)
	<u>(2,896,003)</u>	<u>(397,768)</u>	<u>(2,376)</u>	<u>(120,602)</u>	<u>(246,738)</u>	<u>(3,663,487)</u>
	<u>\$ 209,259</u>	<u>(\$ 414,526)</u>	<u>(\$ 359,822)</u>	<u>(\$ 119,935)</u>	<u>\$ 2,360</u>	<u>(\$ 682,664)</u>

2024					
	January 1	Recognised			December 31
		Recognised in profit or loss	in other comprehensive income	Net exchange differences	
Temporary differences:					
-Deferred tax assets:					
Allowance for inventory valuation loss	\$ 243,262	(\$ 107,178)	\$ -	\$ 7,365	\$ 143,449
Wages and bonuses payable	416,730	(8,626)	-	13,894	421,998
Impairment loss on property, plant and equipment	256,720	(33,097)	-	21,424	245,047
Unrealised profit from sales in respect of inventory	187,961	(20,307)	-	(9,835)	157,819
Remeasurement of defined benefit obligations	4,313	107	(3,676)	-	744
Others	308,494	295,769	38,494	(1,333)	641,424
Loss carryforwards	<u>1,410,491</u>	<u>10,766</u>	<u>-</u>	<u>73,524</u>	<u>1,494,781</u>
	<u>2,827,971</u>	<u>137,434</u>	<u>34,818</u>	<u>105,039</u>	<u>3,105,262</u>
-Deferred tax liabilities:					
Taxable difference arising from property, plant and equipment	(1,933,589)	254,200	-	(97,762)	(1,777,151)
Others	(1,097,232)	24,685	-	(46,305)	(1,118,852)
	<u>(3,030,821)</u>	<u>278,885</u>	<u>-</u>	<u>(144,067)</u>	<u>(2,896,003)</u>
	<u>(\$ 202,850)</u>	<u>\$ 416,319</u>	<u>\$ 34,818</u>	<u>(\$ 39,028)</u>	<u>\$ 209,259</u>

D. Expiration dates of unused tax losses and amounts of unrecognised deferred tax assets are as follows:

December 31, 2025				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognised deferred tax assets	Expiry year
2020	\$ 72,779	\$ 72,779	\$ -	2025
2021	45,523	45,523	657	2026
2022	3,299,914	3,299,914	75,853	2027
2023	4,105,375	4,105,375	1,219,652	2028
2024	1,955,285	1,955,285	195,890	2029
2025	<u>1,627,835</u>	<u>1,627,835</u>	<u>-</u>	2030
	<u>\$ 11,106,711</u>	<u>\$ 11,106,711</u>	<u>\$ 1,492,052</u>	

December 31, 2024

Year incurred	Amount filed/ assessed	Unused amount	Unrecognised deferred tax assets	Expiry year
2019	\$ 274,987	\$ 274,987	\$ -	2024
2020	74,232	74,232	-	2025
2021	46,431	46,431	670	2026
2022	3,365,755	3,365,755	77,367	2027
2023	4,192,179	4,192,179	1,243,987	2028
2024	1,964,228	1,964,228	-	2029
	<u>\$ 9,917,812</u>	<u>\$ 9,917,812</u>	<u>\$ 1,322,024</u>	

E. The amounts of deductible temporary differences that were not recognised as deferred tax assets are as follows:

	December 31, 2025	December 31, 2024
Deductible temporary differences	<u>\$ 9,369,630</u>	<u>\$ 7,602,649</u>
Tax effect	<u>\$ 2,043,342</u>	<u>\$ 1,698,344</u>

F. The income tax returns of the Group's subsidiaries, Zhen Ding Technology Co., Ltd., Garuda Technology Co., Ltd., Hong Kong Leading Interconnect International Limited Taiwan Branch, Boardtek Electronics Corporation and Boardtek Investment Co., Ltd., through 2023 have been assessed and approved by the Tax Authority.

G. The Group is subject to the exceptions to the requirements regarding deferred tax assets and liabilities related to pillar two income taxes and the disclosure of relevant information.

H. The Group's exposures to Pillar Two income tax arising from that legislation are described below: The Group falls within the scope of the OECD Pillar Two framework. Pillar Two income tax took effect on January 1, 2025 in areas where subsidiaries are registered, including Singapore, Hong Kong and Thailand.

According to the Model Rules, the Group will be obligated to pay Top-Up Tax, which is the difference between the effective tax rate of a jurisdiction with GloBE income and minimum rate (15%). Due to the complexity of applying the Pillar Two legislation and calculating GloBE income, specific adjustments set in the Pillar Two legislation affect the effective tax rates in the jurisdictions of Singapore, Hong Kong, and Thailand, resulting in different effective tax rates compared to the average calculated under IAS 12. The Group has engaged tax experts to continuously assess matters related to the application of Pillar Two legislation. As of December 31, 2025, the Group recognized current income tax expenses related to Pillar Two without significant impact on the consolidated financial statements for the period.

(31) Earnings per share

Year ended December 31, 2025			
	Amount after tax	Weighted average number of ordinary shares outstanding (shares in thousands)	Earnings per share (in New Taiwan dollars)
<u>Basic earnings per share</u>			
Profit attributable to ordinary shareholders of the parent	\$ 6,790,508	982,944	\$ 6.91
<u>Diluted earnings per share</u>			
Profit attributable to ordinary shareholders of the parent	\$ 6,790,508	982,944	
Assumed conversion of all dilutive potential ordinary shares			
Convertible bonds-overseas	575,617	103,547	
Employees' compensation	-	1,556	
Profit attributable to ordinary shareholders of the parent considering assumed conversion of all dilutive potential ordinary shares	\$ 7,366,125	1,088,047	\$ 6.77
Year ended December 31, 2024			
	Amount after tax	Weighted average number of ordinary shares outstanding (shares in thousands)	Earnings per share (in New Taiwan dollars)
<u>Basic earnings per share</u>			
Profit attributable to ordinary shareholders of the parent	\$ 9,179,689	949,394	\$ 9.67
<u>Diluted earnings per share</u>			
Profit attributable to ordinary shareholders of the parent	\$ 9,179,689	949,394	
Assumed conversion of all dilutive potential ordinary shares			
Convertible bonds-overseas	610,529	106,899	
Employees' compensation	-	3,053	
Profit attributable to ordinary shareholders of the parent considering assumed conversion of all dilutive potential ordinary shares	\$ 9,790,218	1,059,346	\$ 9.24

As employees' compensation might be distributed in the form of shares, the diluted EPS is calculated based on the assumption that all distribution will be in the form of shares in the calculation of the weighted-average number of ordinary shares outstanding during the reporting period, taking into account the dilutive effects of stock bonus on potential ordinary shares.

(32) Business combinations

- A. On November 30, 2025, the Group's subsidiary, Avary Holding (Shenzhen) Co., Limited, acquired 53.68% of the share capital of Huayang Group through cash purchase and capital increase, amounting to RMB 356,724 thousand (NT\$1,582,328). Since then, Huayang Group became the Group's subsidiaries.
- B. The following table summarises the consideration paid for Huayang Group and the fair values of the assets acquired and liabilities assumed at the acquisition date:

	<u>November 30, 2025</u>
Purchase consideration	
Cash paid	\$ 1,582,328
Non-controlling interest proportionate share of the recognised amounts of acquiree's net assets	<u>1,142,725</u>
	2,725,053
Fair value of the identifiable assets acquired and liabilities assumed	
Cash	642,692
Financial assets measured at amortized cost	66,536
Notes and accounts receivable	833,218
Prepayments	39,599
Other receivables	1,952
Inventories	301,715
Other current assets	5,676
Investments accounted for using equity method	74,938
Property, plant and equipment	555,203
Intangible assets	590,965
Right-of-use assets	39,886
Deferred tax assets	667
Other non-current assets	14,194
Bank borrowings	(154,807)
Accounts payable	(341,970)
Other payables	(38,669)
Other current liabilities	(75)
Deferred tax liabilities	(120,602)
Other non-current liabilities	(22,507)
Non-controlling interests	<u>(21,526)</u>
Total identifiable net assets	<u>2,467,085</u>
Goodwill	<u>\$ 257,968</u>

- C. As of December 31, 2025, the allocation of the purchase price of the combination is still in process, and the Group has hired experts to assess the fair value of the identifiable assets.
- D. The operating revenue included in the consolidated statement of comprehensive income since November 30, 2025, contributed by Huayang Group was \$220,342. Huayang Group also contributed loss before income tax of \$57,824 over the same period. Had Huayang Group been consolidated from January 1, 2025, the consolidated statement of comprehensive income would show operating revenue of \$183,247,499 and profit before income tax of \$14,009,312.

(33) Additional information of cash flows

A. Investing activities with partial cash payments

	Years ended December 31,	
	2025	2024
Acquisition of property, plant and equipment	\$ 34,257,463	\$ 16,783,155
Add: Opening balance of payable on machinery and equipment (within 'other payables')	7,339,279	7,443,454
Less: Ending balance of payable on machinery and equipment (within 'other payables')	(8,434,591)	(7,339,279)
Net exchange differences	(78,750)	(630,352)
Cash paid during the year	<u>\$ 33,083,401</u>	<u>\$ 16,256,978</u>

B. Financing activities without cash flow effects

	Year ended December 31, 2025	Year ended December 31, 2024
Convertible bonds converted to ordinary share	\$ 1,139,134	\$ 96,033
Capital surplus		
Additional paid-in capital arising from bonds conversion	11,381,207	949,309
Share options	(932,913)	(82,503)
Convertible bonds converted to equity	<u>\$ 11,587,428</u>	<u>\$ 962,839</u>

C. Changes in liabilities from financing activities

	2025					
	Short-term borrowings	Lease liabilities	Bonds payable	Long-term borrowings	Guarantee deposits received	Total liabilities from financing activities
At January 1	\$ 21,706,441	\$ 1,119,504	\$ 11,601,604	\$ 23,743,182	\$ 8,326,390	\$ 66,497,121
Changes in cash flow from financing activities	2,191,095	(268,131)	12,106,854	(5,763,049)	(2,340,977)	5,925,792
Acquire through business combination	154,807	-	-	-	355	155,162
Share options arising from convertible bonds	-	-	(1,522,717)	-	-	(1,522,717)
Conversion of convertible bonds	-	-	(11,587,428)	-	-	(11,587,428)
Changes in right-of-use assets	-	27,400	-	-	-	27,400
Amortisation on interest expense	-	19,724	575,617	17,390	-	612,731
Effect of exchange rate changes	(213,334)	(6,470)	(102,769)	(788,783)	(307,136)	(1,418,492)
At December 31	<u>\$ 23,839,009</u>	<u>\$ 892,027</u>	<u>\$ 11,071,161</u>	<u>\$ 17,208,740</u>	<u>\$ 5,678,632</u>	<u>\$ 58,689,569</u>

	2024					
	Short-term borrowings	Lease liabilities	Bonds payable	Long-term borrowings	Guarantee deposits received	Total liabilities from financing activities
At January 1	\$ 33,853,082	\$ 1,213,656	\$ -	\$ 19,276,604	\$ 10,807,276	\$ 65,150,618
Changes in cash flow from financing activities	(13,157,358)	(292,562)	12,468,383	3,178,018	(3,099,257)	(902,776)
Share options arising from convertible bonds	-	-	(1,015,416)	-	-	(1,015,416)
Conversion of convertible bonds	-	-	(962,839)	-	-	(962,839)
Changes in right-of-use assets	-	134,033	-	-	-	134,033
Amortisation on interest expense	-	24,387	610,529	12,042	-	646,958
Effect of exchange rate changes	<u>1,010,717</u>	<u>39,990</u>	<u>500,947</u>	<u>1,276,518</u>	<u>618,371</u>	<u>3,446,543</u>
At December 31	<u>\$ 21,706,441</u>	<u>\$ 1,119,504</u>	<u>\$ 11,601,604</u>	<u>\$ 23,743,182</u>	<u>\$ 8,326,390</u>	<u>\$ 66,497,121</u>

7. RELATED PARTY TRANSACTIONS

(1) Names of related parties and relationship

Names of related parties and relationship	Relationship with the Company
Hon Hai Precision Industry Co., Ltd. and its subsidiaries	The entity has significant influence over the Group
CyberTAN Technology Inc. and its subsidiaries	Other related party
Ennoconn Corporation and its subsidiaries	Other related party
Foxconn Interconnect Technology Limited and its subsidiaries	Other related party
General Interface Solution Holding Limited and its subsidiaries	Other related party
Zhen Ding Education Foundation	Other related party
Saha Pathana Inter-Holding PCL	Other related party
Guangdong Zhanyang Intelligent Equipment Co., Limited	Associate

(2) Significant related party transactions and balances

A. Sales:

	Years ended December 31,	
	2025	2024
Sales of goods:		
Entity with significant influence over the Group	\$ 11,349,643	\$ 7,700,594
Other related parties	1,220,293	3,488,125
	<u>\$ 12,569,936</u>	<u>\$ 11,188,719</u>

Unless there are similar transactions, the prices and terms were determined in accordance with mutual agreements. Otherwise, the sales prices and credit terms to related parties were similar to third parties. The normal credit term is around 1 to 4 months.

B. Purchases:

	Years ended December 31,	
	2025	2024
Purchases of goods:		
Entity with significant influence over the Group	\$ 763,214	\$ 285,243
Other related parties	3,971,903	5,236,826
Associates	1,135	2,816
	<u>\$ 4,736,252</u>	<u>\$ 5,524,885</u>

Unless the prices and terms were determined in accordance with mutual agreements due to no similar transactions, the purchase prices and payment terms to related parties were similar to third parties. The normal payment term is around 1 to 4 months.

C. Operating expense - donation:

	Years ended December 31,	
	2025	2024
Zhen Ding Education Foundation	<u>\$ 42,738</u>	<u>\$ 52,500</u>

D. Accounts receivable:

	December 31, 2025	December 31, 2024
Accounts receivable - related parties:		
Entity with significant influence over the Group	\$ 3,564,900	\$ 2,594,391
Other related parties	632,345	678,315
	4,197,245	3,272,706
Less: Allowance for bad debts	(12,596)	(9,818)
	<u>\$ 4,184,649</u>	<u>\$ 3,262,888</u>

E. Notes and accounts payable:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Accounts payable - related parties:		
Entity with significant influence over the Group	\$ 37,062	\$ 27,181
Other related parties	1,190,416	1,033,964
Associates	36	472
	<u>\$ 1,227,514</u>	<u>\$ 1,061,617</u>

(3) Key management compensation

	<u>Years ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Short-term employee benefits	<u>\$ 475,170</u>	<u>\$ 257,422</u>

8. PLEGDED ASSETS

The Group's assets pledged as collateral are as follows:

<u>Pledged assets</u>	<u>Carrying amount</u> <u>December 31, 2025</u>	<u>Carrying amount</u> <u>December 31, 2024</u>	<u>Pledged assets</u>
Other current assets			
- Time deposits with maturity of over three months	\$ 4,358	\$ 4,879	Tariff guarantee
Other non-current assets			
- Demand deposits	-	277,655	Reserve accounts for long-term loans
- Time deposits with maturity of over one year	57,243	29,274	Tariff guarantee
	<u>\$ 61,601</u>	<u>\$ 311,808</u>	

9. SIGNIFICANT CONTINGENT LIABILITIES AND UNRECOGNISED CONTRACT COMMITMENTS

(1) Contingencies

None.

(2) Commitments

A. Capital expenditure contracted for at the balance sheet date but not yet paid is as follows:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Property, plant and equipment	<u>\$ 53,816,589</u>	<u>\$ 31,915,272</u>

B. The amount of unused letters of credit for the acquisition of property, plant and equipment is as follows:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Unused letters of credit	\$ 2,239,095	\$ 936,188

10. SIGNIFICANT DISASTER LOSS

On January 5, 2025, a fire broke out in the subsidiary, Boardtek Electronics Corporation, which resulted in the destruction of some of its inventory, property, plant and equipment. The Company is actively processing the insurance claim valuation. After considering the insurance claim received after settlement, there is no significant loss.

11. SIGNIFICANT EVENTS AFTER THE BALANCE SHEET DATE

- (1) The appropriations of 2025 earnings were proposed by the Board of Directors on March 12, 2026. Refer to Note 6(21).
- (2) The subsidiary, Garuda Technology Co., Ltd, approved the Kaohsiung campus through a leased land commission construction arrangement, with a total contract amount of \$1,025,000, which was approved by the Board of Directors on February 11, 2026.

12. OTHERS

(1) Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new shares when convertible bonds are converted, or issue new shares for consideration to achieve optimal capital structure.

(2) Financial instruments

A. Financial instruments by category

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
<u>Financial assets</u>		
Financial assets at amortised cost	\$ 103,830,348	\$ 111,100,279
Financial assets at fair value through profit or loss	2,350,876	1,753,687
Financial assets at fair value through other comprehensive income	4,362,578	1,768,742
	<u>\$ 110,543,802</u>	<u>\$ 114,622,708</u>
<u>Financial liabilities</u>		
Financial liabilities at amortised cost	\$ 101,011,072	\$ 106,235,405
Lease liabilities	892,027	1,119,504
	<u>\$ 101,903,099</u>	<u>\$ 107,354,909</u>

Note: Financial assets at amortised cost including cash and cash equivalents, accounts receivable (including related parties), other receivables, other current assets, and other non-current assets-demand deposits and time deposits with maturity of over one year; financial

liabilities at amortised cost including short-term borrowings, accounts payable (including related parties), other payables, current portion of long-term liabilities, bonds payable, long-term borrowings and guarantee deposits received.

B. Risk management policies

(a) Risk categories:

The Group employs a comprehensive risk management and control system to clearly identify, measure, and control the various kinds of financial risk it faces, including market risk (including foreign exchange risk, interest rate risk and price risk), credit risk, and liquidity risk.

(b) Management objectives:

- i. Except for market risk, which is controlled by outside factors, the remainder of the foregoing types of risks can be eliminated through internal controls or operational procedures. Therefore, the goal in managing each of these risks is to reduce them to zero.
- ii. As for market risk, the goal is to optimise its overall position through strict analysis, suggestion, execution and audit processes, and proper consideration of trends in the external economic/financial environment, internal operating conditions and the actual effects of market fluctuations.
- iii. The Group's overall risk management policy focuses on the unpredictable item of financial markets and seeks to reduce the potential adverse effects on the Group's financial position and financial performance.

(c) Management system:

- i. Risk management is carried out by a central treasury department (the Group treasury) under policies approved by the Board of Directors. The Group treasury identifies, evaluates and hedges financial risks in close cooperation with the Group's operating units.
- ii. The Board of Directors provides written principles for overall risk management, as well as written policies covering specific areas and matters, such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and non-derivative financial instruments, and investment of excess liquidity.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the USD and RMB. Foreign exchange risk arises from (a) the timing of recognition for accounts receivable, accounts payable, borrowings, and payables on machinery and equipment denominated in non-functional currencies is different, (b) recognised assets and liabilities and (c) net investments in foreign operations. Since the transacting currencies are different from functional currencies, foreign exchange risks arise.

- ii. Management has set up a policy to require all subsidiaries within the Group to manage their foreign exchange risk against their functional currency. However, the overall foreign exchange risk is managed by the Group treasury for hedging.
- iii. The Group has certain investments in foreign operations, whose net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the Group's foreign operations is managed primarily through borrowings denominated in the relevant foreign currencies.
- iv. The Group's businesses involve some non-functional currency operations (the Company's and certain subsidiaries' functional currency: USD; other certain subsidiaries' functional currency: RMB or NTD) so it is impacted by the exchange rate fluctuations. The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

(Foreign currency: functional currency)	December 31, 2025			Year ended December 31, 2025	
	Foreign currency amount	Exchange rate	Carrying amount (In thousands of NTD)	Sensitivity analysis	
	(In thousands)			Degree of variation	Effect on comprehensive income
<u>Financial assets</u>					
<u>Monetary items</u>					
USD:NTD	207,203	31.430	\$ 6,512,390	1%	\$ 65,124
USD:RMB	2,313,735	7.0288	72,720,691	1%	727,207
<u>Net effect in consolidated entities with foreign currency</u>					
USD:NTD	4,230,641	31.430	\$ 132,969,047	1%	\$ 1,329,690
<u>Financial liabilities</u>					
<u>Monetary items</u>					
USD:NTD	120,301	31.430	\$ 3,781,060	1%	\$ 37,811
USD:RMB	682,355	7.0288	21,446,418	1%	214,464
JPY:RMB	6,562,051	0.0448	1,314,473	1%	13,145

(Foreign currency: functional currency)	December 31, 2024			Year ended December 31, 2024	
	Foreign currency amount	Exchange rate	Carrying amount (In thousands of NTD)	Sensitivity analysis	
	(In thousands)			Degree of variation	Effect on comprehensive income
<u>Financial assets</u>					
<u>Monetary items</u>					
USD:NTD	243,322	32.785	\$ 7,977,312	1%	\$ 79,773
USD:RMB	2,475,223	7.1884	81,150,186	1%	811,502
<u>Net effect in consolidated entities with foreign currency</u>					
USD:NTD	4,051,593	32.785	\$ 132,831,477	1%	\$ 1,328,315
<u>Financial liabilities</u>					
<u>Monetary items</u>					
USD:NTD	91,796	32.785	\$ 3,009,532	1%	\$ 30,095
USD:RMB	872,768	7.1884	28,613,685	1%	286,137
JPY:RMB	3,314,952	0.0462	698,992	1%	6,990

- v. Refer to Note 6(28) for the total exchange gains including realised and unrealised arising from significant foreign exchange variation on the monetary items held by the Group for the years ended December 31, 2025 and 2024.

Interest rate risk for cash flow and fair value

The Group's interest rate risk arises from borrowings. Borrowings at floating rates expose the Group to interest rate risk of cash flow, which is partially offset by cash and cash equivalents held at floating rates.

Based on the simulations performed, the impact on after-tax profit of a quarter-point shift would be a maximum increase or decrease of \$102,619 and \$113,670 for the years ended December 31, 2025 and 2024, respectively. The simulation is based on a quarterly basis to ensure that the maximum potential loss is within the limit given by the management.

The financial assets at amortised cost held by the Group are fixed rate products, and their changes of fair value arise from changes in market interest rate. However, the Group would hold the financial assets to the maturity because of the return at the effective rates for the duration, thus, there are no gains or losses on disposal or valuation arising from change in fair value.

Price risk

The Group's investments in equity securities comprise domestic listed stocks which are classified as investments in financial assets at fair value through other comprehensive income. The price of equity securities would be affected by the uncertainty of the future value of underlying investment. However, the Group expects the price fluctuations do not have significant impact on the price of equity securities.

(b) Credit risk

- i. Credit risk refers to the risk of financial loss to the Group arising from default by the clients or counterparties of financial instruments.

According to the Group's credit policy, each local entity in the Group is responsible for managing and analysing the credit risk for each of their new clients before standard payment and delivery terms and conditions are offered. Internal risk control assesses the credit quality of the customers, taking into account their financial position, past experience and other factors.

Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board of Directors. The utilisation of credit limits is regularly monitored. Credit risk arises from cash and cash equivalents, derivative financial instruments and other financial instruments, and is managed and monitored by the Group treasury. The clients and counterparties are government organisations, banks with high credit quality and financial institutions with investment grade; thus, there is no significant default risk and critical credit risk.

- ii. The Group assesses whether there has been a significant increase in credit risk on that instrument since initial recognition:
 - (i) If the contract payments were more than 30 days past due based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
 - (ii) If the credit rating grade of an underlying investment degrades two grades, there has been a significant increase in credit risk on that instrument since initial recognition.
- iii. The following indicators are used to determine whether the credit impairment of debt instruments has occurred:
 - (i) It becomes probable that the issuer will enter bankruptcy or other financial reorganisation due to their financial difficulties;
 - (ii) The disappearance of an active market for that financial asset because of financial difficulties;
 - (iii) Default or delinquency in interest or principal repayments;
 - (iv) Adverse changes in national or regional economic conditions that are expected to cause a default.

- iv. The default occurs when the contract payments are more than 90 days past due.
- v. The credit quality information of financial assets that are neither overdue nor impaired is as follows:

Cash and cash equivalents

The Group transacts with a variety of financial institutions with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

Financial assets at amortised cost

The Group's investments in debt instruments classified as financial assets at amortised cost have low credit risk, and the carrying amount is measured as the expected credit loss for the 12 months following the balance sheet date.

Accounts receivable (including related parties)

- (i) The Group applies the following approaches to assess the expected credit losses (the 'ECLs') of accounts receivable:
1. Assess the ECLs on an individual basis if a significant default has occurred to certain customers.
 2. Classify the other customers' accounts receivable based on the Group's credit rating standards and estimate the ECLs using the loss rate methodology or provision matrix.
 3. Adjust the loss rates derived from historical and recent information by taking into account the business cycle indicators of the National Development Council and forecasts of the Basel Committee on Banking Supervision.
 4. As of December 31, 2025 and 2024, the individual provision for impairment of accounts receivable using loss rate methodology or provision matrix is as follows:

	<u>Individual</u>	<u>Group 1</u>	<u>Group 2</u>	<u>Group 3</u>	<u>Group 4</u>	<u>Total</u>
<u>December 31, 2025</u>						
Expected loss rate		0.05%	0.11%	0.1%~1%	1%~5%	
Total carrying amount	\$ -	\$18,463,435	\$9,114,189	\$2,400,063	\$1,528,846	\$31,506,533
Loss allowance	\$ -	(\$ 9,232)	(\$ 10,026)	(\$ 24,001)	(\$ 50,920)	(\$ 94,179)
	<u>Individual</u>	<u>Group 1</u>	<u>Group 2</u>	<u>Group 3</u>	<u>Group 4</u>	<u>Total</u>
<u>December 31, 2024</u>						
Expected loss rate		0.03%	0.07%	0.1%~1%	1%~5%	
Total carrying amount	\$ -	\$20,643,544	\$6,326,228	\$1,679,272	\$1,625,020	\$30,274,064
Loss allowance	\$ -	(\$ 6,193)	(\$ 4,428)	(\$ 16,793)	(\$ 63,529)	(\$ 90,943)

Group 1: Standard Poor's, Fitch Ratings or Moody's ratings in A category, or A category rated based on the Group's Credit Quality Control Policy for those that have no external credit ratings.

Group 2: Standard Poor's or Fitch Ratings in BBB category, Moody's ratings in Baa category, or in B or C category rated based on the Group's Credit Quality Control

Policy for those that have no external credit ratings.

Group 3: Standard Poor's or Fitch Ratings in BB+ category or below, or Moody's ratings in Bal category or below.

Group 4: Having no external agency rating. Ratings other than A, B, or C based on the Group's Credit Quality Control Policy.

(ii) Movements on allowance for accounts receivable adopting the modified approach (including related parties) are as follows:

	Years ended December 31,	
	2025	2024
Opening balance	\$ 90,943	\$ 107,716
Provision for (reversal of) impairment	4,774 (	20,263)
Write off	- (	1,687)
Net exchange differences	(1,538)	5,177
Ending balance	<u>\$ 94,179</u>	<u>\$ 90,943</u>

Other receivables

The Group's subsidiaries incorporated in Mainland China are engaged in export sales. Under local regulations, the subsidiaries are entitled to tax benefits on VAT exemption, deduction and refund on the exports of goods. The subsidiaries calculate VAT refund and deductible amounts based on monthly sales by product types. The subsidiaries' counterparties and performing parties are mainly government organisations, so the possibility of default is remote. The Group's other accounts receivable of (\$24) and (\$85) for the years ended December 31, 2025 and 2024 was recognised as (losses) gain on reversal of expected credit loss.

Financial assets at fair value through other comprehensive income

The equity securities issuer has high credit quality and the Group controls its credit risk through transaction limits control and critical assessment of credit rating levels, so it expects that the probability of default is remote.

Financial assets at fair value through profit or loss

The bond securities issuer has high credit quality and the Group controls its credit risk through transaction limits control and critical assessment of credit rating levels, so it expects that the probability of default is remote.

(c) Liquidity risk

- i. Cash flow forecasting is performed by each entity in the Group and aggregated by the Group treasury. The Group treasury monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient undrawn committed borrowing facilities (Note 6) at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting

takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and applicable external regulatory or legal requirements, such as foreign currency restrictions.

ii. The Group has the following undrawn borrowing facilities:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Expiring within one year	\$ 98,069,223	\$ 108,909,309
Expiring over one year	12,639,904	10,753,996
	<u>\$ 110,709,127</u>	<u>\$ 119,663,305</u>

iii. The following table analyses the Group's non-derivative financial liabilities and net-settled or gross-settled derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date for non-derivative financial liabilities and to the expected maturity date for derivative financial liabilities. The amounts disclosed in the following table are the contractual undiscounted cash flows. The remaining period of corporate bonds payable is expressed as the period between the balance sheet date and the redeemable date by holders. Except those listed in the following table, all of the Group's derivative and nonderivative financial liabilities will attain maturity within one year:

Non-derivative financial liabilities:

<u>December 31, 2025</u>	<u>Within one year</u>	<u>Over one year</u>	<u>Total</u>
Bonds payable (Note 1)	\$ -	\$ 13,716,052	\$ 13,716,052
Long-term borrowings (Note 2)	2,405,440	18,508,279	20,913,719
Guarantee deposits received	2,407,625	3,271,007	5,678,632
Lease liabilities	248,434	964,848	1,213,282
	<u>\$ 5,061,499</u>	<u>\$ 36,460,186</u>	<u>\$ 41,521,685</u>

Non-derivative financial liabilities:

<u>December 31, 2024</u>	<u>Within one year</u>	<u>Over one year</u>	<u>Total</u>
Bonds payable (Note 1)	\$ -	\$ 14,243,722	\$ 14,243,722
Long-term borrowings (Note 2)	2,408,969	26,671,289	29,080,258
Guarantee deposits received	3,513,419	4,812,971	8,326,390
Lease liabilities	252,273	1,184,825	1,437,098
	<u>\$ 6,174,661</u>	<u>\$ 46,912,807</u>	<u>\$ 53,087,468</u>

Note 1: Please refer to Note 6(15) for the conditions of issuance of bonds payable.

Note 2: Including imputed interest payable.

iv. The Group does not expect the timing of occurrence of the cash flows estimated through the maturity date will be significantly earlier, nor expect the actual cash flow amount will be significantly different.

(d) Cash flow risk of changes from interest rate

For the Group's borrowings at floating rates, the effective interest rate changes according to market interest rates. However, the working capital of the Group is sufficient to hedge the cash flow risk due to changes in interest rate. Furthermore, the Group's borrowings have fixed rates and lease payable has no cash flow risk due to changes in market interest rate.

(3) Information on fair value

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Inputs that are quoted prices (unadjusted) in active markets for identical assets or liabilities. A market is regarded as active if it meets all the following conditions: the items traded in the market are homogeneous; willing buyers and sellers can normally be found at any time; and prices are available to the public. The fair value of the Group's investment in listed stocks is included in Level 1.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (e.g., as prices) or indirectly (e.g., derived from prices). The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Inputs for the asset or liability that are not based on observable market data.

B. Fair value information of investment property at cost is provided in Note 6(10).

C. Financial instruments not measured at fair value

(a) Except those listed in the following table, the carrying amounts of the Group's financial instruments not measured at fair value approximate to their fair values, including cash and cash equivalents, financial assets at amortised cost—time deposits with maturity of over three months, financial assets at amortised cost—guaranteed income financial products, accounts receivable (including related parties), other receivables, other current assets, other non-current assets—time deposits with maturity of over one year, short-term borrowings, accounts payable (including related parties), other payables, lease liabilities, and long-term borrowings is a reasonable approximation of fair value:

	Carrying amount	December 31, 2025		
		Fair value		
		Level 1	Level 2	Level 3
Financial liabilities:				
Bonds payable	\$ 11,071,161	\$ -	\$ 12,422,925	\$ -
Guarantee deposits received	5,678,632	-	5,631,608	-
Total	<u>\$ 16,749,793</u>	<u>\$ -</u>	<u>\$ 18,054,533</u>	<u>\$ -</u>

	December 31, 2024			
	Carrying amount	Fair value		
		Level 1	Level 2	Level 3
Financial liabilities:				
Bonds payable	\$ 11,601,604	\$ -	\$ 13,099,580	\$ -
Guarantee deposits received	8,326,390	-	8,257,440	-
Total	<u>\$ 19,927,994</u>	<u>\$ -</u>	<u>\$ 21,357,020</u>	<u>\$ -</u>

(b) The methods and assumptions of fair value measurement are as follows:

- i. Bonds payable: Regarding the convertible bonds issued by the Group, the fair value is estimated based on the expected cash flows using the present value and market rate.
- ii. Guarantee deposits received: The fair value is estimated using the present value of the expected cash flows. The discount rate refers to the fixed interest rate of postal savings for a one-year time deposit.

D. Financial instruments measured at fair value

(a) The related information on financial and non-financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities are as follows:

<u>December 31, 2025</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value</u> <u>measurements</u>				
Financial assets at fair value through profit or loss	<u>\$ -</u>	<u>\$ 541,408</u>	<u>\$ 1,809,468</u>	<u>\$ 2,350,876</u>
Financial assets at fair value through other comprehensive income	<u>\$ 2,057,860</u>	<u>\$ -</u>	<u>\$ 2,304,718</u>	<u>\$ 4,362,578</u>
<u>December 31, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value</u> <u>measurements</u>				
Financial assets at fair value through profit or loss	<u>\$ -</u>	<u>\$ 263,250</u>	<u>\$ 1,490,437</u>	<u>\$ 1,753,687</u>
Financial assets at fair value through other comprehensive income	<u>\$ 730,499</u>	<u>\$ -</u>	<u>\$ 1,038,243</u>	<u>\$ 1,768,742</u>

(b) The methods and assumptions that the Group used to measure fair value are as follows:

- i. The instruments the Group used market quoted prices as their fair values (i.e., Level 1).
- ii. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty

quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.

- iii. When assessing non-standard and low-complexity financial instruments, for example, foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.
- iv. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
- v. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.
- vi. The Group takes into account adjustments for credit risks to measure the fair value of financial and non-financial instruments to reflect credit risk of the counterparty and the Group's credit quality.

E. The movements on Level 3 for the years ended December 31, 2025 and 2024 are as follows:

	Years ended December 31,			
	2025		2024	
	Financial assets		Financial assets	
	Financial assets	at fair value	Financial assets	at fair value
	at fair value	through other	at fair value	through other
	through profit	comprehensive	through profit	comprehensive
	or loss-debt	income-equity	or loss-debt	income-equity
	securities	securities	securities	securities
Opening balance	\$ 1,490,437	\$ 1,038,243	\$ 1,382,390	\$ 789,442
Acquisition of				
financial assets	366,489	537,071	187,069	135,500
Income distribution	(111,086)	-	(26,027)	-
Unrealised gains (losses)				
from financial assets	61,849	726,628	(46,179)	4,830
Others	-	-	(65,008)	67,933
Net exchange differences	<u>1,779</u>	<u>2,776</u>	<u>58,192</u>	<u>40,538</u>
Ending balance	<u>\$ 1,809,468</u>	<u>\$ 2,304,718</u>	<u>\$ 1,490,437</u>	<u>\$ 1,038,243</u>

- (a) External appraiser is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in accordance with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value.

(b) The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	Fair value as of December 31, 2025	Valuation technique	Significant unobservable input	Range [weighted average]	Relationship of inputs to fair value
Equity securities:					
Unlisted shares	\$ 27,826	Market comparable companies	Price-to- Sales ratio	0.90~1.90 [0.91]	The higher the sales price, the higher the fair value
			Price to net value multiple	1.36~2.5 [1.71]	The higher the net value of stocks, the higher the fair value
Unlisted shares	287,854	Market comparable companies	Enterprise value to EBIT multiple	7.1~48.05 [12.92]	The higher the EBIT, the higher the fair value
Unlisted shares	65,637	Market comparable companies	Price-to- Sales ratio	3.22~11.65 [5.12]	The higher the sales price, the higher the fair value
Unlisted shares	211,281	Market comparable companies	Price-to- Sales ratio	2.91~11.74 [4.59]	The higher the sales price, the higher the fair value
Unlisted shares	37,405	Market comparable companies	Enterprise value to EBIT multiple	29.12~125.76 [45.19]	The higher the EBIT, the higher the fair value
			Price to net value multiple	2.22~11.17 [3.79]	The higher the net value of stocks, the higher the fair value
Unlisted shares	255,614	Market comparable companies	Enterprise value to EBIT multiple	19.08~66.42 [42.87]	The higher the EBIT, the higher the fair value

	Fair value as of December 31, 2025	Valuation technique	Significant unobservable input	Range [weighted average]	Relationship of inputs to fair value
Unlisted shares	\$ 46,062	Market comparable companies	Enterprise value to EBIT multiple	7.42~28.46 [14.06]	The higher the EBIT, the higher the fair value
Unlisted shares	168,691	Market comparable companies	Enterprise value to EBIT multiple	15.96~67.11 [26.32]	The higher the EBIT, the higher the fair value
Unlisted shares	173,757	Market comparable companies	Price-to- Sales ratio	1.14~9.71 [6.17]	The higher the sales price, the higher the fair value
			Stock price volatility	47.56%	The higher the stock price volatility, the higher the fair value
Unlisted shares	171,229	The last transaction price	Not applicable	Not applicable	Not applicable
Unlisted shares	589,493	Market comparable companies	Enterprise value to EBIT multiple	7.04~33.51 [14.82]	The higher the EBIT, the higher the fair value
			Price to net value multiple	2.76~6.43 [3.77]	The higher the net value of stocks, the higher the fair value

	Fair value as of December 31, 2025	Valuation technique	Significant unobservable input	Range [weighted average]	Relationship of inputs to fair value
Unlisted shares	\$ 98,299	Market comparable companies	Price-to- Sales ratio	0.99~10.54 [3.74]	The higher the sales price, the higher the fair value
Unlisted shares	<u>171,570</u>	The last transaction price	Not applicable	Not applicable	Not applicable
	<u>\$ 2,304,718</u>				
Debt securities:					
Private fund	\$ 987,045	Net asset value	Not applicable	Not applicable	Not applicable
Private fund	191,972	Net asset value	Not applicable	Not applicable	Not applicable
Private fund	4,481	Net asset value	Not applicable	Not applicable	Not applicable
Unlisted partnership share	<u>625,970</u>	Net asset value	Not applicable	Not applicable	Not applicable
	<u>\$ 1,809,468</u>				

	Fair value as of December 31, 2024	Valuation technique	Significant unobservable input	Range [weighted average]	Relationship of inputs to fair value
Equity securities:					
Unlisted shares	\$ 26,206	Market comparable companies	Enterprise value to EBIT multiple Price to net value multiple	2.54~12.59 [4.48] 0.81~1.96 [1.60]	The higher the EBIT, the higher the fair value The higher the net value of stocks, the higher the fair value
Unlisted shares	161,674	Market comparable companies	Enterprise value to EBIT multiple	6.23~16.59 [13.77]	The higher the EBIT, the higher the fair value
Unlisted shares	33,325	Market comparable companies	Price-to- Sales ratio	2.13~10.65 [4.28]	The higher the sales price, the higher the fair value
Unlisted shares	334,624	Market comparable companies	Price-to- Sales ratio	2.18~10.96 [6.10]	The higher the sales price, the higher the fair value
Unlisted shares	39,202	Market comparable companies	Enterprise value to EBIT multiple Price to net value multiple	17.32~44.77 [36.09] 0.89~4.07 [2.28]	The higher the EBIT, the higher the fair value The higher the net value of stocks, the higher the fair value
Unlisted shares	45,836	Market comparable companies	Enterprise value to EBIT multiple	13.42~44.31 [20.38]	The higher the EBIT, the higher the fair value

	Fair value as of December 31, 2024	Valuation technique	Significant unobservable input	Range [weighted average]	Relationship of inputs to fair value
Unlisted shares	\$ 28,959	Market comparable companies	Enterprise value to EBIT multiple	9.39~23.30 [15.45]	The higher the EBIT, the higher the fair value
Unlisted shares	109,589	Market comparable companies	Enterprise value to EBIT multiple	15.45~50.26 [26.62]	The higher the EBIT, the higher the fair value
Unlisted shares	122,003	Market comparable companies	Price-to- Sales ratio	3.42~13.49 [7.68]	The higher the sales price, the higher the fair value
			Stock price volatility	40.96%	The higher the stock price volatility, the higher the fair value
Unlisted shares	<u>136,825</u>	The last transaction price	Not applicable	Not applicable	Not applicable
	<u>\$ 1,038,243</u>				
Debt securities:					
Private fund	\$ 1,005,730	Net asset value	Not applicable	Not applicable	Not applicable
Private fund	172,369	Net asset value	Not applicable	Not applicable	Not applicable
Unlisted partnership share	<u>312,338</u>	Net asset value	Not applicable	Not applicable	Not applicable
	<u>\$ 1,490,437</u>				

(c) The Group has carefully assessed the valuation models and assumptions used to measure fair value. However, the use of different valuation models or assumptions may result in different measurement. The following is the effect on profit or loss or on other comprehensive income from financial assets and liabilities categorised within Level 3 if the inputs used to valuation models have changed:

			Year ended December 31, 2025			
			Recognised in profit or loss		Recognised in other comprehensive income	
	Input	Change	Favourable change	Unfavourable change	Favourable change	Unfavourable change
Financial assets						
Debt instrument	Enterprise value to EBIT multiple, etc.	±1%	\$ 18,095	(\$ 18,095)	\$ -	\$ -
Equity instrument		±1%	-	-	23,047	(23,047)
			<u>\$ 18,095</u>	<u>(\$ 18,095)</u>	<u>\$ 23,047</u>	<u>(\$ 23,047)</u>
			Year ended December 31, 2024			
			Recognised in profit or loss		Recognised in other comprehensive income	
	Input	Change	Favourable change	Unfavourable change	Favourable change	Unfavourable change
Financial assets						
Debt instrument	Enterprise value to EBIT multiple, etc.	±1%	\$ 14,904	(\$ 14,904)	\$ -	\$ -
Equity instrument		±1%	-	-	10,382	(10,382)
			<u>\$ 14,904</u>	<u>(\$ 14,904)</u>	<u>\$ 10,382</u>	<u>(\$ 10,382)</u>

F. For the years ended December 31, 2025 and 2024, there was no transfer between Level 1 and Level 2.

G. For the years ended December 31, 2025 and 2024, there was no transfer into or out from Level 3.

13. SUPPLEMENTARY DISCLOSURES

(1) Significant transactions information

(The portions of transaction information with the investees were based on the financial statements of the investees for the same period which were audited by independent auditors. All the transactions with subsidiaries disclosed below had been eliminated in the consolidated financial statements. The disclosure information below is for reference only.)

A. Loans to others: Please refer to table 1.

B. Provision of endorsements and guarantees to others: Please refer to table 2.

C. Holding of securities at the end of the period (excluding the investment in subsidiaries, associates and joint ventures): Please refer to table 3.

D. Purchases or sales of goods from or to related parties reaching NT \$100 million or 20% of paid-in capital or more: Please refer to table 4.

E. Receivables from related parties reaching NT \$100 million or 20% of paid-in capital or more: Please refer to table 5.

F. The business relationship and significant transactions between the parent company and the subsidiaries and between each subsidiary: Please refer to table 6.

(2) Information on investees

(The portions of transaction information with the investees were based on the financial statements of the investees for the same period which were audited by independent auditors. All the transactions with subsidiaries disclosed below had been eliminated in the consolidated financial statements. The disclosure information below is for reference only.)

Names, locations and other information of investee companies (excluding the investees in Mainland China.) : Please refer to table 7.

(3) Information on investments in Mainland China

A. Basic information: Please refer to table 8.

B. Significant transactions with the investees in Mainland China either directly or indirectly through other companies in the third areas: None.

14. SEGMENT INFORMATION

(1) General information

The Group is engaged in the manufacturing of various types of PCB products. The chief operating decision-maker considered the business and operations from the product perspective. Currently, the Group only discloses one reportable segment as all operating segments meet the aggregation criteria. In allocating resources and assessing performance of the Group, the chief operating decision-maker uses operating segments' revenue and net income which reflects internal cost and expense allocation. Except for inter-segment charges which were determined based on the Group's internal policy, accounting policies of operating segments are in agreement with Note 4, 'Summary of material accounting policies'.

(2) Reportable segment information

Information on reportable segment provided to the chief operating decision maker is as follows:

	Years ended December 31,	
	2025	2024
Revenue from external customers	\$ 182,521,620	\$ 171,663,845
Inter-segment revenue	-	-
Segments' revenue	<u>\$ 182,521,620</u>	<u>\$ 171,663,845</u>
Measure of segment profit	<u>\$ 14,556,152</u>	<u>\$ 12,113,527</u>

(3) Reconciliation of reportable segment's revenue and measure of profit and loss

Sales between segments are carried out at fair value. The revenue from external parties reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.

The reconciliation from total reportable segment's revenue to the enterprise income and from segment profit from reportable segment to the net income for the year is as follows:

	Years ended December 31,	
	2025	2024
Reportable segment's revenue	<u>\$ 182,521,620</u>	<u>\$ 171,663,845</u>
	Years ended December 31,	
	2025	2024
Reportable segment's profit	\$ 14,556,152	\$ 12,113,527
Interest income and finance costs	337,288	564,864
Net foreign exchange (losses) gains	(1,298,104)	1,962,474
Net (losses) gains on disposal of property, plant and equipment	(286,309)	35,760
Net gains (losses) on financial assets and liabilities at fair value through profit or loss	400,787	(170,275)
Others	(3,104,707)	(1,409,872)
Profit	<u>\$ 10,605,107</u>	<u>\$ 13,096,478</u>

(4) Information on products and services

Revenues from external customers are primarily from the manufacturing of PCB products as follows:

	Years ended December 31,	
	2025	2024
Revenues from the manufacturing PCB products	<u>\$ 182,521,620</u>	<u>\$ 171,663,845</u>

(5) Geographical information

Geographical information for the years ended December 31, 2025 and 2024 is as follows:

	Years ended December 31,			
	2025		2024	
	Revenue	Non-current assets	Revenue	Non-current assets
U.S.A	\$ 136,511,451	\$ -	\$ 131,931,450	\$ -
Mainland China	27,812,420	107,776,872	22,015,718	103,992,388
Taiwan	8,517,177	21,179,305	8,593,759	15,540,211
Singapore	2,639,750	-	1,681,023	-
Others	7,040,822	13,670,421	7,441,895	7,301,934
Total	<u>\$ 182,521,620</u>	<u>\$ 142,626,598</u>	<u>\$ 171,663,845</u>	<u>\$126,834,533</u>

The Group's geographical revenue is based on the countries where customers are located. Non-current assets are property, plant, equipment, right-of-use assets, investment property, intangible assets and other non-current assets.

(6) Major customer information

Major customer information of the Group for the years ended December 31, 2025 and 2024 is as follows:

	Years ended December 31,			
	2025		2024	
	Revenue	Segment	Revenue	Segment
Company B	<u>\$ 136,067,699</u>	Manufacturing of PCB products	<u>\$ 129,857,683</u>	Manufacturing of PCB products

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES

LOANS TO OTHERS

FOR THE YEAR ENDED DECEMBER 31, 2025

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No.	Lender	Borrower	General ledger account	Related party	Maximum outstanding balance during the year ended December 31, 2025 (Note 3)	Balance at December 31, 2025 (Note 4)	Actual amount drawn down	Interest rate range	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Notes 1 & 2)	Limit on total lender's loans granted (Notes 1 & 2)	Footnote
1	Mayco Industrial Limited	Boardtek Electronics Corporation	Other receivables	Yes	\$ 942,900	\$ 942,900	\$ -	-	Short-term financing	\$ -	Operation requirements	\$ -	None	\$ -	\$ 43,800,433	\$ 43,800,433	
1	Mayco Industrial Limited	Zhen Ding Technology Co., Ltd.	Other receivables	Yes	3,143,000	3,143,000	-	-	Short-term financing	-	Operation requirements	-	None	-	43,800,433	43,800,433	
1	Mayco Industrial Limited	Leading Interconnect Semiconductor Technology Limited	Other receivables	Yes	942,900	942,900	-	-	Short-term financing	-	Operation requirements	-	None	-	547,505,415	766,507,580	
1	Mayco Industrial Limited	Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Other receivables	Yes	3,771,600	3,771,600	628,600	4.37353%-4.63098%	Short-term financing	-	Operation requirements	-	None	-	547,505,415	766,507,580	
1	Mayco Industrial Limited	Leading Interconnect International Limited	Other receivables	Yes	942,900	942,900	94,290	4.43359%	Short-term financing	-	Operation requirements	-	None	-	547,505,415	766,507,580	
1	Mayco Industrial Limited	Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Other receivables	Yes	5,657,400	5,657,400	4,634,491	3.00%-4.83157%	Short-term financing	-	Operation requirements	-	None	-	43,800,433	43,800,433	
2	Pacific Fair International Limited	Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Other receivables	Yes	1,885,800	1,885,800	1,812,931	3.00%-4.6571%	Short-term financing	-	Operation requirements	-	None	-	88,703,103	124,184,344	
2	Pacific Fair International Limited	Leading Interconnect Semiconductor Technology Limited	Other receivables	Yes	942,900	942,900	-	-	Short-term financing	-	Operation requirements	-	None	-	88,703,103	124,184,344	
2	Pacific Fair International Limited	Boardtek Electronics Corporation	Other receivables	Yes	1,571,500	1,571,500	1,257,200	4.06845%-4.4144%	Short-term financing	-	Operation requirements	-	None	-	7,096,248	7,096,248	
2	Pacific Fair International Limited	BRAI Technology Co., Ltd.	Other receivables	Yes	942,900	942,900	-	-	Short-term financing	-	Operation requirements	-	None	-	7,096,248	7,096,248	

No.	Lender	Borrower	General ledger account	Related party	Maximum outstanding balance during the year ended December 31,	Balance at December 31,	Actual amount drawn down	Interest rate range	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party	Limit on total lender's loans granted	Footnote
					2025 (Note 3)	2025 (Note 4)							(Notes 1 & 2)	(Notes 1 & 2)			
					Item	Value							(Notes 1 & 2)	(Notes 1 & 2)			
2	Pacific Fair International Limited	Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Other receivables	Yes	\$ 1,885,800	\$ 1,257,200	\$ -	-	Short-term financing	\$ -	Operation requirements	\$ -	None	\$ -	\$ 7,096,248	\$ 7,096,248	
3	Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Other receivables	Yes	1,341,480	1,341,480	223,580	3.00%	Short-term financing	-	Operation requirements	-	None	-	1,670,782	1,670,782	
4	Garuda International Limited	Avary Technology (India) Private Limited	Other receivables	Yes	2,514,400	314,300	157,150	4.2702%	Short-term financing	-	Operation requirements	-	None	-	32,973,124	46,162,373	
4	Garuda International Limited	Garuda Technology Co., Ltd.	Other receivables	Yes	1,885,800	1,257,200	628,600	4.20736%-4.43092%	Short-term financing	-	Operation requirements	-	None	-	2,637,850	2,637,850	
4	Garuda International Limited	Peng Shen Technology (Thailand) Co.,Ltd.	Other receivables	Yes	785,750	502,880	-	-	Short-term financing	-	Operation requirements	-	None	-	2,637,850	2,637,850	
5	Avary Holding (Shenzhen) Co., Limited	Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Other receivables	Yes	8,943,200	8,943,200	2,593,528	3.00%	Short-term financing	-	Operation requirements	-	None	-	60,804,989	60,804,989	
5	Avary Holding (Shenzhen) Co., Limited	Qing Ding Precision Electronics (Huaian) Co., Ltd.	Other receivables	Yes	4,471,600	4,471,600	-	-	Short-term financing	-	Operation requirements	-	None	-	60,804,989	60,804,989	
5	Avary Holding (Shenzhen) Co., Limited	Kui Sheng Technology (Shenzhen) Limited	Other receivables	Yes	134,148	134,148	-	-	Short-term financing	-	Operation requirements	-	None	-	60,804,989	60,804,989	

No.	Lender	Borrower	General ledger account	Related party	Maximum outstanding balance during the year ended December 31, 2025 (Note 3)	Balance at December 31, 2025 (Note 4)	Actual amount drawn down	Interest rate range	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Notes 1 & 2)	Limit on total lender's loans granted (Notes 1 & 2)	Footnote
6	Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Hong Heng Sheng Electrical Technology (Huaian) Co., Ltd.	Other receivables	Yes	\$ 2,235,800	\$ 2,235,800	\$ -	-	Short-term financing	\$ -	Operation requirements	\$ -	None	\$ -	\$ 153,960,633	\$ 215,544,887	
6	Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Qing Ding Precision Electronics (Huaian) Co., Ltd.	Other receivables	Yes	2,235,800	2,235,800	-	-	Short-term financing	-	Operation requirements	-	None	-	153,960,633	215,544,887	

Note 1: The total loans of the Company and subsidiaries granted to others is limited to 50% of the Company's net asset based on the latest audited or reviewed consolidated financial statements, and:

- (a) Total financial limit on loans granted to the companies having business relationship with the Company is 10% of the Company's net assets, financial limit on loans granted to a single party is the higher value of purchasing and selling during current year on the year of financing and 10% of the Company's net asset based on the latest audited or reviewed consolidated financial statements.
- (b) Limit on total loans to parties with short-term financing is 40% of the Company's net asset; but limit on loans to a single party is 40% of the Company's net asset based on the latest audited or reviewed consolidated financial statements.

Note 2: Limit on loans granted by a listed subsidiary to a single listed subsidiary of which the Company directly or indirectly holds 100% of its voting shares, or limit on loans to the Company granted by a listed foreign subsidiary which the Company directly or indirectly holds 100% of its voting share, are not restricted to the limit on loans of 40% of the Company's net assets.

In accordance with the Company's "Procedures for Provision of Endorsements and Guarantees", limit on total loans granted by a listed subsidiary to listed subsidiaries of which the Company directly or indirectly holds 100% of its voting shares, or limit on total loans to the Company granted by listed foreign subsidiaries which the Company directly or indirectly holds 100% of its voting share are 700% of the Company's net asset based on the latest audited or reviewed consolidated financial statements. In accordance with the Company's "Procedures for Provision of Endorsements and Guarantees", limit on loans granted by a listed subsidiary to a single listed subsidiary of which the Company directly or indirectly holds 100% of its voting shares, or limit on loans to the Company granted by a listed foreign subsidiary which the Company directly or indirectly holds 100% of its voting share are 500% of the Company's net asset based on the latest audited or reviewed consolidated financial statements.

Note 3: The maximum outstanding balance of loans to others for the year ended the balance sheet date.

Note 4: The credit line to this company was approved by the Board of Directors. In accordance with each subsidiary's "Procedures for Provision of Endorsements and Guarantees", when there are financing needs between the listed foreign subsidiaries which the Company directly or indirectly holds 100% of their voting shares or between a listed foreign subsidiary which the Company directly or indirectly holds 100% of its voting shares and the Company, the financing periods will not be limited in one year but shall not exceed three years.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
PROVISION OF ENDORSEMENTS AND GUARANTEES TO OTHERS
FOR THE YEAR ENDED DECEMBER 31, 2025

Table 2

Expressed in thousands of NTD
(Except as otherwise indicated)

Number (Note 1)	Endorser/ guarantor	Company name	Party being endorsed/guaranteed	Limit on endorsements/ guarantees provided for a single party (Note 3)	Maximum outstanding endorsement/ guarantee amount for the year ended December 31, 2025 (Note 5)	Outstanding endorsement/ guarantee amount at December 31, 2025 (Note 6)	Actual amount drawn down (Note 7)	Amount of endorsements / guarantees secured with collateral	Ratio of accumulated endorsement/ guarantee amount to net asset value of the endorser/ guarantor company	Ceiling on total amount of endorsements/ guarantees provided (Note 4)	Provision of endorsements/ guarantees by parent company to subsidiary (Note 8)	Provision of endorsements/ guarantees by subsidiary to parent company (Note 8)	Provision of endorsements/ guarantees to the party in Mainland China (Note 8)	Footnote
			Relationship with the endorser/ guarantor (Note 2)		Amount of endorsements / guarantees secured with collateral	Provision of endorsements/ guarantees by parent company to subsidiary (Note 8)			Provision of endorsements/ guarantees by subsidiary to parent company (Note 8)		Provision of endorsements/ guarantees to the party in Mainland China (Note 8)			
0	Zhen Ding Technology Holding Limited	Boardtek Electronics Corporation	2	\$ 37,194,466	\$ 14,016,650	\$ 14,016,650	\$ 3,595,579	\$ -	11.31%	\$ 123,981,554	Y	N	N	

Note 1: The numbers filled in for the endorsements/guarantees provided by the Company or subsidiaries are as follows:

(1) The Company is '0'.

(2) The subsidiaries are numbered in order starting from '1'.

Note 2: Relationship between the endorser/guarantor and the party being endorsed/guaranteed is classified into the following six categories:

(1) Having business relationship.

(2) The endorser/guarantor parent company owns directly more than 50% voting shares of the endorsed/guaranteed subsidiary.

(3) The endorser/guarantor parent company and its subsidiaries jointly own more than 50% voting shares of the endorsed/guaranteed company.

(4) The endorsed/guaranteed parent company directly or indirectly owns more than 50% voting shares of the endorser/guarantor subsidiary.

(5) Mutual guarantee of the trade as required by the construction contract.

(6) Due to joint venture, each shareholder provides endorsements/guarantees to the endorsed/guaranteed company in proportion to its ownership.

Note 3: The limit on endorsements / guarantees provided to a single entity: The limit on endorsements / guarantees provided to a single entity is 30% of the net assets of the parent company.

Note 4: The total amount of endorsements/ guarantees: The total amount of endorsements/ guarantees provide to others by the Company is limited to 100% of net assets of the parent company.

Note 5: The year-to-date maximum outstanding balance of endorsements/guarantees provided as of the reporting period.

Note 6: Once endorsement/guarantee contracts or promissory notes are signed/issued by the endorser/guarantor company to the banks, the endorser/guarantor company bears endorsement/guarantee liabilities.

And all other events involve endorsements and guarantees should be included in the balance of outstanding endorsements and guarantees.

Note 7: The actual amount of endorsements/guarantees used by the endorsed/guaranteed company.

Note 8: Fill in 'Y' for those cases of provision of endorsements/guarantees by listed parent company to subsidiary and provision by subsidiary to listed parent company, and provision to the party in Mainland China.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES

HOLDING OF MARKETABLE SECURITIES AT THE END OF THE PERIOD (NOT INCLUDING SUBSIDIARIES, ASSOCIATES AND JOINT VENTURES)

DECEMBER 31, 2025

Table 3

Expressed in thousands of NTD

(Except as otherwise indicated)

Securities held by	Marketable securities (Note 1)	Relationship with the securities issuer (Note 2)	General ledger account	As of December 31, 2025				Footnote (Note 4)
				Number of shares	Carrying amount (Note 3)	Ownership (%)	Fair value	
Zhen Ding Technology Co., Ltd.	Synpower Co., Ltd.	None	Financial assets at fair value through other comprehensive income	467,425	\$ 27,391	1.29%	\$ 27,391	
Avary Holding (Shenzhen) Co., Limited	Jiangsu Aisen Semiconductor Material Co., Ltd.	None	Financial assets at fair value through other comprehensive income	1,600,000	503,538	1.82%	503,538	
Avary Holding (Shenzhen) Co., Limited	Jiangxi Jiangnan New Material Technology Co., Ltd	None	Financial assets at fair value through other comprehensive income	2,371,916	752,865	1.63%	752,865	
Avary Holding (Shenzhen) Co., Limited	Kinglong Technology (Suzhou) Limited	None	Financial assets at fair value through other comprehensive income	6,203,101	589,493	1.13%	589,493	
Avary Holding (Shenzhen) Co., Limited	Suzhou Xinguangyi Electronics Co., Ltd.	None	Financial assets at fair value through other comprehensive income	1,367,989	392,644	0.93%	392,644	
Avary Holding Investment (Shenzhen) Co., Ltd.	Sixpure Intellignet Technology (Dongguan) Co., Ltd.	None	Financial assets at fair value through other comprehensive income	1,461,039	287,854	3.55%	287,854	
Avary Holding Investment (Shenzhen) Co., Ltd.	Sanying Precision Instruments Co., Ltd.	None	Financial assets at fair value through other comprehensive income	1,212,009	314,880	2.91%	314,880	
Avary Holding Investment (Shenzhen) Co., Ltd.	Sanying Precision Instruments (Tianjin) Co., Ltd.	None	Financial assets at fair value through other comprehensive income	540,580	65,637	4.69%	65,637	
Avary Holding Investment (Shenzhen) Co., Ltd.	Wuxi iData Technology Co., Ltd.	None	Financial assets at fair value through other comprehensive income	1,729,439	211,281	3.46%	211,281	
Avary Holding Investment (Shenzhen) Co., Ltd.	Hubei Omar Electronics Technology Co., Ltd.	None	Financial assets at fair value through other comprehensive income	2,370,000	37,405	3.60%	37,405	
Avary Holding Investment (Shenzhen) Co., Ltd.	Shenzhen Hangsheng Electronics Co., Ltd.	None	Financial assets at fair value through other comprehensive income	1,000,000	46,062	0.31%	46,062	
Avary Holding Investment (Shenzhen) Co., Ltd.	Hostar Intelligence Technology Co., Ltd.	None	Financial assets at fair value through other comprehensive income	900,000	255,614	2.11%	255,614	
Avary Holding Investment (Shenzhen) Co., Ltd.	Guangdong De Ju Technology Co., Ltd.	None	Financial assets at fair value through other comprehensive income	759,532	168,691	1.03%	168,691	
Avary Holding Investment (Shenzhen) Co., Ltd.	Shenzhen Jaguar Microsystems Co., Ltd.	None	Financial assets at fair value through other comprehensive income	55,322	171,229	0.35%	171,229	
Avary Holding Investment (Shenzhen) Co., Ltd.	DCT (Tianjin) Technology Development Co., Ltd.	None	Financial assets at fair value through other comprehensive income	2,976,190	66,542	4.96%	66,542	
Avary Holding Investment (Shenzhen) Co., Ltd.	Accutech (Shenzhen) Co., Ltd.	None	Financial assets at fair value through other comprehensive income	381,000	98,299	5.00%	98,299	
Avary Holding Investment (Shenzhen) Co., Ltd.	Chengdu Coryes Polymer Science & Technology Co., Ltd.	None	Financial assets at fair value through other comprehensive income	1,066,195	171,570	6.78%	171,570	
Boardtek Electronics Corporation	Chipboard Technology Corporation	None	Financial assets at fair value through other comprehensive income	1,337,068	27,826	15.60%	27,826	
Zhuhai Hengqin Avary Investment Limited Partnership	Shanghai Gantu Technology Limited	None	Financial assets at fair value through other comprehensive income	372,655	173,757	3.73%	173,757	
					<u>\$ 4,362,578</u>			
Avary Holding (Shenzhen) Co., Limited	Jingning Dingqing Electronic Technology Limited Partnership	None	Financial assets at fair value through profit or loss	-	\$ 541,408	26.02%	\$ 541,408	
Avary Holding Investment (Shenzhen) Co., Ltd.	Beijing Chenyi M&A Fund	None	Financial assets at fair value through profit or loss	-	987,045	2.94%	987,045	
Avary Holding Investment (Shenzhen) Co., Ltd.	Primavera Jingzhi (Beijing) Equity Investment Fund L.P.	None	Financial assets at fair value through profit or loss	-	625,970	20.00%	625,970	
Zhen Ding Technology Co., Ltd.	Zoyi Capital Investment Fund II L.P	None	Financial assets at fair value through profit or loss	-	191,972	10.59%	191,972	
Garuda International Limited	China Renewable Power Infrastructure LPF	None	Financial assets at fair value through profit or loss	-	4,481	19.75%	4,481	
					<u>\$ 2,350,876</u>			

Note 1: In accordance with IFRS 9, 'Financial instruments', marketable securities in the table refer to shares, bonds, beneficiary certificates and other related derivative securities.

Note 2: Leave the column blank if the issuer of marketable securities is non-related party.

Note 3: Fill in the amount after adjusted at fair value and deducted by accumulated impairment for the marketable securities measured at fair value; fill in the acquisition cost or amortised cost deducted by accumulated impairment for the marketable securities not measured at fair value.

Note 4: The number of shares of securities and their amounts pledged as security or pledged for loans and their restrictions on use under some agreements should be stated in the footnote if the securities presented herein have such conditions.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
PURCHASES OR SALES OF GOODS FROM OR TO RELATED PARTIES REACHING NT\$100 MILLION OR 20% OF PAID-IN CAPITAL OR MORE
FOR THE YEAR ENDED DECEMBER 31, 2025

Table 4

Expressed in thousands of NTD
(Except as otherwise indicated)

Purchaser/seller	Counterparty	Relationship with the counterparty	Transaction				Differences in transaction terms compared to third party transactions		Notes/accounts receivable (payable)		Footnote
			Purchases (sales)	Amount	Percentage of total purchases (sales)	Credit term	Unit price	Credit term	Balance	Percentage of total notes/accounts receivable (payable)	
Avary Holding (Shenzhen) Co., Limited	Garuda International Limited	An indirect wholly-owned subsidiary	Sales	\$ 65,772,508	88	60 days from the shipping date	Note 2	Note 2	\$ 17,133,385	83	
Avary Holding (Shenzhen) Co., Limited	Garuda Technology Co., Ltd.	An indirect wholly-owned subsidiary	Sales	3,299,207	4	90 days from the shipping date	Note 2	Note 2	969,511	5	
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Garuda International Limited	An indirect wholly-owned subsidiary	Sales	36,509,679	86	90 days from the shipping date	Note 2	Note 2	8,465,224	83	
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Garuda Technology Co., Ltd.	An indirect wholly-owned subsidiary	Sales	2,655,428	6	90 days from the shipping date	Note 2	Note 2	819,517	8	
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary	Sales	1,190,402	3	90 days from the shipping date	Note 2	Note 2	139,842	1	
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Qing Ding Precision Electronics (Huaian) Co., Ltd.	An indirect wholly-owned subsidiary	Sales	261,477	1	90 days from the shipping date	Note 2	Note 2	53,346	1	
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Garuda International Limited	An indirect wholly-owned subsidiary	Sales	6,775,889	79	60 days from the shipping date	Note 2	Note 2	1,917,987	73	
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Garuda Technology Co., Ltd.	An indirect wholly-owned subsidiary	Sales	1,051,809	12	90 days from the shipping date	Note 2	Note 2	443,478	17	
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary	Sales	310,525	4	90 days from the shipping date	Note 2	Note 2	100,356	4	

Purchaser/seller	Counterparty	Relationship with the counterparty	Transaction				Differences in transaction terms compared to third party transactions		Notes/accounts receivable (payable)		Footnote
			Purchases (sales)	Amount	Percentage of total purchases (sales)	Credit term	Unit price	Credit term	Balance	Percentage of total notes/accounts receivable (payable)	
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Qing Ding Precision Electronics (Huaian) Co., Ltd.	An indirect wholly-owned subsidiary	Sales	\$ 202,582	2	90 days from the shipping date	Note 2	Note 2	\$ 52,081	2	
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Garuda International Limited	An indirect wholly-owned subsidiary	Sales	57,344,512	94	60 days from invoice date	Note 2	Note 2	15,548,060	92	
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Garuda Technology Co., Ltd.	An indirect wholly-owned subsidiary	Sales	771,992	1	90 days from the shipping date	Note 2	Note 2	141,378	1	
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary	Sales	2,025,310	3	90 days from the shipping date	Note 2	Note 2	788,584	5	
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	An indirect wholly-owned subsidiary	Sales	358,329	1	90 days from the shipping date	Note 2	Note 2	242,560	1	
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	An indirect wholly-owned subsidiary	Sales	186,330	-	90 days from the shipping date	Note 2	Note 2	69,890	-	
Avary Technology (India) Private Limited	Garuda International Limited	An indirect wholly-owned subsidiary	Sales	175,965	35	60 days from the shipping date	Note 2	Note 2	173,258	66	
Kui Sheng Technology (Shenzhen) Co., Ltd.	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary	Sales	1,183,176	100	90 days from the shipping date	Note 2	Note 2	371,967	100	
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Leading Interconnect International Limited	An indirect wholly-owned subsidiary	Sales	1,007,464	23	90 days from the shipping date	Note 2	Note 2	430,585	29	
Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Leading Interconnect International Limited	An indirect wholly-owned subsidiary	Sales	5,038,968	70	90 days from the shipping date	Note 2	Note 2	1,343,427	64	
Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	An indirect wholly-owned subsidiary	Sales	160,138	2	90 days from the shipping date	Note 2	Note 2	66,225	3	

Table 4, Page 2

Purchaser/seller	Counterparty	Relationship with the counterparty	Transaction				Differences in transaction terms compared to third party transactions		Notes/accounts receivable (payable)		Footnote
			Purchases (sales)	Amount	Percentage of total purchases (sales)	Credit term	Unit price	Credit term	Balance	Percentage of total notes/accounts receivable (payable)	
Garuda International Limited	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary	Sales	\$ 12,030,233	7	90 days from the first day of next month of shipping	Note 2	Note 2	\$ 2,921,031	11	
Garuda International Limited	Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	An indirect wholly-owned subsidiary	Sales	311,400	-	90 days from the first day of next month of shipping	Note 2	Note 2	78,799	-	
Garuda International Limited	Qing Ding Precision Electronics (Huaian) Co., Ltd.	An indirect wholly-owned subsidiary	Sales	9,037,755	5	90 days from the first day of next month of shipping	Note 2	Note 2	2,689,759	10	
Garuda International Limited	Boardtek Electronics Corporation	Subsidiary	Sales	976,601	1	90 days from the first day of next month of shipping	Note 2	Note 2	335,442	1	
Garuda International Limited	Avary Technology (India) Private Limited	An indirect wholly-owned subsidiary	Sales	304,456	-	90 days from the first day of next month of shipping	Note 2	Note 2	194,174	1	
Garuda International Limited	Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	An indirect wholly-owned subsidiary	Sales	123,643	-	90 days from the first day of next month of shipping	Note 2	Note 2	50,869	-	
Zhen Ding Technology Co., Ltd.	Zhen Ding Technology Holding Limited	Ultimate parent entity	Sales	285,780	100	Per contractual agreement	Note 2	Note 2	-	-	
Garuda Technology Co., Ltd.	Garuda International Limited	An indirect wholly-owned subsidiary	Sales	1,063,800	11	60 days from the first day of invoice date	Note 2	Note 2	-	-	
Garuda International Limited	Foxconn (Far East) and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	Sales	10,618,474	6	90 days from the first day of next month of shipping	Note 2	Note 2	3,280,713	12	
Garuda Technology Co., Ltd.	General Interface Solution Holding Limited and subsidiaries	An investee company accounted for under the equity method of Hon Hai Precision Industry Co., Ltd.	Sales	1,211,264	12	90 days from the first day of next month of shipping	Note 2	Note 2	630,047	23	
Boardtek Electronics Corporation	Foxconn (Far East) and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	Sales	404,636	23	90 days from the first day of next month of shipping	Note 2	Note 2	180,494	56	

Table 4, Page 3

							Differences in transaction terms compared to third party transactions				
Purchaser/seller	Counterparty	Relationship with the counterparty	Transaction				transactions		Notes/accounts receivable (payable)		Footnote
			Purchases (sales)	Amount	Percentage of total purchases (sales)	Credit term	Unit price	Credit term	Balance	Percentage of total notes/accounts receivable (payable)	
Avary Technology (India) Private Limited	Foxconn (Far East) and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	Sales	\$ 221,848	45	90 days from the first day of next month of shipping	Note 2	Note 2	\$ 56,906	22	
Avary Holding (Shenzhen) Co., Limited	Foxconn (Far East) and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	Purchases	580,188	1	90 days from invoice date	Note 2	Note 2	(15,170)	-	
Avary Holding (Shenzhen) Co., Limited	Foxconn Interconnect Technology Limited and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	Purchases	1,955,716	3	90 days from invoice date	Note 2	Note 2	(537,035)	4	
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	General Interface Solution Holding Limited and subsidiaries	An investee company accounted for under the equity method of Hon Hai Precision Industry Co., Ltd.	Purchases	940,442	4	30 days from invoice date	Note 2	Note 2	(345,810)	6	
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Foxconn Interconnect Technology Limited and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	Purchases	1,071,355	5	90 days from invoice date	Note 2	Note 2	(306,736)	5	
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Foxconn (Far East) and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	Purchases	108,067	-	45 days from invoice date	Note 2	Note 2	(20,374)	-	

Note 1: The opposite related party transactions are not disclosed.

Note 2: Unless the transaction terms were determined in accordance with mutual agreements due to no similar transactions, the transaction terms to related parties were similar to third parties.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
RECEIVABLES FROM RELATED PARTIES REACHING NT\$100 MILLION OR 20% OF PAID-IN CAPITAL OR MORE
DECEMBER 31, 2025

Table 5

Expressed in thousands of NTD
(Except as otherwise indicated)

Creditor	Counterparty	Relationship	Receivables from related parties as of December 31,	Turnover rate	Overdue receivables		Amount collected subsequent to the balance sheet date	Allowance for doubtful accounts
			2025		Amount	Action taken		
Avary Holding (Shenzhen) Co., Limited	Garuda International Limited	An indirect wholly-owned subsidiary	\$ 17,133,385	4	\$ -	-	\$ 7,494,809	\$ -
Avary Holding (Shenzhen) Co., Limited	Garuda Technology Co., Ltd.	An indirect wholly-owned subsidiary	969,511	4	-	-	415,807	-
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Garuda International Limited	An indirect wholly-owned subsidiary	8,465,224	3	-	-	3,324,138	-
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Garuda Technology Co., Ltd.	An indirect wholly-owned subsidiary	819,517	3	-	-	171,959	-
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary	139,842	4	-	-	91,846	-
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Garuda International Limited	An indirect wholly-owned subsidiary	1,917,987	4	-	-	717,539	-
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Garuda Technology Co., Ltd.	An indirect wholly-owned subsidiary	443,478	4	-	-	160,276	-
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary	100,356	3	3,000	Subsequent collection	42,030	-
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Garuda International Limited	An indirect wholly-owned subsidiary	15,548,060	3	-	-	6,152,623	-
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Garuda Technology Co., Ltd.	An indirect wholly-owned subsidiary	141,378	4	-	-	53,010	-

Creditor	Counterparty	Relationship	Receivables from related parties as of December 31,		Turnover rate	Overdue receivables		Amount collected subsequent to the balance sheet date	Allowance for doubtful accounts			
			2025			Amount	Action taken					
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary	\$	788,584	4	\$	49,500	Subsequent collection	\$	290,880	\$	-
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	An indirect wholly-owned subsidiary		242,560	3		118,115	Subsequent collection		119,832		-
Avary Technology (India) Private Limited	Garuda International Limited	An indirect wholly-owned subsidiary		173,258	1		-	-		-		-
Kui Sheng Technology (Shenzhen) Limited	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary		371,967	3		-	-		139,152		-
Garuda International Limited	Avary Holding (Shenzhen) Co., Limited	An indirect wholly-owned subsidiary		2,921,031	4		23,820	Subsequent collection		1,062,046		-
Garuda International Limited	Qing Ding Precision Electronics (Huaian) Co., Ltd.	An indirect wholly-owned subsidiary		2,689,759	3		-	-		1,109,277		-
Garuda International Limited	Avary Technology (India) Private Limited	An indirect wholly-owned subsidiary		194,174	1		14,480	Subsequent collection		30,122		-
Garuda International Limited	Boardtek Electronics Corporation	Subsidiary		335,442	2		-	-		94,562		-
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Leading Interconnect International Limited	An indirect wholly-owned subsidiary		430,585	3		-	-		148,820		-
Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Leading Interconnect International Limited	An indirect wholly-owned subsidiary		1,343,427	4		-	-		468,325		-

Creditor	Counterparty	Relationship	Receivables from related parties as of December 31,		Turnover rate	Overdue receivables		Amount collected subsequent to the balance sheet date	Allowance for doubtful accounts
			2025			Amount	Action taken		
Garuda International Limited	Foxconn (Far East) and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	\$ 3,280,713		4	\$ 948	Subsequent collection	\$ 1,220,901	\$ -
Garuda Technology Co., Ltd.	General Interface Solution Holding Limited and subsidiaries	An investee company accounted for under the equity method of Hon Hai Precision Industry Co., Ltd.	630,047		2	-	-	75,157	-
Boardtek Electronics Corporation	Foxconn (Far East) and subsidiaries	An indirect wholly-owned subsidiary of Hon Hai Precision Industry Co., Ltd.	180,494		2	-	-	44,513	-

As to receivables from loans to related parties exceeding NT\$100 million or 20% of issued capital, please refer to Table 1.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
SIGNIFICANT INTER-COMPANY TRANSACTIONS DURING THE REPORTING PERIOD
FOR THE YEAR ENDED DECEMBER 31, 2025

Table 6

Expressed in thousands of NTD
(Except as otherwise indicated)

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			Percentage of consolidated total operating revenues or total assets (Note 4)
				General ledger account	Amount (Note 3)	Transaction terms	
1	Avary Holding (Shenzhen) Co., Limited	Garuda International Limited	3	Sales	65,772,508	Note 6	36
1	Avary Holding (Shenzhen) Co., Limited	Garuda International Limited	3	Accounts receivable	17,133,385	Note 6	6
2	Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Garuda International Limited	3	Sales	36,509,679	Note 6	20
3	Qing Ding Precision Electronics (Huaian) Co., Ltd.	Garuda International Limited	3	Sales	57,344,512	Note 6	31
3	Qing Ding Precision Electronics (Huaian) Co., Ltd.	Garuda International Limited	3	Accounts receivable	15,548,060	Note 6	6
4	Garuda International Limited	Avary Holding (Shenzhen) Co., Limited	3	Sales	12,030,233	Note 6	7
4	Garuda International Limited	Qing Ding Precision Electronics (Huaian) Co., Ltd.	3	Sales	9,037,755	Note 6	5

Note 1: The numbers filled in for the transaction company in respect of inter-company transactions are as follows:

(1) Parent company is '0'.

(2) The subsidiaries are numbered in order starting from '1'.

Note 2: Relationship between transaction company and counterparty is classified into the following three categories:

(1) Parent company to subsidiary.

(2) Subsidiary to parent company.

(3) Subsidiary to subsidiary.

Note 3: Regarding percentage of transaction amount to consolidated total operating revenues or total assets, it is calculated based on period-end balance of transaction to consolidated total assets for balance sheet accounts and based on accumulated transaction amount for the period to consolidated total operating revenues for income statement accounts. All the transactions had been eliminated in the consolidated financial statements.

Note 4: Whether to list the significant transactions in this statement may be determined by the principle of materiality

Note 5: The aforementioned amount should be disclosed if it exceeds 5% of the total consolidated assets for balance sheet accounts and if it exceeds 5% of the total consolidated revenue for income statement items. All the transactions had been eliminated in the consolidated financial statements

Note 6: Unless the transaction terms were determined in accordance with mutual agreements due to no similar transactions, the transaction terms to related parties were similar to third parties.

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES

INFORMATION ON INVESTEEES

FOR THE YEAR ENDED DECEMBER 31, 2025

Table 7

Expressed in thousands of NTD

(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held at December 31, 2025			Net profit (loss) of the investee for the year ended December 31, 2025	Investment income (loss) recognised by the Company for the year ended December 31, 2025	Footnote
				Balance at December 31, 2025	Balance at December 31, 2024	Number of shares	Ownership (%)	Carrying amount			
The Company	Monterey Park Finance Limited	British Virgin Islands	Investment holding	\$ 30,683,538	\$ 30,683,538	976,250,000	100	\$ 131,053,516	\$ 9,745,456	\$ 9,746,364	
The Company	Zhen Ding Technology Co., Ltd.	Taiwan	Trading	125,488	125,488	12,548,800	100	2,160,098	215,565	215,565	
The Company	Boardtek Electronics Corporation	Taiwan	Manufacturing	6,712,771	6,712,771	215,918,453	100	2,077,819 (	1,844,281) (	1,902,771)	
The Company	Zhen Ding Technology Singapore Private Limited	Singapore	Investment holding	942,900	942,900	30,000,000	100	995,886	97,934	97,934	
Monterey Park Finance Limited	Coppertone Enterprises Limited	British Virgin Islands	Investment holding	3,230,558	3,230,558	102,785,806	100	109,501,304	10,128,322	10,127,328	
Monterey Park Finance Limited	Pacific Fair International Limited	Hong Kong	Investment holding	8,596,105	8,596,105	2,133,300,000	100	17,740,621	898,130	898,130	
Monterey Park Finance Limited	Leading Interconnect Semiconductor Technology Limited	Cayman Islands	Investment holding	1,924,784	-	60,740,359	100	1,763,891 (	250,867) (	250,867)	
Monterey Park Finance Limited	GAEEA Technology Limited	Cayman Islands	Investment holding	69,146	-	2,200,000	100	104,742	34,730	34,730	
Zhen Ding Technology Co., Ltd.	FAT Holdings Limited	Cayman Islands	Investment holding	157	157	5,000	100	134,809	2,876	2,876	
Leading Interconnect Semiconductor Technology Limited	BRAI Technology Co., Ltd	Taiwan	Manufacturing	2,000,000	-	200,000,000	100	1,683,656 (	349,473) (	349,473)	
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Leading Interconnect International Limited	Hong Kong	Trading	-	-	1	66 (	99,395)	46,329	30,527	
Coppertone Enterprises Limited	Mayco Industrial Limited	Hong Kong	Investment holding	37,562,243	37,562,243	9,321,841,932	100	109,501,083	10,128,468	10,128,468	
Avary Holding (Shenzhen) Co., Limited	Garuda International Limited	Hong Kong	Trading	1,854,370	1,854,370	460,200,000	72	4,062,839 (	491,552) (	695,993)	

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held at December 31, 2025			Net profit (loss) of the investee for the year ended December 31, 2025	Investment income (loss) recognised by the Company for the year ended December 31, 2025		Footnote
				Balance at December 31, 2025	Balance at December 31, 2024	Number of shares	Ownership (%)	Carrying amount		December 31, 2025	December 31, 2025	
Avary Holding (Shenzhen) Co., Limited	Avary Singapore Private Limited	Singapore	Investment holding	\$ 2,015,606	\$ 2,015,606	64,130,000	17	\$ 797,102	(\$ 1,781,638)	(\$ 304,540)		
Garuda International Limited	Avary Singapore Private Limited	Singapore	Investment holding	6,501,595	1,879,536	206,859,537	55	2,571,154	(1,781,638)	(982,332)		
Garuda International Limited	Garuda Technology Co., Ltd.	Taiwan	Trading	4,525,000	1,525,000	452,500,000	72	1,466,876	(1,727,273)	(1,247,590)		
Garuda International Limited	Peng Shen Technology (Thailand) Co.,Ltd.	Thailand	Manufacturing	10	10	100	-	5	(1,130,577)	(1)		
Avary Singapore Private Limited	Peng Shen Technology (Thailand) Co.,Ltd.	Thailand	Manufacturing	6,965,103	2,238,776	69,999,900	63	3,704,564	(1,130,577)	(714,373)		
Avary Singapore Private Limited	Avary Technology (India) Private Limited	India	Manufacturing	1,595,496	1,595,496	457,646,510	72	(1,020,540)	(541,198)	(391,121)		
FAT Holdings Limited	Zhen Ding Technology India Private Limited	India	Manufacturing	22	22	6,250	63	(341)	(28)	(18)		
Zhen Ding Technology Singapore Private Limited	Zhen Ding Technology India Private Limited	India	Manufacturing	13	13	3,750	37	(200)	(28)	(10)		
FAT Holdings Limited	Zhen Ding Developer India Private Limited	India	Property management	22	22	6,250	-	-	24,064	-		
Zhen Ding Technology Singapore Private Limited	Zhen Ding Developer India Private Limited	India	Property management	732,137	732,137	210,003,750	100	757,521	24,064	24,064		

ZHEN DING TECHNOLOGY HOLDING LIMITED AND SUBSIDIARIES
INFORMATION ON INVESTMENTS IN MAINLAND CHINA
FOR THE YEAR ENDED DECEMBER 31, 2025

Table 8

Expressed in thousands of NTD
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 2)	Amount remitted from Taiwan to				Net profit (loss) of investee for the year ended December 31, 2025	Ownership held directly or indirectly by the Company	Investment income (loss) recognised by the Company for the year ended December 31, 2025 (Note 3)	Carrying amount of investments as of December 31, 2025	Accumulated amount of investment income remitted back to Taiwan as of December 31, 2025	Footnote
				Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2025	Amount remitted back to Taiwan for the year ended December 31, 2025		Accumulated amount of remittance from Taiwan to Mainland China as of December 31, 2025						
					Remitted to Mainland China	Remitted back to Taiwan							
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Manufacture and sales of PCB	\$ 10,456,647	2	\$ -	\$ -	\$ -	\$ -	\$ 6,292,475	72	\$ 4,563,972	\$ 22,067,414	\$ -	
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Manufacture and sales of PCB	8,614,485	2	-	-	-	-	661,142	72	478,343	4,063,459	-	
Avary Holding (Shenzhen) Co., Limited	Manufacture and sales of PCB	10,365,403	2	-	-	-	-	16,205,612	72	11,698,234	109,740,130	-	Note 4
Fu Bo Industrial (Shenzhen) Co., Ltd.	Manufacture and sales of PCB	492,189	2	-	-	-	-	36,276	72	26,200	520,184	-	
Qing Ding Precision Electronics (Huaian) Co., Ltd.	Manufacture and sales of PCB	15,210,255	2	-	-	-	-	5,705,894	72	4,152,781	29,767,374	-	
Zhuhai Hengqin Avary Investment Limited Partnership	Investment of business	73,411	2	-	-	-	-	-	72	-	106,235	-	
Kui Sheng Technology (Shenzhen) Limited	Manufacture and sales of PCB	89,432	2	-	-	-	-	16,353	72	11,810	173,576	-	
Huaian Jia Wei Industrial Development Co., Ltd.	Manufacture and sales of Building materials, Furniture and hardware tools	729,710	2	-	-	-	-	1,184	100	1,184	732,717	-	

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 2)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2025	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended December 31, 2025		Accumulated amount of remittance from Taiwan to Mainland China as of December 31, 2025	Net profit (loss) of investee for the year ended December 31, 2025	Ownership held directly or indirectly by the Company	Investment income (loss) recognised by the Company for the year ended December 31, 2025 (Note 3)	Carrying amount of investments as of December 31, 2025	Accumulated amount of investment income remitted back to Taiwan as of December 31, 2025	Footnote
					Remitted to Mainland China	Remitted back to Taiwan							
Huaian ChengXin Park Management Co., Ltd.	Property management business	\$ 1,274,407	2	\$ -	\$ -	\$ -	\$ -	(\$ 318)	85	(\$ 271)	\$ 1,303,646	\$ -	
Avary Holding Investment (Shenzhen) Co., Ltd.	Investment of business	2,781,587	2	-	-	-	-	48,280	72	34,847	2,559,057	-	
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Development, manufacture and sales of electronic products and goods imports and exports	3,298,503	2	-	-	-	-	(1,770,693)	66	(1,166,473)	3,318,051	-	
Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Development, manufacture and sales of electronic products and goods imports and exports	2,235,801	2	-	-	-	-	(19,866)	66	(12,964)	2,755,258	-	
Avary Property Management Service(Shenzhen) Co., Ltd.	Property management business	22,358	2	-	-	-	-	(3,534)	72	(2,553)	20,209	-	
Yaoding Environmental Energy Technology (Shenzhen) Limited	Environmental protection and energy conservation service	62,602	2	-	-	-	-	34,437	100	34,437	98,271	-	
Yaoding Environmental Energy Technology (Huaian) Limited	Environmental protection and energy conservation service	-	2	-	-	-	-	6,405	-	6,405	6,413	-	Note 5
Yaoding Environmental Energy Technology (Qinhuangdao) Limited	Environmental protection and energy conservation service	-	2	-	-	-	-	15,107	-	15,107	15,773	-	Note 5

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 2)	Amount remitted from Taiwan to				Accumulated amount of remittance from Taiwan to Mainland China as of December 31, 2025	Net profit (loss) of investee for the year ended December 31, 2025	Ownership held directly or indirectly by the Company	Investment income (loss) recognised by the Company for the year ended December 31, 2025 (Note 3)	Carrying amount of investments as of December 31, 2025	Accumulated amount of investment income remitted back to Taiwan as of December 31, 2025	Footnote
				Mainland China as of January 1, 2025	Mainland China/ Amount remitted back to Taiwan for the year ended December 31, 2025									
					Remitted to Mainland China	Remitted back to Taiwan								
Wuxi Huayang Science And Technology Co., Ltd.	Development, manufacture and sales of electronic products	\$ 234,088	2	\$ -	\$ -	\$ -	\$ -	\$ 40,708	39	\$ 15,771	\$ 712,940	\$ -		
Jiangsu Turnsor Technology Co., Ltd.	Development, manufacture and sales of electronic products	71,546	2	-	-	-	-	(78)	20	(8)	9,081	-		
Guangdong Zhan Yang Intelligent Equipment Co.,Ltd.	Research and development, sales, processing of automation equipment as well as imports and exports of goods or technology	42,683	2	-	-	-	-	(36,815)	32	(16,703)	5,405	-		
Wuxi Yongyang Sencing And Technology Co., Ltd.	Sales of electronic products and goods imports and exports	74,527	2	-	-	-	-	(4,236)	18	46	75,587	-		

Note 1: The amounts in the table are shown in New Taiwan Dollars. Transactions denominated in foreign currencies are translated into New Taiwan Dollars at the spot exchange rates at the balance sheet date.

Note 2: The methods of investments to PRC are as follows:

- (1) The Group remits its own funds directly to the investee companies located in PRC
- (2) Investee company, Monterey Park Finance Limited (B.V.I.), established by the Company that is located outside of Taiwan and PRC remits its own funds directly to the investee companies located in PRC.
- (3) Others

Note 3: The columns investment income (loss) recognised by the Company for the year ended December 31, 2024 were based on the audited financial statements of the investees in Mainland China for the same period.

Note 4: The cumulative earnings distributed to the parent company by Avary Holding (Shenzhen) Co., Limited amounted to RMB 7,614,848 thousand as of December 31, 2024.

Note 5: Preparations are ongoing, and no actual investment has been made.